

5.2. Our customers

Related material topics: Responsible communication; Innovation.



5.2.1. A model by and for the customer

GRI 416-1; 416-2; 417-1

Listening to the customer, attending to and understanding their demands for quality fashion with a responsible approach and **offering a response adapted to their needs** at the right time and place have always been the cornerstones of the Inditex model.

Based on these premises—*listening, identifying and making available*—along with the accurate and integrated functioning of all stages of the value chain—stores, design, manufacturing and logistics—we are able to deliver the best shopping experience for customers before, during and after a sale takes place.

With this in mind, our store and online teams work with designers and product teams to understand customer needs and identify trends. At the same time, the image and coordination teams maximise the scope of our collections, designing the best creative productions and the most diverse styling, in collaboration with photographers, audiovisual producers, stylists and models.



When it comes to creative productions, we are aware of the renown and impact of our products. Consequently, we work on the premise that the images of the models and the campaigns that feature them should convey a positive, multicultural and diverse image, while presenting their characteristics and qualities in the most detailed and accurate way.

In parallel, our brands' architectural studios define and create the store concept, and subsequently develop and adapt it to the specific characteristics of each building and retail premises. The aim is to achieve unique, pleasing and accessible sales spaces, where technological innovations allow customers to interact with the brand at any time and from any device.

The most paradigmatic example is Zara's latest store image, with boutique spaces allocated to specific collections such as Lingerie, Beauty or Athleticz, and technological improvements in the customer experience such as Pay&Go, the smart parcel terminal for online orders or Store Mode, useful tools for online browsing through the store of your choice, checking the available inventory, paying without passing checkout or online purchase and pick up in two hours.

In this connection, the possibilities offered by Inditex's integrated store and online platform allow brands to increase the availability of items and fosters a more direct relationship with our customers, who can access our fashion proposals whenever, wherever and however they choose.

We strive to create unique, pleasing and accessible sales spaces, where technological innovations allow customers to interact with the brand at any time and from any device.

Precisely, one of the main ways for us to establish a relationship with our customers are our brands' websites, our online product showcases. In 2022, our websites received **more than 6,000 million visits**¹⁴, equating to more than 16 million daily visitors to the Group's online stores.

¹⁴ The reported figures for website visits are from Google Analytics and do not include visits from users who have rejected cookies.

These figures underscore the importance of listening to our customers and of identifying and meeting their needs in the most appropriate way, in a context of permanent transformation and change in consumer habits.

In any event, and beyond the sale transaction and what surrounds it, our commitment to customers also means anticipating their demands on matters such as diversity, sustainability and transparency. In response to these needs, our brand websites include content on our progress in environmental and social sustainability.

Likewise, projects such as Changemakers or our for&from store network, managed by people with disabilities, enable us to make headway in our strategy of achieving a positive impact, engaging our people and customers as we do so.

📄 More information in section [5.1 Our people](#) of this Report.

5.2.2. Response to our customers in 2022

GRI 417-1

The shopping experience at Inditex is not confined solely to the sale itself. Consequently, and thanks to the multiple options available, we aim to maintain a fluid, close and trust-based relationship with our customers.

To address the challenges of serving customers in more than 200 markets around the world, we train our teams in product knowledge, product sustainability features, store processes, customer orientation and respect for diversity and inclusion.

In order to be as close as possible to our customers, our brands' worldwide customer service teams are available in the languages of the markets in which we have a retail presence: Spanish, Galician, Catalan, Basque, English, French, Portuguese, Russian, traditional Chinese, simplified Chinese, Italian, Polish, Ukrainian, Romanian, Greek, Turkish, German, Czech, Slovak, Croatian, Slovenian, Dutch, Hungarian, Danish, Swedish, Norwegian, Finnish, Indonesian, Arabic, Korean, Malay, Vietnamese, Japanese, Hindi, Bulgarian and Hebrew.

Inditex is also working to guarantee accessibility to its facilities, both stores and online sales websites. In this regard, the Group stores meet architectural accessibility standards to enable people with disabilities to access and move around the stores, as well as ensuring a satisfactory shopping experience for the customer.

Accessibility to all corporate websites, which comply with the Accessibility Guidelines or General Accessible Design Principles established by Web Accessibility Initiative (WAI) Working Group, a part of the World Wide Web Consortium (W3C), is also important. In 2022 and thanks to the digital accessibility project with EqualWeb, the Group began to use accessibility menus in its websites.

These menus, visible from the home pages of each website, provide a variety of voice, browsing, colour and content adjustments to ensure an inclusive and barrier-free browsing experience for users and customers.



5.2.3. Customer service channels: contacts and service level

GRI 403-7; 416-1; 416-2; 417-1

In 2022, the customer service areas of the Group's brands fielded a total of 39,768,580 customer contacts (calls, e-mails, Whatsapp conversations and messages via social media profiles), concerning questions on products, the purchasing process, shipments, possible incidents or current issues affecting the retail concepts, among other matters.

Notably in regard to this figure, the progression of online sales in recent years constitutes the bulk of contacts, mainly relating to inquiries about orders, such as their status or delivery lead times. Service level (meaning the percentage of contacts resolved over the total and weighted in accordance with the contacts of each brand) was 98%.



Response to our customers

	2022			2021			2020			2019			2018		
	No. of contacts	Service Level	No. of services fulfilled	No. of contacts	Service Level	No. of services fulfilled	No. of contacts	Service Level	No. of services fulfilled	No. of contacts	Service Level	No. of services fulfilled	No. of contacts	Service Level	No. of services fulfilled
ZARA	26,762,779	98%	26,106,297	37,188,449	98%	36,433,559	40,009,841	92%	36,848,936	21,559,476	97%	20,912,691	19,320,000	96%	18,547,200
ZARA HOME	2,210,179	98%	2,172,645	2,544,199	97%	2,477,226	2,856,719	98%	2,800,376	1,368,310	93%	1,278,275	905,907	92%	833,434
PULL&BEAR	2,009,604	98%	1,960,396	3,079,063	96%	2,956,030	3,724,755	72%	2,666,292	1,820,713	86%	1,565,813	3,033,792	94%	2,851,764
Massimo Dutti 1	3,085,342	99%	3,049,565	2,595,172	98%	2,548,597	2,902,437	93%	2,707,888	2,010,181	93%	1,869,468	1,366,782	89%	1,216,436
Bershka	2,577,340	98%	2,520,885	2,656,660	98%	2,601,334	2,551,062	84%	2,150,189	1,161,875	92%	1,068,925	1,874,696	85%	1,593,492
STRADIVARIUS	2,280,492	97%	2,223,326	2,266,446	98%	2,214,808	2,241,811	83%	1,860,808	1,212,346	71%	860,766	1,511,405	97%	1,466,063
OYSHO	842,844	99%	833,635	1,062,508	99%	1,046,787	1,393,302	93%	1,299,341	889,846	99%	881,214	922,297	80%	737,838
TOTAL	39,768,580	98%	38,866,749	51,609,795	98%	50,491,331	55,809,878	90%	50,439,474	30,100,931	95%	28,514,056	29,032,743	94%	27,337,240

1. Figures for Massimo Dutti include Uterqüe's data until its integration was completed in FY 2022.

5.2.3.1. Followers in social media

Social media are now another of our customer relationship channels, and have become increasingly important both as an initial communication point and as a complement to the usual channels. In 2022, Inditex's retail concepts had more than 246 million followers in the various social media platforms (225 million in 2021, 199 million in 2020, 175 million in 2019 and 143 million in 2018).

In 2022, the Instagram and Facebook accounts of each brand, with more than 101 million and 66 million users, respectively (more than 88 million and 67 million in 2021; more than 80 million and 65 million in 2020; more than 61 million and 70 million in 2019; and 60 million and 55 million in 2018, respectively) are the social media accounts with the highest number of followers.

The count of brands' followers includes the profiles on the leading social media platforms, both in specific markets (for example, Weibo in China) and those platforms that have evolved and are now increasingly important (for example, TikTok, where the brands had a cumulative total of more than 8.6 million followers in 2022, of which more than five million belong to Zara).

								Other	Total
ZARA	59,431,116	30,890,402	3,164,911	1,598,111	23,470,000	1,475,120	6,294,627	4,467,311	130,791,598
ZARA HOME	7,667,158	2,936,015	125,775	268,845	2,467,110	87,215	303,000	237,414	14,092,532
PULL&BEAR	7,717,533	7,534,666	222,771	197,549	6,534,828	366,721	436,843	488,741	23,499,652
Massimo Dutti ¹	4,579,375	4,807,829	438,447	193,768	4,675,479	80,833	348,763	520,267	15,644,761
Bershka	10,700,000	10,000,000	327,021	414,200	7,915,434	447,000	801,700	695,460	31,300,815
STRADIVARIUS	8,070,000	6,200,000	105,526	131,600	4,307,325	248,000	430,000	174,732	19,667,183
OYSHO	3,151,989	3,476,929	187,523	63,605	3,754,010	111,089	31,423	399,492	11,176,060
Total	101,317,171	65,845,841	4,571,974	2,867,678	53,124,186	2,815,978	8,646,356	6,983,417	246,172,601

1. Figures for Massimo Dutti include Uterqüe's social media followers until its integration was completed in FY 2022.

5.2.3.2. Type of cases handled: pre-purchase, post-purchase, customer service and complaints mechanisms

As part of the various ways of relating and interacting with our customers, our teams deal with a range of issues linked to the purchase of our products before, during and after that transaction takes place. During this process, each concept classifies autonomously the reasons for customer contact, which can be grouped in four broad groups of queries: pre-purchase (issues prior to the purchase), post-purchase (related to an order or purchase at the store), customer service (regarding contact channels, web and app) and complaints and claims.

In this sense, in 2022 our brands handled 29.3 millions of cases through Customer Services in all the markets where we have a commercial presence.

This data also includes the complaint forms and claims processed in Spain through the official consumer complaint and response mechanisms. In 2022 a total of 6,289 cases were handled (5,288, 4,814, 6,436 and 6,586 claims handled in Spain in 2021, 2020, 2019 and 2018, respectively). Of these, Inditex responded to 3,283 complaint forms and 949 claim procedures, including mainly inspection requests and summons (3,263 complaint forms and 460 claim procedures in 2021).

Types of cases handled in 2022	
Pre-purchase (product availability, special collections, personalization, purchase process, checkout and sustainability, among others)	22.7%
Post-purchase (order status, shipments, delivery times, changes and returns, gift card, among others)	72.3%
Customer service (customer account, web/app, channels, social networks, among others)	4.8%
Complaints (includes any customer feedback, as well as formal complaints)	0.2%

5.2.3.3. Health and safety claims

The health and safety of our products is paramount to Inditex. Accordingly, we have standards, training plans and prevention and control programmes devised to ensure that our products comply with the strictest requirements and guidelines in all the markets where we operate.

Our product health and safety teams are fully coordinated with customer service teams, store staff and any other area of the Company where information about incidents and/or complaints may be received. At the same time, any notification from our customers, from community organisations or supervisory bodies is forwarded to our technical experts for evaluation and follow-up. If there are signs that a product may be unsafe for consumers, it is withdrawn from the market, customers are notified through the relevant channels and all units sold are recalled, according to our internal procedure.

Two¹⁵ products were recalled in 2022 for health and safety reasons. When this happens, we also launch a programme to identify the root cause of the incident and prevent it from recurring. In the four previous years there were also a total of two product recalls.

^① More information in section [5.3.3. Health and safety of products](#) of this Report.

¹⁵ During 2022 there have been no breaches of regulations or voluntary codes related to the health and safety of our product that give rise to fines or sanctions.

5.3. Our products

Related material topics: Stakeholder engagement; Innovation; Environmental footprint minimisation; Protection of natural resources; Product sustainability; Circularity.



5.3.1. A firm commitment to innovation and circularity

GRI 3-3; 301-1; 301-2; 301-3; 304-2; 306-1; 306-2; 306-3; 306-4; 306-5; 308-2

At Inditex we are aware that progressing towards **a circular economy model, innovating in new materials, production processes or the use and end of life of our products** is key to tackling the effects of climate change and the scarcity of natural resources. We work with universities, startups, other companies in our sector or in other industries, or community organisations —among many other actors—to develop a wide range of projects and initiatives that allow us to continue to reduce the impact of our products on the environment.

Our vision of circularity encompasses our entire business model: from design and the various production processes to managing our stores, logistics and offices. The aim is to be more resilient and efficient in the long term, working to turn waste into a new resource. Circularity also poses an excellent opportunity, not only for Inditex but for the industry as a whole.

Supporting basic, pre-competitive research focused on the quest for new knowledge about the impact of our activity and new materials and processes is one of the main goals of our operations. To this end, we work with prestigious academic institutions, such as the Massachusetts Institute of Technology (MIT), to develop new projects linked to R&D in the textile industry, and with multi-sector organisations such as Fashion for Good.

We are also mindful of the urgency of translating these new projects into material realities for our industry, in the form of new alternatives to the fibres or processes traditionally used by the textile sector, which can have an onerous impact on nature.

We work with the European Commission's Product Environmental Footprint (PEF) programme to develop a common methodology to gauge the environmental impacts of the textile and footwear industries, based on a Life Cycle Assessment (LCA) approach. The aim is to develop a scalable framework that allows the comparison of different products in the same category. In 2022, we took part in a pilot study of the impacts of two of our products in order to assess the results of the proposed methodology.

Sustainability Innovation Hub

Our Sustainability Innovation Hub was launched to provide the industry with new materials, manufacturing processes and initiatives to improve circularity, use and end of life.

This platform seeks to identify the latest solutions that other companies or startups are developing, to work with them to adapt them to the needs of our industry and to facilitate their scalability. In 2022, we teamed up with more than 200 startups and took part in more than 30 pilot tests.

As a result, we have launched a number of collections with various startups like Nextevo and Renewcell in a process of continuous collaboration. We have, as a result, signed our first forward purchase commitment with Infinited Fiber for more than 100 million euros¹⁶.

We have also made our first equity investments in startups. The investment in CIRC¹⁷ stands out. It promotes a disruptive recycling technology which will solve one of the challenges facing the textile industry: the recycling of textile products

¹⁶ The amount of the fibre purchase will be included in the consolidated annual accounts as part of the product cost on the date the purchase is made.

¹⁷ The investment in CIRC is shown under the heading Financial Investments, in the Consolidated Balance Sheet ([Note 18 to the Consolidated Annual Accounts](#)).

composed of blends of different materials, such as polyester and cotton.

Initiatives to progress towards a circular model

Textile recycling is an industry-wide challenge. At present, both the available technologies and the existing capacities for collection and sorting of textile waste do not allow much of this waste to be recovered and repurposed. Moreover, achieving equivalent quality between recycled and original fabric is an added difficulty facing the industry. Consequently, at Inditex we support various projects—both on our own and with other organisations—to advance towards a circular model for our industry.

Teams from various areas of our Company are working on new forms of textile recycling and further developing existing systems. In this regard, we work with Cáritas Spain and with recyclers and shredders in a mechanical recycling project that has allowed us to launch collections with up to 100% recycled content, 30% of the total including post-consumer waste. This is the case of Stradivarius, which has carried out a project in conjunction with three direct suppliers to give a new lease of life to products from past seasons that could not be reused, in keeping with the principle of waste hierarchy (prevent, reuse and recycle), to achieve 100%-recycled denim.

We collaborate with the Ellen MacArthur Foundation, Circular Fashion Partnership, Global Fashion Agenda and Fashion for Good, among others, on issues as diverse as design focused on recyclability, the study of the infrastructure needed to process the waste generated or new forms of textile recycling.

During the year, we have made significant progress through the following initiatives:

/ Accelerating Circularity: this project—involving brands and organisations such as Textile Exchange, Euratex, Wrap, Circle Economy, Fashion for Good, ReFashion and the Apparel Impact Institute—aims to design new models and systems to make existing fabrics into new fibres and materials. Over the course of the year, we joined forces with them in a pilot project to drive new methods of chemical and mechanical recycling of cotton fabrics.

/ ReHubs: we participated in this Euratex initiative to develop a proposal to create recycling centres in Europe for the purpose of collecting, processing and recovering textile waste. This year, the ReHubs initiative presented the main findings of its first technical study (called ReHubs Techno Economic Master Study or TES), highlighting the potential of the textile recycling industry in Europe, which could generate between 5.5 and 7 billion euros per year and around 15,000 new jobs by 2030.

/ SCRAP: in 2022, together with other brands, we co-founded the Association for the Management of Textile Waste with the aim of creating a Collective Extended Producer Responsibility Scheme (SCRAP, Spanish acronym) for textile and footwear waste in Spain. This organisation will enable compliance with Extended Producer Responsibility, arising from the process of transposing Directive 2008/98/EC on waste into Spanish law through Law 7/2022, of 8 April, on waste and contaminated soils for a circular economy.

We maintain industrial partnerships with more than 20 companies across diverse sectors to develop new disruptive solutions from the ground up. In these cases, we are involved not only in the implementation of these solutions, but also in their exploration, research, development and pilot testing phases.

/ Pursuing these lines of collaboration, Inditex has stable relationships with the leaders of various industries to facilitate the acceleration and transfer of new solutions in raw materials, production processes and phases of use, allowing us to respond to the systemic transformation we want for our industry.

/ A good example of this work is our collaboration with BASF, under the framework of a pioneering research partnership in the textile industry launched in 2019. One of the first fruits of this partnership was the commercial development of recycled polyamide (CCycled and BMB Ultramid®). These new materials allow us to convert used tyres—which cannot be reused in their own industry—and agricultural waste, respectively, into a new textile resource. Oysho has used CCycled Ultramid® in certain articles in 2022 and Zara foreseen to introduce BMB Ultramid® foreseeably throughout 2023.

A model tailored to demand

Our aim is to create value by designing top quality fashion products that are accessible to all and that will stay with our customers for a long time. As we journey towards a circular and efficient model, at Inditex we are convinced that we must maximise the life of every garment we sell and of the materials used in their production. To achieve this, it is important to understand our customers' needs and to take action at every stage of the textile process.

Our product teams work to accurately anticipate the purchasing requirements of our customers. This implies a low inventory commitment at the beginning of each season that allows us to respond to the demand we receive as the season progresses.

For an agile and efficient response, a significant portion of our garments are manufactured in close proximity to our headquarters (in markets such as Spain, Portugal, Morocco and Türkiye). Stocks in our stores and online platforms are also integrated, so that customers can access all our products in our store network or online (maximising the opportunity to sell each item).

Thanks to this unique business model, which is distinguished by its flexibility and innovation, we are able to carefully manage clothing inventories to avoid surpluses. In 2021¹⁸, our surpluses were below 0.5% of all the items sold, and the majority of them were donated to local and national social organizations, with UNHCR, Red Cross and *Cáritas* among the main beneficiaries.

We also have for&from stores that operate as Inditex franchises and are managed by non-profit organisations (*Fundació El Molí d'en Puigvert*, Galician Confederation of People with Disabilities (COGAMI), Moltacte non-profit cooperative, Association of People with Mental Disabilities of Alicante (APSA), *Fundación Prodis and Fondazione Cometa*) focused on supporting people with disabilities (providing stable employment for people with physical, intellectual and mental disabilities). All proceeds are invested entirely in the projects of these community organisations.

① More information in section [5.7. Communities](#) of this Report.

5.3.2. Design and selection of raw materials

GRI 3-3; 301-1; 301-2; 304-2; 306-1; 417-1; AF18; AF19; AF20

Our designers and sales teams are trained in sustainability criteria, with the aim of advancing in the design of articles that will last our customers for a long time and can be recycled at the end of their life cycle.

In 2022, we joined the Ellen MacArthur Foundation's Jeans Redesign project with a commitment to put on sale 730,000 garments designed for greater durability, containing recycled materials and conceived to facilitate their subsequent recycling, so that their materials can be reintroduced into the textile process.

Thus, Zara, Bershka, Massimo Dutti, Pull&Bear and Stradivarius have a constant collection of denim garments made in keeping with the principles of the circular economy, avoiding elements that hinder their recycling at the end of their useful life and replacing these with better alternatives.

Careful selection of fibres

We pay special attention to the raw materials we use in our products because of their relationship with biodiversity, water consumption or greenhouse gas emissions, among other considerations.



Thanks to the efforts made in this area, in 2022, 'preferred'¹⁹ raw fibre and materials, according to the classification established by the sector's benchmark organisations such as Textile Exchange, now account for 60% of the total used, a 42% increase on the previous year.

This result is closely linked to the promotion of the Join Life label, which Inditex has been using since 2015 as a tool to raise awareness among our customers and our staff about the use of raw materials and processes that have a lower impact on the environment as compared to the most widely used practices in the industry.

In 2022, 61% of our products complied with the Join Life standard, amply exceeding our commitment that 50% of our collection should be Join Life compliant this year. We have therefore reached a point in the development of our strategy where it is no longer necessary to differentiate the products in our collections with this label.

¹⁸ Surplus data is reported for 2021 as the 2022 winter campaign is still available in stores at the time of writing this Report, and therefore the surplus inventory has not been entirely managed.

¹⁹ Textile Exchange defines a preferred material as "a raw fiber or material that delivers ongoing beneficial outcomes and impacts for climate, nature, and people through a holistic approach to transforming raw fiber and material production systems". The full list can be found at www.textileexchange.org

To further advance our goals, our sales teams will continue to apply stringent product sustainability criteria and targets as a tool to extend best practices—both in raw materials and processes—to all our collections, and we will continue to use Join Life as an internal standard.

In order to contribute to the body of knowledge on impacts, we also collaborate with sustainability experts such as Quantis to achieve a sound, science-based approach to analysing different raw materials and production processes. Specifically, we work with Quantis to conduct specific Life Cycle Assessments (LCAs) for the various raw materials we use, as well as for the production processes involved in the manufacture of our garments. This information will allow us to continue to evolve our

sustainability strategy.

The Group has also undertaken exacting commitments on the use of raw materials for the next few years. In 2023, 100% of the cotton and man-made cellulosic fibres used in our products will come from preferred sources²⁰. By 2025, 100% of polyester and linen will also be from preferred sources.

Below we outline our consumption of raw materials according to their origin, in two main categories: fibres and non-fibres. The fibres category is, in turn, divided into three groups: natural²¹, synthetic²² and man-made fibres²³.

Raw materials	2022	2021	2020	2019	2018
Fibres	88%	88%	88%	89%	88%
Natural	50%	55%	52%	50%	49%
Synthetic	40%	36%	38%	38%	39%
Man-made	10%	9%	10%	12%	12%
Non-fibres	12%	12%	12%	11%	12%

The breakdown of the main raw materials used in our products²⁴ in the last year is as follows:

Raw material	Tonnes	% of total tonnes of raw material
Cotton	254,133	41 %
Man-made cellulosic fibres	54,983	9 %
Polyester	170,318	27 %
Linen	10,074	2 %
Other raw materials	131,737	21 %
Total	621,244	100 %

²⁰ We have aligned the terminology used in our objectives with that currently being used by benchmark industry organisations such as Textile Exchange. The meaning and ambition of our goals remains unchanged.

²¹ Natural fibres are filaments obtained from natural sources that can be threaded to obtain strands, threads or twine.

²² Synthetic fibres are made of polymers that are not naturally produced, but fully created in a chemical plant or a laboratory, almost always using petroleum or natural gas by-products.

²³ Man-made fibres are made using a natural component as a raw material that undergoes a number of processes in a chemical plant or a laboratory.

²⁴ The figure includes the raw material used in the final product; it does not include any wastage that may have occurred during the production process.

During the year, we continued to make headway on our commitments. In the 2022 winter season, the degree of achievement of our public targets for the use of preferred raw materials in our products is as follows²⁵:

Commitment	Source	% of total tonnes of this raw material	Type of fibre	%
100% preferred cotton in 2023	Preferred	92.18%	Organic cotton (OCS/GOTS)	4.24 %
			Cotton in conversion/transition (OCS/GOTS)	1.43 %
			BC cotton ¹ (BC)	80.88 %
			Recycled cotton (RCS/GRS)	5.63 %
	Conventional	7.82%	Conventional	7.82 %
100% preferred man-made cellulosic fibres by 2023, supporting the Changing Markets Commitment	Preferred	65.96%	Recycled (RCS/GRS)	0.12 %
			Other third-party standards (Canopy, Changing Markets ² or FSC)	65.82 %
			MMCF – innovative fibres	0.02 %
	Preferred (Canopy only) ³	30.08%	Preferred	30.08 %
100% preferred polyester in 2025	Conventional	3.96%	Conventional	3.96 %
	Preferred	30.89%	Recycled polyester (RCS/GRS/Repreve)	30.89 %
			Polyester – innovative fibres	0.01 %
100% preferred linen in 2025	Preferred	74.29%	Conventional	69.11 %
			European linen (European Flax certificate)	74.21 %
			Organic linen (OCS/GOTS)	0.03 %
	Conventional	25.71%	Recycled linen (RCS/GRS)	0.05 %
			Conventional	25.71 %

1 BC cotton is not physically traceable to the final product, as it uses a mass balance system. The percentage of use has been estimated on the basis of the information available in Inditex's systems.

2 Man-made cellulosic fibres that meet the requirements specified in the document Supply chain / Man-made cellulosic fibres, available on Inditex's corporate website.

3 Cellulosic fibres from suppliers classified as "green shirts" with a score of 25 or above in the Hot Button Report compiled by CanopyStyle, a Canopy Planet initiative.

Cotton

Cotton is one of the most commonly used fibres in the textile industry and the raw material most used by the Inditex Group. In line with our pledge to protect natural resources and biodiversity, at Inditex we are committed to:

/ Organic cotton. No genetically modified seeds or synthetic fertilisers are used to grow this fibre. At Inditex we use organic cotton certified by the Organic Content Standard (OCS) and the Global Organic Textile Standard (GOTS).

Despite the high demand for this raw material, according to the latest data from Textile Exchange, only around 1% of the cotton produced in the world is organic. That is why Inditex is a founding member of the Organic Cotton Accelerator (OCA), a multi-sector initiative that supports organic cotton farmers and provides them with training and accompaniment from cotton growing to marketing.

In addition, at Inditex we support 'in conversion' cotton, supporting farmers and agricultural groups as they transition to organic crops.

/ Better Cotton is an organisation encompassing farmers, ginners, spinners, suppliers, manufacturers, brands, retailers, civil society organisations, donors and governments to train farming communities in better cotton growing practices. Today, nearly one-fifth of the world's cotton is produced under the Better Cotton Standard, and 2.3 million cotton farmers have been trained in sustainable farming practices and are licensed to grow Better Cotton.

/ Recycled cotton. It is produced from cotton production cutting scraps or post-consumer waste. This waste undergoes a recycling process to turn it into a new cotton fibre.

In 2022, 92% of the cotton used in our products was preferred cotton according to the definition of renowned organizations such as Textile Exchange, which considers a preferred raw fibre or material to be one "that delivers ongoing beneficial outcomes and impacts for climate, nature and people through a holistic approach to transforming raw fiber and material production systems".

²⁵ The Group does not have all the information at this level of detail for previous years due to changes in our corporate systems.

Promoting R&D+i in the Andalusian countryside (Spain)

In 2022, the Group signed an agreement with IFAPA and *Espalgodón* to promote research, training and technological development activities in cotton growing in Andalusia. This four-year collaboration aims to advance environmental best practices and to improve the productivity of these crops. In fact, as a result of this agreement, a first trial of organic cotton has been conducted on two farms in the province of Seville to study its viability and yield as compared to conventional cotton.

As part of this collaboration, pilot projects will also be developed on key issues for the sector, such as growing this fibre in areas where water is scarce, and the quality analysis of the raw material. It also includes tests of the different varieties of cotton or of the machinery used for harvesting. The aim is to scale up these findings to the sector as a whole.

We collaborate in boosting regenerative cotton growing in India

We collaborate with Action Social Advancement (ASA), along with Laudes Foundation, IDH The Sustainable Trade Initiative, WWF India and others, to promote regenerative agriculture, including cotton growing, ecosystem restoration and community well-being in a 300,000 hectare area in the Indian states of Madhya Pradesh and Odisha, where cotton is the main crop.

The initiative aims to improve soil quality and biodiversity, optimise water management and reduce greenhouse gas emissions. In addition, the project has an important community component, as regenerative cotton growing will improve the incomes of more than 75,000 farming families and their communities.

Preferred man-made fibres

At Inditex we are committed to the protection of primary or endangered forests, fighting deforestation and preventing the degradation of ecosystems. This translates into specific endeavours regarding the consumption of raw materials. Our suppliers are firmly committed to work with manufacturers of cellulosic fibres (viscose, modal, lyocell and acetate) classified as "green shirts" with a score of 25 or above in the *Hot Button Report* by CanopyStyle, an initiative led by the non-profit organisation Canopy Planet.

From 2023 onwards, the Group will only use cellulosic fibres from manufacturers who are committed to the *Roadmap towards responsible viscose & modal fibre manufacturing*, promoted by the Changing Markets Foundation.

In 2022, 66% of man-made cellulosic fibres used in our products met both those requirements.

Goals by 2025: linen and polyester

By 2025, we will only use polyester and linen from preferred sources²⁶. In 2022, 31% and 74% of the polyester and linen respectively used in our products already met that requirement.

Recycled materials

Thanks to Inditex's unwavering commitment to using recycled materials, this year we made available to our customers 78,675 tonnes of these materials, a 90% increase with respect to 2021. In this regard, through our Sustainability Innovation Hub, we are researching alternative and innovative materials based on second- and third-generation waste that ensure the specific technical and durability requirements of certain products are fulfilled. We have also signed up to the 2025 Recycled Polyester Challenge, a joint initiative of the Textile Exchange and the UN Fashion Industry Charter for Climate Action, which aims to accelerate the use of recycled polyester and help reduce the sector's greenhouse gas emissions.

5.3.3. Health and safety of products

GRI 2-28; 413-2; 416-1; 416-2; AF5

Ensuring that the articles we offer to our customers are safe and healthy is paramount for us. To achieve this, we have specific product standards, that are of general application and mandatory for all the products we sell²⁷. These standards aim to go a step further than what is required by international legislation for different types of articles, from design to manufacturing processes.

We currently have seven standards, each with a different scope:

²⁶ We have aligned the terminology used in our objectives with that currently being used by benchmark industry organisations such as Textile Exchange. The meaning and ambition of our goals remains unchanged.

²⁷ Articles that are outside the scope of Inditex's health and safety standards are subject to minimum requirement reports specifically compiled in accordance with the statutory requirements which apply to the type of product and the markets where they are sold.

Product health and safety standards

	Scope
Safe to Wear	Garments, accessories and footwear
PTR	Garments, accessories, footwear and home textile
Clear to Wear	Garments, fabrics, accessories, footwear and home textile
i+Cosmetics	Cosmetics
i+FCM	Products in contact with food
i+Home	Ambiance products for the home Decorative candles and their accessories
i+Child Care Furniture	Children's furniture and child care articles

In 2022, we published a new edition of our Clear to Wear (CtW) standard, which covers restricted chemicals present in finished products, to include regulatory developments and make further progress in our process of alignment with AFIRM's RSL. We have also published a new edition of our Physical Testing Requirements, which regulate the physical-chemical parameters linked to textile quality testing.

To ensure compliance with all our standards, we work with technology companies, research centres and laboratories of international reference to verify that they are being properly applied by using our own innovative programmes that include analysing the articles and auditing the factories involved in their production.

Before starting production, we seek to ensure compliance with our sustainability standards in the design stages, raw materials selection, and processes required to manufacture our products. Accordingly, we strengthen compliance with our Safe to Wear standard by providing our suppliers with detailed manufacturing guidelines, which include measurement tables with requirements for the position of appliqués and cords, maximum lengths of free ends, and other measurements.

In order to guarantee the exhaustive inspection of the product and prevent potential non-conformities with our product health and safety standards, and to enhance the textile quality in

product durability terms, we have a network of internal control laboratories that perform testing according to the most stringent international standards. In 2022, we added a seventh lab, located in Narón, to provide service to Pull&Bear.

We highlight our **Picking** programme, which identifies non-conformities in final articles by collecting samples at supplier sites for subsequent testing in external laboratories. To achieve this, qualified technical experts carry out a risk assessment of all our articles, and we request analyses for those that pose a risk. In 2022, 51,288 Picking inspections have been carried out, with 721,980 analyses and tests performed.

Confidence in the performance of analyses and results is vital for proper decision making and this is underpinned by the external laboratory approval programme called **APPLABs**. In total, 56 on-site audits of external laboratories were conducted, in addition to 35 comparison exercises, which involved analysing 5,951 samples (38 and 20 audits in 2021 and 2020, 35 and 32 comparison exercises in 2021 and 2020, and 6,653 and 6,915 samples in 2021 and 2020, respectively).

As a complement to the Picking inspections, since 2017 we have been implementing **Minilabs**, a portable lab initiative to perform, any time and anywhere in suppliers' facilities, up to six screening tests for substances and parameters regulated in the Clear to Wear standard and Physical Testing Requirements. In 2022, we performed 3,743 Picking inspections using Minilabs, carrying out 33,029 analyses and screening tests.

In order to achieve a continuous improvement in the supply chain, our **Root Cause Analysis** (RCA) enables us to carry out technical audits in those punctual cases where a non-compliance is detected in a Picking inspection. Those audits are carried out by experts in order to identify the source of non-compliances in wet process facilities (dyeing, washing, tannery, printing) and propose a specific corrective action plan to avoid such incidents from being repeated in future productions.

In 2022, 17 RCA audits were conducted. The results showed that in 29% of the cases the supplier, in their manufacturing, had used chemical products not permitted by The List, by Inditex and/or had not applied adequate controls to these products prior to manufacturing. The cross-contamination between different productions that did not follow adequate manufacturing conditions caused the remaining 12% of detected non-conformities. Absence of required technical documentation during manufacturing and inadequate manufacturing procedure accounted for 30% of non-conformities. Lastly, in the remaining 29% of the audits, the results were inconclusive.

① More information in the document *Innovation, collaboration and continuous improvement for chemical safety* available on Inditex's corporate website.

Collaborations

Our goal is to advance, with our suppliers and the rest of our industry, in adopting best practices, including the choice of safe chemicals and wastewater management. Sharing our know-how and aligning requirements across the industry is vital to ensure compliance with our standards and to improve facilities in line with Greenpeace's Clean Factory Approach. Likewise, we are also involved in initiatives such as Zero Discharge of Hazardous Chemicals (ZDHC), of which we are Board members, or AFIRM Group. We also collaborate with a number of prestigious technological centres and universities.

In this regard, it is worth noting that the Group has made available to the entire industry, via the ZDHC platform, The List,

by Inditex programme, a procedure for the classification of chemical products and commitments to improvement by the chemical industry that guarantee enhancements in both the production processes and the health and safety of the finished garments. Furthermore we have adopted ZDHC MRSL, which specifies which chemical substances are subject to specific restrictions or whose use is prohibited.

We also design guides for best manufacturing practices and we regularly train the suppliers across our supply chain—especially in wet processes—to advance in the proper selection, purchase, handling, storage and use of this type of chemical products.

① More information in section [7.1.2. Health and safety indicators of our products](#) of this Report.



5.3.4. Use and end of life

GRI 301-3; 416-1; 416-2; AF18; AF19; AF20

We want our products to last our customers a long time. Accordingly, we are continuously developing new projects and services to offer them fresh options and alternatives in their relationship with us.

Commitment to extending the lifetime of our garments

One of the main examples this year has been the launch of Zara's Pre-Owned platform. This new space, for the moment only available in the United Kingdom, aims to offer a range of solutions to help prolong the lifetime of Zara garments through repairs, secondhand sales and donations. Through 2023, we will extend this platform to new markets, beginning with France and Germany.

Repair service: the repair service, available at all stores and now also online, is devised to help lengthen the life of Zara garments.

Platform for customer-to-customer sale: a space in which customers can sell and buy the brand's products from any season to and from each other. The platform, developed for a streamlined experience, includes original photos and information of the products and images of its provided by the seller.

Donations: customers in the United Kingdom can donate garments by requesting their collection from their home. This service, which complements our in-store Clothing Collection Programme containers, guarantees that all the products collected are donated to the local NGOs we work with.

Clothing Collection Programme

Our Clothing Collection Programme enables our customers to donate those products they no longer use to more than 90 local community organisations in the various markets where we are present, either through the containers located in our stores or by means of Zara.com's home collection services in Spain, the United Kingdom, New York, Paris and various Chinese cities.

In Switzerland and Hungary—markets in which we have not yet established an agreement with non-profit entities—we work with third parties specialising in textile recycling. Moreover, in Spain we also work with Cáritas to facilitate the collection of garments by means of containers located in the streets of a number of cities through this programme.

These organisations receive the donated garments and footwear directly from our facilities. The articles are conveyed to classification plants, where they are processed in keeping with the principle of waste hierarchy. The garments are donated to

people who need them or resold to finance these organisations' community projects. Those products that cannot be reused are transformed into new textile fibres (upcycling), or are made into new materials for industrial use (downcycling).

In 2022, 17,015 tonnes of garments and footwear were collected through this programme. All our collaborators participate in a process of accountability in relation to the purpose of the donated articles, which in 2022 yielded the following result:

- / More than 63% of all garments were reused, either via donations to people who need them or by reselling to finance community projects.
- / The remaining 37% which, due to their characteristics or condition, could not be reused, was sent to recycling projects (most of them for downcycling) or, as a last resort, was used in energy recovery.

First detergent designed to reduce microfibre shedding

Microfibre shedding during washing has a significant impact on water quality. Consequently, at Inditex we are engaged in various projects to minimise the impact of our industry.

This year, Zara Home launched the first laundry detergent designed to reduce microfibre shedding in washing; it is available both in the brand's stores and online.

This innovative solution, jointly developed by Inditex and BASF, Home Care and I&I Solutions, can reduce microfibre shedding by up to 80%, depending on type of fabric and washing conditions. These results have been tested in various independent research centres.

The detergent formulation, which contains high-efficiency ingredients, has been tested in various laboratories on different types of fabrics and in varying washing conditions. The results show that the detergent is especially suited to low-temperature washing, which brings additional benefits: users can reduce their energy consumption by lowering the wash temperature from 40°C to 20°C, while colours stay bright for longer, extending the garment's life.

One of the hallmarks of this project is that the formulation can be adapted to extend the use of this technology among other detergent manufacturers, thus boosting this solution's positive impact.

Eliminating single use plastic from our packaging

Our commitment to continuing to reduce the impact of our products also includes all those elements that accompany our garments, such as containers and packaging. Accordingly, we have set ourselves the goal of completely eliminating single-use plastic to our customers by 2023.

As an intermediate measure, in 2020 we eliminated plastic from the packaging we deliver to our customers in stores and in online orders. In addition, in 2021 we began charging for our recycled paper bags in stores, with the aim of raising awareness among our customers about the importance of using reusable alternatives, while offering, among others, solutions from post-consumer textile recycling. At the end of 2022, we had implemented this initiative in 59 markets worldwide.

① More information on the environmental projects our customers are financing in section [5.7.4. Key programmes](#) of this Report.

In 2022, we mapped all packaging reaching stores to track plastic items accompanying our products and used in stores, eliminating or replacing the vast majority of these items. In addition, we continue to work to replace residual packaging and to reinforce the necessary control mechanisms to avoid single-use plastics from source, and to prevent their arrival in our warehouses and stores.

We are also involved in the (RE)SET project by The Fashion Pact, aimed at developing solutions using alternative and recycled materials to eliminate all single-use plastics throughout the textile industry's value chain.

Notably, in 2021 we subscribed a new commitment with the Ellen MacArthur Foundation (EMF) to reduce a 50% our plastic footprint by 2025 with respect to 2019. This goal underpins the reuse, elimination and recycling efforts being undertaken across the Company's multiple teams.

Green to Pack

Our Green to Pack programme aims to introduce as many recycled materials as possible into packaging, extend its useful life and facilitate its subsequent recycling, while at the same time optimising the transport of our products.

For example, in 2022, the Green to Pack boxes used to ship and distribute our products contained more than 75% of post-consumer recycled cardboard.



5.4. Our shareholders

Related material topics: Stakeholder engagement; Responsible communication.



5.4.1. Ownership structure and shareholder remuneration

GRI 2-1; 201-4

We implement a policy of transparent and fluid communication with all shareholders. We offer an attractive, predictable and sustainable dividend, while generating the funds for reinvestment in business growth. Our best practices keep us at the top of selective and benchmark indices from both the financial and sustainability best practices standpoints.

The approximate overview of the ownership structure²⁸ of Inditex is as follows:

Inditex shareholders 31/01/2023	Shares	%
Pontegadea Inversiones, S.L.	1,558,637,990	50.01%
Partler Participaciones, S.L.U.	289,362,325	9.284%
Rosp Corunna Participaciones Empresariales, S.L.	157,474,030	5.053%
Institutional	1,052,236,288	33.7618%
Retailer	54,008,853	1.7329%
Treasury shares	4,932,514	0.158%
Total	3,116,652,000	100%

The shareholder remuneration policy, approved by the Inditex Annual General Meeting, aims to offer an attractive, predictable and sustainable dividend over time, consistent with the Company's growth. This policy prioritizes maintaining a high level of funds to guarantee investment in the Company's future growth and ensure value creation.

Inditex dividend policy combines a 60% ordinary payout and bonus dividends. A dividend of €0.93 per share against 2021 results and unrestricted reserves was paid in May and November 2022, made up of two equal payments in the same amount of €0.465 per share.

In 2023, the Board of Directors will propose to shareholders at the Annual General Meeting to pay shares with a right to dividend, a dividend of €1.20 per share, being comprised of €0.796 per share ordinary dividend and €0.404 per share bonus dividend against 2022 results and unrestricted services. Such dividend will be paid on 2 May and 2 November 2023 in two equal payments in the same gross amount of €0.60 per share.

5.4.2. Investor relations

Inditex's relations with its current or potential shareholders, are governed by the Policy on Communications and Contact with Shareholders, Institutional Investors and Proxy Advisers, approved by the Board of Directors in December 2015, as well as by the Regulations of the Board of Directors.

Inditex guarantees the market (shareholders and potential shareholders in particular) equal access to information through all its channels. The Inditex website plays a very important role in implementing this transparent communication policy and in guaranteeing access to information. For the sake of transparency, a comprehensive list of the entities and analysts who compile research on Inditex is also published on the corporate website (www.inditex.com).

²⁸ Shares in the Company are represented through book entries. The record of these book entries is kept by *Sociedad de Gestión de los Sistemas de Registro, Compensación y Liquidación de Valores (Iberclear)*. Inditex has contracted with Iberclear the service for daily communication of ownership (Shareholder Registry Book - LRA).



Individual Shareholders' Department

In 2022, the Individual Shareholders' Department fielded 800 requests of various kinds from individual shareholders. Any individual investor can contact the Individual Shareholders' Department for detailed information on business development and future strategy. Using this channel, individual shareholders can request any information that they consider relevant on Inditex's performance.

The Individual Shareholders' Department takes on particular significance when the Annual General Meeting, which traditionally takes place at the Arteixo (A Coruña) headquarters in mid-July, is called and held.

Likewise, the department is tasked with sending out accurate information and documentation to provide shareholders with adequate knowledge of the meeting called and the proposed content thereof, as well as to facilitate their participation in the decision-making process of the Group's highest governing body.

Investor Relations Department

/ 35 financial and stock market entities publish research on Inditex's market position.

Material information concerning the business performance is provided on Inditex's corporate website and distributed to a database of investors and analysts containing more than 1,100 entries.

The Investor Relations staff hold quarterly, open-access conference calls to complement this information. Moreover, presentations are made to analysts and investors over the course of the year in the world's leading financial capitals.

5.4.3. Indices

In keeping with the mandate of its shareholders, Inditex is listed in benchmark indices, from the perspective of both its financial performance and best practices in sustainability matters.

Euro STOXX 50/IBEX 35

Inditex has been listed on the European benchmark index Euro STOXX 50 since 2011 and on Spain's selective IBEX 35 index since 2001.

FTSE4Good

The FTSE4Good sustainability index, which has included Inditex in its index since October 2002, awarded it in 2022 a score of 4.7 out of 5. This sustainability stock index includes the worldwide companies with the strongest commitment in this sphere, taking into account their environmental, social and corporate governance practices.

Dow Jones Sustainability Index (DJSI)

Inditex is included in the DJSI World and DJSI Europe indices. Since 1999, the Dow Jones Sustainability Index has been analysing the performance in terms of sustainability of listed companies from a total of 61 sectors.

In 2022, Inditex scored 73/100 in S&P's Global Corporate Sustainability Assessment (score date: 8 December 2022). With regard to the environment, Inditex was awarded a score of 87/100, i.e., in the highest percentile (100%).

5.5. Environment

GRI 2-23; AF5

Related material topics: Stakeholder engagement; Innovation; Climate change; Environmental footprint minimisation; Protection of natural resources.



Our sustainability strategy encompasses numerous initiatives aimed at preserving the planet, reducing pressure on natural resources and contributing to the fight against climate change. In 2022, we achieved our goal of 100% renewable electricity in our facilities²⁹. In this regard, we also highlight the VPPA (Virtual Power Purchase Agreement) signed for the supply of 100% renewable electric power which promotes additionality³⁰, by generating new renewable energy capacity in Spain.

We also work with our suppliers and other organisations in the industry to foster the implementation of specific improvement plans in our supply chain. In 2022, we launched a first pilot of our Collaboration Programme for Environmental Improvement aimed at transforming the supply chain and reducing its environmental impact, with a particular emphasis on water, polluting discharges, management of chemical products and energy, involving 208 key facilities. These plans enable us to optimise the use of fresh water and energy, which in turn reduces the associated emissions. This year, we have reduced the relative water consumption (l/kg) in our supply chain by 17% with respect to 2020.

Furthermore, we are mindful of the particular relevance of protecting biodiversity, not only because of our specific business, but also because it is an essential element for the conservation and well-being of society and the planet. We contribute to protecting and caring for biodiversity through a number of initiatives, such as our involvement in the LEAF Coalition, a project on regenerative agriculture and the restoration of ecosystems in India, or our work with World Wide Fund for Nature (WWF) and Canopy.

Our Sustainability Policy³¹ establishes the principles of environmental action, applicable across all business areas and throughout the value chain. It establishes as a fundamental principle the preservation of the environment through the implementation of continuous improvement actions in aspects such as emissions to air, consumption of resources, use of chemicals and waste management.

Notable among these are the consideration of environmental variables in the planning and development of our activities and

those of our partners and suppliers; the promotion of environmental awareness; and compliance with applicable environmental legislation (as well as other obligations that may be established).

These principles of action are embodied in our three environmental strategies—Energy, Water and Biodiversity—as well as in the commitments we have acquired with respect to forest products, as set out in our Forest Product Policy.

Environmental Strategies

Global Energy Strategy

Guidelines for promoting sustainable energy practices.

Global Water Management Strategy

Guidelines and actions for promoting sustainable water management.

Biodiversity Strategy

Guidelines and actions for promoting the protection, conservation and development of biodiversity throughout the Inditex value chain.

²⁹ This includes all our own facilities (headquarters, logistics centres, factories and stores), with the exception of international offices.

³⁰ Additionality is a feature of power purchase mechanisms whereby the construction of new renewable energy generation infrastructure that would otherwise not be guaranteed to be developed is promoted.

³¹ Our Sustainability Policy replaces the previous Environmental Sustainability Policy, the amendment of which was approved by the Board of Directors on 14 December 2020.

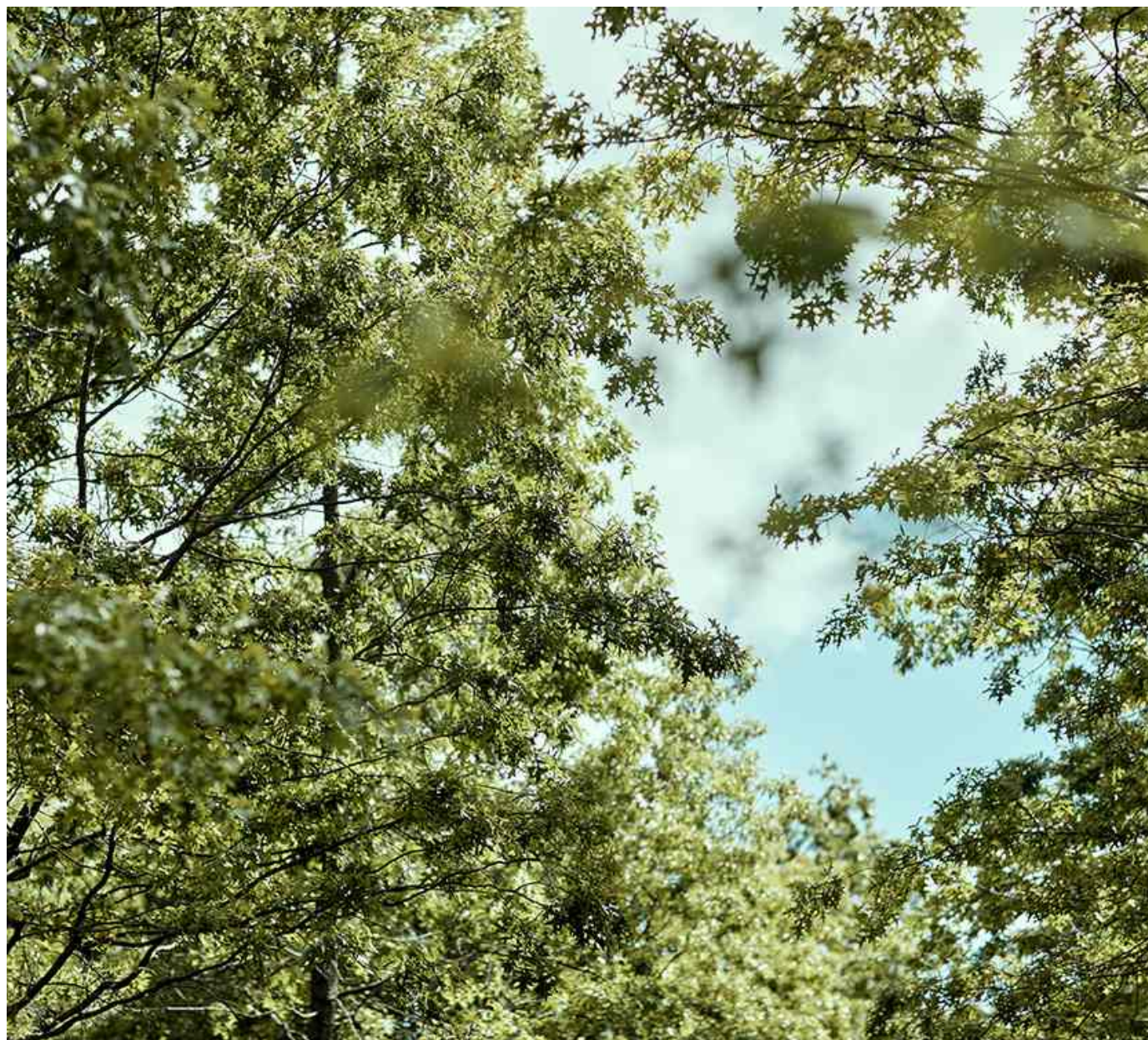
Forest Product Policy

Guide for the selection and use of raw materials sourced from forests aimed at ensuring that they come from sustainably managed forests and with the commitment to protect primary and endangered forests.

The current challenges call for swift and coordinated action by all. In this regard, Inditex works closely with organisations such as the MIT through the Climate and Sustainability Consortium, The Fashion Pact, the UN Fashion Industry Charter for Climate Action, Textile Exchange and Zero Discharge of Hazardous Chemicals (ZDHC), among others.

① More information in section [4.2.1. Partnerships](#) of this Report.

A fundamental aspect when implementing our strategies and achieving our environmental sustainability goals is to spread the sustainability culture to all our teams. In 2022, we continued to provide training and raise awareness among our staff. Overall, more than 13,000 employees received environmental sustainability training in 2022.



5.5.1. Our approach to energy management and emissions reduction

GRI 2-23; 3-3; 302-1; 302-2; 302-3; 302-4; 302-5; 304-2; 305-1; 305-2; 305-3; 305-4; 305-5; 305-6; 308-2; AF5; AF21

At Inditex we understand the need to make an unprecedented global effort to reduce greenhouse gas (GHG) emissions and mitigate the consequences of global warming and climate change as much as possible. We are therefore constantly seeking solutions that allow us to evolve our processes and implement best practices so as to ease the pressure on resources.

It is worth noting that, in 2022, 100% of the electricity consumed in our own facilities (headquarters, logistics centres, factories and stores) came from renewable sources.

Progress and current situation

In the last few years, we have developed a number of initiatives that have enabled us to advance on our path towards a low-carbon economy and to reduce greenhouse gas emissions throughout our value chain.

Scope 1, 2 and 3 GHG emissions (tnCO₂eq)¹

GHG emissions	2022	2021	2020	2019	2018	2022-2018 change
Scope 1	11,232	14,575	11,859	15,804	19,172	-41%
Scope 2 market-based	0	47,770	98,676	293,981	419,448	-100%
Scope 2 location-based	451,430	541,492	363,717	589,547	651,266	-31%
Scope 3	17,223,485	17,097,801	13,341,462	17,988,897	18,325,553	-6%
Kg CO ₂ eq per m ² (market-based scope 1+2)	2	8	14	39	58	-97%
g CO ₂ eq per € (market-based scope 1+2)	0	2	5	11	17	-98%
g CO ₂ eq per € (market-based scope 1+2+3)	531	619	659	647	718	-26%

1. For more information on this methodology, see section 7.1.3. *Environmental impact management indicators* of this Report. Our decarbonisation targets and progress towards them have not been significantly affected by the current situation of Russia and Ukraine.

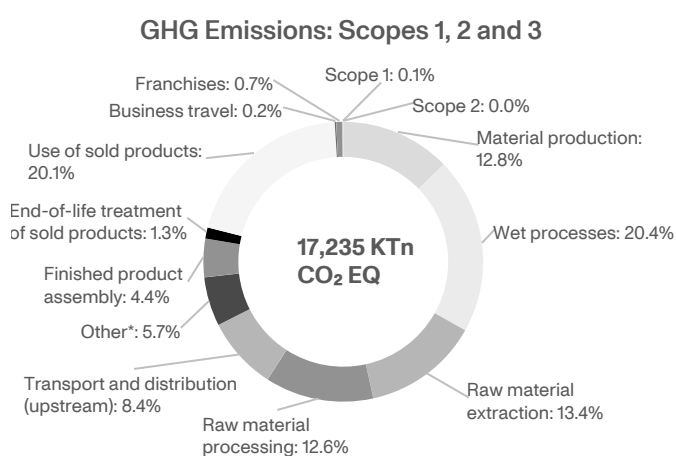
Scope 1 emissions: direct emissions related to sources under the direct control of the Inditex Group (combustion in boilers, own vehicles, etc.).

Scope 2 emissions: indirect emissions related to the generation of electricity acquired and consumed.

Scope 3 emissions: include other indirect emissions linked to the supply chain of goods and services produced, distributed and marketed outside the Organisation. For greater transparency, the “purchased goods and services” category, according to the GHG Protocol, is subdivided into the following categories: raw material extraction, raw material processing, material production, wet processes and final product assembly.

Scope 3 also includes emissions linked to the transportation of the products we market. In 2022, the emissions associated with upstream inbound transport and upstream outbound transport were equivalent to an energy consumption of 1,791,523 MWh and 4,031,013 MWh, respectively (3,357,983 MWh and 3,953,264 MWh in 2021; 2,802,639 MWh and 3,218,377 MWh in 2020; and 3,431,069 MWh and 4,306,576 MWh in 2019). Electricity consumption in franchised stores amounted to 262,397 MWh and business travel consumption was 130,381 MWh (242,439 MWh and 63,839 MWh in 2021; 150,114 MWh and 18,488 MWh in 2020; and 226,520 MWh and 218,274 MWh in

2019, respectively).



* The “Other” category includes GHG emissions associated with the categories of capital goods, employee commuting, fuel and energy related activities, and waste generated in own operations.

Ambition and goals

Our Roadmap includes numerous targets to achieve headway in fighting climate change and preserving the planet. In the long term, the Group aims to achieve net zero carbon emissions by 2040. To do so, we are focusing our efforts on reducing emissions, following SBTi guidelines and our commitment to the Fashion Industry Charter for Climate Action, in alignment with the Paris Agreement goal on limiting global warming to 1.5°C.

In the medium term, we have set science-based decarbonisation targets (SBTs), approved by the Science-Based Targets initiative (SBTi). These targets aim to reduce our scope 1 and 2 emissions by 90% by 2030 compared to 2018, and to reduce our scope 3 emissions (in the supply chain category) by 20% over the same period.

In 2022 our scope 3 emissions, and in particular those associated with the supply chain category, have remained broadly stable compared to 2018. We are aware that there is still some way to go in this area and have therefore increased our efforts in this category in 2022. Of particular note is the launch of our Collaborative Programme for Environmental Improvement of the supply chain, which has a specific focus on reducing energy consumption and associated emissions, as well as the

use of renewable energy.

We want to be an active part of the change, mindful as we are of the complexity of the challenges, such as the inherent difficulty of the lack of availability of renewable energies in the markets in which our value chain is deployed, the opportunities and the increased scientific knowledge available. That is why we regularly review our models and targets to ensure that they are consistent with our own ambition, our stakeholders' expectations and the latest scientific evidence.

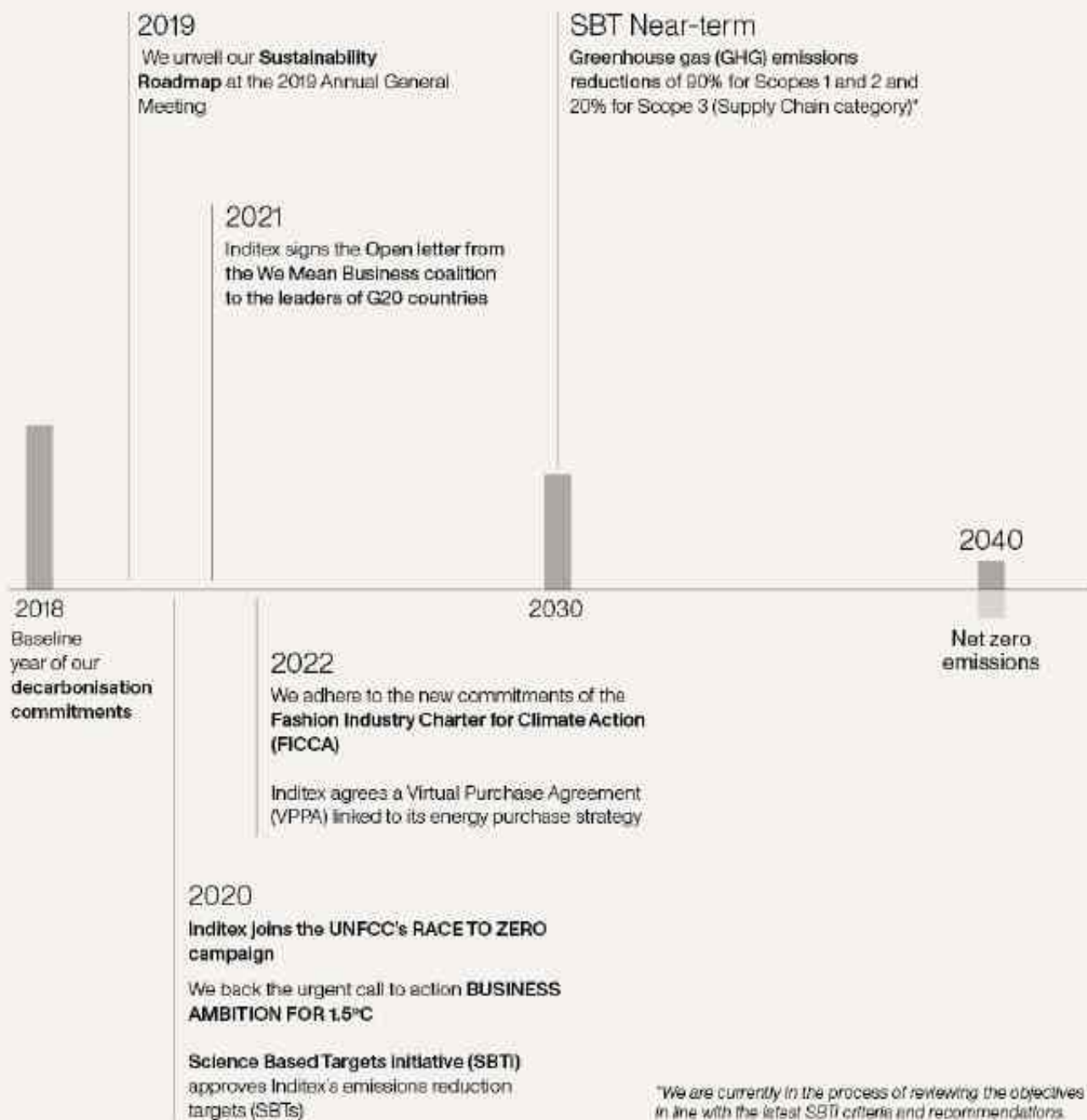
Although at the time of their approval our SBTs were classified as "ambitious" by SBTi, the available scientific evidence has evolved and the level of ambition and demands of all stakeholders has increased, and with it also our own. Consequently, we are currently in the process of updating our medium-term commitments to align the reduction percentages with the updated SBTi criteria, and thus move further towards the 1.5°C reduction target across all three scopes. We will present the results of this process over the course of 2023.

In this regard, in 2023 we will publish our decarbonisation plan, including the action lines, intermediate targets and resources needed to reach our goal of net zero emissions by 2040.

In 2022, we signed up to the new targets set by the United Nations Fashion Industry Charter for Climate Action, which include, among others, the following:

- / To support the goals of the Paris Agreement in limiting global temperature rise to well below 1.5°C; to commit to SBTi approved GHG emission reductions in scope 1, 2 and 3 in line with the latest SBTi criteria and recommendations; and to undertake to achieve net zero emissions by 2050 at the latest;
- / 100% of priority materials must be preferred and low-climate-impact by 2030. This includes materials that are closed-loop recycled, deforestation- and conversion-free at source, that come from regenerative practices and to which the relevant verification and impact measurement mechanisms have been applied;
- / To eliminate the use of coal in our own operations and in suppliers' facilities (tier 1 and 2) by 2030, avoiding the installation of new coal-fired equipment from 2023 onwards.

Our pathway to net zero emissions



In addition, we continue to work on the integration of the recommendations of the Task Force on Climate-Related Financial Disclosures (TCFD). We analyse future climate scenarios and the associated risks and opportunities to pursue a decarbonisation strategy that is in line with science, resilient and competitive in the short, medium and long term.

① More information in section [6.3.4. Climate change: risks and opportunities](#) of this Report.

Our actions

The impact of greenhouse gas emissions (GHG) is closely linked to the methods of energy generation and consumption in our own operations and in the value chain, to the materials we use in our products and to their end of life. Our approach to reducing these emissions is based on three key lines of action:

- / Monitoring consumption and associated emissions: gauging our impact more accurately and reliably gives us a better understanding of our current situation and how the measures we implement perform.
- / Lower-impact consumption alternatives: with a focus on energy procurement, but also on the materials and designs of our products and facilities.
- / Efficiency and optimisation initiatives: by using less energy-intensive equipment and techniques, and replacing process with others that have a lower impact.

5.5.1.1. Monitoring consumption and associated emissions

Inditex's Global Energy Strategy constitutes one of the main pillars of our commitment to decarbonisation. Its purpose is to promote the rational and efficient use of energy throughout the value chain. At the same time, we propose to reduce greenhouse gas emissions and help mitigate their effects.

The Group's global energy consumption at our corporate headquarters, own factories, logistics centres and own stores amounted to 1,694,817 MWh³² in 2022, of which 1,636,795 MWh came from renewable sources. This implies a 13% reduction in relative energy consumption per square metre with respect to 2018, evidencing the energy efficiency efforts implemented by the Group.

Global energy consumption:¹

Year	Global energy consumption (MWh)	Relative energy consumption (kWh/m ²)	Relative energy consumption (Wh/€)
2018	1,969,127	262	75
2019	1,892,947	237	67
2020	1,270,704	165	62
2021	1,756,210	225	63
2022	1,694,817	228	52

1. This indicator records all the energy consumed at our Group's own factories, stores, own logistics centres and by our own vehicles.

Global energy consumption by type (MWh):

Year	Electricity	Natural Gas	Other fuels
2018	1,865,074	103,724	329
2019	1,807,556	84,627	764
2020	1,206,543	63,905	256
2021	1,678,957	72,050	5,203
2022	1,636,795	49,269	8,753

Electricity consumption in corporate headquarters, logistics centres and own factories:

Financial year	Total electricity consumption (MWh)	Relative electricity consumption (kWh/m ²)	Relative electricity consumption (Wh/€)
2018	159,434	50	6
2019	175,308	49	6
2020	163,897	46	8
2021	175,217	48	6
2022	176,432	48	5

Electricity consumption at our stores:

Financial year	Global electricity consumption in stores (MWh)	Relative electricity consumption in stores (kWh/m ²)	Relative electricity consumption in stores (Wh/€)
2018	1,705,639	394	65
2019	1,632,248	371	58
2020	1,042,646	252	51
2021	1,503,739	363	54
2022	1,460,363	389	45

Environmental Management System

Efficiency is a priority at all the Group's facilities. Our Environmental Management System (EMS) is a core pillar of our commitment to using renewable energy and circular management models. Certified to ISO 14001 international standard, the EMS is **implemented in 100% of the Group's corporate headquarters, own logistics centres and own factories**. Inditex has a team of 26 people to prevent environmental risks linked to these facilities, and to monitor and assess the proper implementation of the EMS.

In 2022, 2021, 2020, 2019 and 2018, no significant penalties or fines were imposed for breaches of current environmental regulations. Moreover, the Group does not have facilities in protected areas.

Risk Management and Control Policy

Inditex's Risk Management and Control Policy, which has been in force since 2015 and was last modified in 2020, affects the entire Group and forms the foundation of an Integrated Risk Management System (IRMS). It establishes the basic principles, key factors and general framework for action to manage and control risks affecting the Group, including climate risks.

³² The electricity consumption in stores has been calculated on the basis of actual billing data. For those stores or periods for which we do not have information available, it has been estimated considering average consumption. This indicator records all the energy consumed at our Group's own factories, stores, own logistics centres and by our own vehicles.

① More information in section [6.3.4. Climate change: risks and opportunities](#) of this Report.

Bearing our business activity in mind, the Group has no liabilities, expenses, assets, provisions or contingencies of an environmental nature that could play a significant role in terms of the net assets, the financial situation and results of the Company. For this reason, such specific breakdowns are not included in this Report.

5.5.1.2. Lower-impact energy consumption alternatives

The generation and acquisition of energy from renewable sources is a core pillar of the architecture of our business model. Consequently, in 2022 we have reached our target in the established time frame, using **electricity from renewable sources** in all our own facilities.

Within the framework of our commitment, among other measures we have invested in generating renewable energy at our own operating centres. We use our own solar thermal, solar photovoltaic and wind energy, as well as facilities to harness geothermal energy.

In 2022, 100% of the electricity consumed at our facilities came from renewable sources (1,636,795 MWh), excluding self-generated electricity. This milestone means total savings of 451,430 tonnes of greenhouse gas emissions, 95% more than in 2018 (1,593,547 MWh consumed and 493,723 tonnes of GHG emissions avoided in 2021; 978,266 MWh and 265,041 tonnes in 2020; 1,144,020 MWh and 295,566 tonnes in 2019; and 837,626 MWh and 231,818 tonnes in 2018, respectively).

Percentage of electricity coming from renewable sources:¹

Year	% of electricity coming from renewable sources
2018	45%
2019	63%
2020	81%
2021	91%
2022	100%

1. In the case of renewable energy certificates, the period for the data is the calendar year, instead of the fiscal year (period of this Report).

a) Self-consumption

Self-consumption means generating energy at our own facilities or at nearby and associated infrastructure for our own consumption and it is the most direct way to contribute new renewable energy generation infrastructure. The roll-out of photovoltaic and wind power generation facilities for self-consumption is included in Inditex's renewable energy adoption strategy for the next few years, as unequivocal evidence of our commitment to reducing greenhouse gas emissions.

At year-end, we had several active photovoltaic generation plants and a wind turbine generator which generated 7,756 MWh of electricity (5,920, 1,373, 811 and 575 MWh in 2021, 2020, 2019 and 2018, respectively), i.e. 31% more than in 2021, and with the following installed capacities: 3 MW in Lelystad, 1 MW in the employee car park at our Arteixo Central Services facilities, 850 kW of wind power at Arteixo Central Services and 100 kW in the Arteixo Technology Building, 200 kW in the headquarters of Zara.com and Zara Man, 30 kW in the Tempe 1 centre, 200 kW in the Tempe 3 centre, 200 kW in the Tempe 3S centre and 100 kW in A Laracha fabric warehouse.

We also have a co-generation plant, which enables the simultaneous production of heat and energy using natural gas. In 2022, this plant generated 2,061 MWh of electricity and 1,976 MWh of thermal energy (8,852 MWh of electricity and 10,051 MWh of thermal energy in 2021; 4,334 MWh of electricity and 6,679 MWh of thermal energy in 2020; 7,785 MWh of electricity and 11,002 MWh of thermal energy in 2019; and 17,317 MWh of electricity and 16,634 MWh of thermal energy in 2018). In addition, 362 MWh of thermal energy was generated by geothermal facilities and solar panels during the year (653 MWh, 633 MWh, 577 MWh and 329 MWh in 2021, 2020, 2019 and 2018, respectively).

A notable future project is the **Outer Port Wind Facility in A Coruña** with an estimated investment of 34 million euros³³, scheduled to enter into service in 2025. In 2021, we commenced the necessary procedures to start the authorisation process for the collective self-consumption facility in the Outer Port of A Coruña. The goal is to be able to generate on-site the renewable energy necessary to cover the annual electricity required by our headquarters in Arteixo, as well as to supply clean electricity to the port's own infrastructures. In 2022, we continued to move forward in the administrative procedures with all the official bodies involved and we are fully immersed in the project's engineering definition and development phase.

This project developed in collaboration with the Port Authority of A Coruña is a pioneering initiative that allows us to increase the amount of self-generated renewable energy, while at the same time positively impacting the environment around our headquarters and setting an example of public-private partnership initiatives aimed at reducing GHG emissions. The construction of the wind facility in the Outer Port of A Coruña involves installing 3 wind turbines, each with a capacity of 5.5-6 MW.

b) VPPA

A PPA (Power Purchase Agreement) is a long-term agreement between consumers and energy producers that allows the latter to secure the revenue necessary for the viability and access to financing for building new renewable generation infrastructure, even in the absence of incentives for renewable generation or investment subsidies. Through these commitments we contribute additional renewable energy to the grid by enabling new and dedicated renewable energy generation projects to be carried out in a stable, long-term manner.

³³ The planned investment corresponding to this project, which has not yet started, is included in the expected investment execution referred to in the section "[Information on the foreseeable development of the group](#)" of the Consolidated Directors' Report.

The projects we have selected belong to Energías de Portugal Renováveis (EDPR) and are located in Spain. These projects are in the development phase, pending final approval, and will come on stream in 2025 under the Virtual Purchase Power Agreement (VPPA) modality, provided they receive the administrative green light.

In VPPAs there is no direct supply of electricity from the developers to end consumers. The power generated is instead fed into the electricity grid. Decoupling production and consumption provides flexibility and better suits our consumption pattern in various geographies, helping to achieve our sustainability goals.

Accordingly, in 2022 we signed a VPPA, and we continue to work on negotiating new contracts that promote additionality by generating new renewable energy capacity.

① More information in [Note 26 Financial risk management policy and financial instruments](#) to the Consolidated Annual Accounts.

c) Energy Attribute Certificates

Where the scope for implementing other types of mechanisms is limited, we use options such as green tariffs and energy attribute certificates (instruments that certify the renewable origin of a certain amount of electricity generated, and that can be purchased on the market to prove that an electricity supply is from a clean source).

More than 90% of the energy allocation certificates we have used in 2022 comply with the requirements established by reference organisations, such as CDP, for this type of mechanism. In this sense, renewable energy is generated in the electricity market in which it is consumed, except in those exceptional cases in which its purchase is not viable.

5.5.1.3. Efficiency and optimisation initiatives

a) Efficiency in corporate headquarters, own logistics centres and own factories

At Inditex we have a culture of environmental efficiency; in other words, we apply processes that enable us **to control the consumption of resources** and take measures to reduce that consumption so as to mitigate the impact thereof. To ensure this is properly developed in our facilities, we make the necessary investments in all our headquarters and platforms in compliance with our Instruction for Proper Environmental Management, and we promote best practices in the day-to-day work of our employees.

The construction design of our headquarters is based on **bioclimatic criteria**. As part of our strong commitment to sustainability, we also strive to ensure that our facilities meet the highest standards of **sustainable construction**. Consequently, since 2009 we have certified our most emblematic spaces in accordance with the most prestigious standards in sustainable construction, such as the LEED certifications developed by the US Green Building Council³⁴.

This is the case of the LEED Platinum certification obtained in March 2022 for the new Zara.com building. Located at our Arteixo headquarters, this 67,000 m² facility boasts the latest advances in technology and sustainability.



We also strive to ensure efficient and sustainable energy management. In 2022, our headquarters in Arteixo and the Inditex Data Processing Centre, located in A Laracha (A Coruña) were certified to the ISO 50001 international standard.

b) Efficiency and sustainability in our stores

Energy efficiency and the application of best practices in the area of environmental sustainability is a priority for Inditex in both the design and the day-to-day running of its stores. To achieve this goal, we execute a number of projects to help make our stores spaces in which sustainability is **fully integrated**, from the facilities themselves to the products and the interaction with our customers.

In this regard we are constantly reviewing our standards to guarantee that they are in line with cutting-edge practices and implementing new programmes to advance on the path of continuous improvement and sustainability in our stores.

³⁴ All the certifications are currently valid.

Further evidence of our commitment to sustainable construction is the certification of our stores in accordance with prestigious international standards such as LEED and BREEAM³⁵. We currently have 8 LEED Platinum certifications, 25 LEED Gold certifications and 1 BREEAM certification.

Another significant step is the connection of our own stores with the central platform Inergy, which supervises and optimises energy consumption, boosts efficiency and reduces the environmental impact. At the end of 2022, 79% of our own stores were connected to the platform.

The energy efficiency policy is not limited to physical stores alone, but extends equally to the digital universe. The website of Zara, our most emblematic brand, is hosted at our own data centres and on external servers, which help us to streamline and store information. The electricity consumed by Zara.com's servers and offices comes from renewable sources.

In addition, the servers are equipped with technologies that help optimise energy consumption by using processors and power supplies that adapt to the servers' demands in real time.

c) Supply Chain

Collaboration Programme for Environmental Improvement

We work with our suppliers to implement measures to improve production processes and facilities in order to make better use of available resources. In 2022, we launched an Environmental Improvement Plan focused on reducing water and energy consumption and managing chemicals and discharges. This Program has been launched as a pilot with a selected group of key suppliers.

The facilities' energy management goals are as follows:

/ To increase the purchase and/or generation of electricity coming from 100% renewable sources.

/ To reduce thermal energy consumption in relation to stationary thermal sources.

This programme's methodology consists of the facility's drawing up an action plan. This plan is then verified by a third party and a baseline or starting point of energy consumption is established prior to the plan's implementation. Consumption is then monitored on a quarterly basis against this baseline.

① More information in section [5.5.2.2. Initiatives in supply chain](#) of this Report.

Other supply chain actions

As well as developing the collaborative programme for environmental improvement, our efforts are with respect to the supply chain focus on the following aspects:

/ Reducing energy consumption

In order to reduce energy consumption, we provide our suppliers with information on the best available techniques for the various manufacturing processes by means of an online knowledge transfer platform developed by Inditex, which is publicly available to the entire industry.

Furthermore, we use this same channel to make available to them the knowledge acquired through our collaboration with third parties on potential innovative solutions. For example, new dyeing and washing methods that reduce water consumption, lower the temperature required during the process and cut energy consumption, thus decreasing the associated emissions. One such collaboration is with BASF, to implement and optimise the first industrial cold washing system, SOKALAN HP 56 A, which can meaningfully reduce water and energy consumption in exhaust dyeing systems.

Other measures in this knowledge transfer platform include replacing equipment with more efficient iterations, the proper maintenance of equipment or changes to production processes.

/ Replacing fossil fuels

Some production processes require the use of energy sources to reach sufficient temperatures and generate steam. We encourage our suppliers to use alternative fuels such as responsibly sourced biomass, backed by certification, or fuels made from agricultural waste, or the electrification of equipment when possible.

Our goal is to eliminate the use of coal in our supply chain by 2030, and to avoid installing new coal-fired equipment from 2023.

/ Use of renewable energies

We promote the use of renewable energy in our supply chain. To this end, we share with suppliers in our main manufacturing clusters information on availability, regulations, procedures and indicative prices for the implementation of an array of renewable energy procurement solutions.

d) Efficiency in transport and distribution

In order to improve the impact of our distribution and logistics operations and reduce associated emissions, we have established several lines of action in connection with transport activities:

/ Fleet improvements

We work with our suppliers to analyse and promote alternatives to conventional means of transport. Thus, the use of electric vehicles is gaining particular importance for Inditex and we have a major electrification programme for our last mile deliveries in China, allowing us to reduce GHG emissions and air pollution in cities. Specifically, this project has been rolled out across 42 cities, allowing us to save 217.18 tonnes of CO₂ equivalent as compared to conventional fuel vehicles previously used, thereby reducing GHG emissions by 53%. The emission reduction

³⁵ All the certifications are currently valid.

capacity of electric vehicles is related to their energy consumption per unit kilometre, and is further boosted by reducing the total distance covered. In Spain, we have also electrified last mile deliveries at several Madrid stores.

/ Review of transport traffic and routes

We strive to find the best way to shorten the distances travelled in the supply and distribution processes of our goods. Similarly, we seek transport alternatives, including creating and using intermodal routes that allow us to establish new connections with low-impact transport such as the train.

/ Transport optimisation

We develop protocols that optimise, review and adjust loading proposals across all modes of transport and we work with our logistics service suppliers to ensure that the measures analysed are implemented by means of continuous communication of operational and occupancy data. Likewise, we actively search for units and vehicles that allow us to make better use of the capacity in accordance with the cargo being shipped, such as High Capacity Vehicles or special sized maritime containers.

/ Employee commuting

We also promote alternatives for employee commuting. We have more than 421 charging stations for electric vehicles in all the Group's central services to facilitate the use of such vehicles by employees. More than 397,000 kWh³⁶ were supplied from these stations (more than 197,000 kWh in 2021, more than 71,000 kWh in 2020 and more than 47,000 kWh in 2019), helping to avoid emissions associated with using fossil fuels. We also have Weshare, a proprietary application for carpooling to and from the workplace. In Spain, our office employees are provided with a shuttle bus service to get to work.

Atmospheric emissions and noise pollution

Atmospheric emissions from combustion equipment (heating boilers and steam boilers) are subject to regular checks and verifications by authorised control bodies to ensure that our logistics centres where this equipment is located comply with the applicable legislation. Thus, we ensure that our atmospheric emissions are within the legal limits for the parameters required in each case (for example, CO, NO_x, SO₂ and opacity).

Furthermore, to mitigate noise pollution, our Unloading Equipment Protocol aims to reduce noise from the distribution and supply of our products during night-time hours, when the permitted noise levels are more restrictive.

5.5.2. Our approach to water management

GRI 2-28; 3-3; 303-1; 303-2; 303-3; 303-4; 303-5

Water is a vital resource for the development of communities and ecosystems. Accordingly, water management at Inditex is grounded on the principles of the CEO Water Mandate, a UN Global Compact endeavour that encompasses environmental and social aspects. Our approach places a premium on reducing water consumption in our operations and supply chain. This, in addition to preserving water as a natural resource, contributes to reducing greenhouse gas emissions, as less energy is needed to heat water in those production processes that require it.

Our roadmap for sustainable and rational water usage throughout our value chain is defined by our Global Water Management Strategy. As we implement it, we develop a variety of individual initiatives and collaborate with various stakeholders to reduce our environmental impact and protect marine and freshwater habitats, always seeking the most sustainable and efficient processes and technologies. Notably, this strategy is currently in the process of being updated, with the aim of starting to implement the new version in 2023.

5.5.2.1. Initiatives in own operations

Water consumption at Inditex facilities is mainly for cleaning and sanitary purposes, and its discharge into municipal wastewater systems is guaranteed. In industrial settings, water is mainly used for steam generation and recirculation systems in closed-cycle industrial refrigeration, which allows us to estimate that the water discharged is equal to the water consumed. Wastewater in all facilities is discharged to the appropriate wastewater systems. At Inditex, water consumption does not affect protected habitats.

³⁶ Electrical consumption by electrical vehicle charging points in Group central services facilities, own logistics centres and own factories.

In 2022, our own facilities (headquarters, factories, logistics centres and stores) consumed a total of 1,780,190 cubic metres of water. The consumption at our centres is calculated through direct meter readings and bill charges from public water utilities companies.³⁷

Water consumption

Financial year	Water consumption (m ³)	Relative water consumption (litres/m ²)	Relative water consumption (ml/€)
2018	2,145,804	285	82
2019	2,068,661	260	73
2020	1,663,039	216	82
2021	1,886,900	241	68
2022	1,780,190	240	55

Some of the initiatives carried out include reusing 100% of the water for garden irrigation and flush toilets at our Indipunt facility in Narón (A Coruña), using **storm tanks** that in 2022 enabled us to collect 25,080 m³ of water (10,439 m³ in 2021) from the roofs of our centres in Cerdanyola, Arteixo and Lelystad to be used for irrigation, or replacing all taps and flushers at our distribution centres in Spain with others that reduce both the flow rate and operating time, resulting in savings of up to 55% of the water used.

5.5.2.2. Initiatives in supply chain

Our supply chain is key to our policy of responsible water use management, as it includes the two areas where the highest water consumption occurs in the production of goods. On the one hand, it covers the cultivation and production of raw materials such as cotton and, on the other, the wet processes (dyeing, washing and printing, among others) needed to make the items we sell. Consequently, taking 2020 as a baseline, the Group has established the goal of reducing **water consumption throughout the supply chain by 25% in 2025**. In 2022, we have reduced relative consumption by 17%, compared to 93³⁸ litres per kilogram of garment consumed in 2020.

Financial year	Relative water consumption (litres/kg garment)
2020	93
2021	88
2022	77

To achieve this goal, throughout 2022 we have worked on different initiatives such as:

- / Increasing the number of facilities that meet the requirements of our Care for Water programme and those that are evolving towards excellence.
- / Updating the requirements of our Care for Water programme in order to raise its standards and promote further savings in water consumption.
- / Developing, together with the facilities, action plans focused on optimising water consumption and improving and reducing wastewater.

/ Developing a knowledge transfer platform with best available techniques relating to water and wastewater for our supply chain facilities.

/ Establishing a network of collaborating facilities for implementing measures and/or technologies linked to reducing water consumption stemming from the Group's R&D work.

① More information in section [5.3. Our products](#) of this Report.

a) Care for Water

Our Care for Water programme, framed within the Green to Wear standard, distinguishes those facilities with proper water management under two categories: good and excellent. The programme promotes the use of measures, chemicals and technologies to reduce water consumption by boosting water efficiency, the optimisation of production processes and the investment in technology.

① More information in section [5.6.1. Sustainable management of the supply chain](#) of this Report.

The Care for Water programme provides "good" and "excellent" benchmark values for each type of wet process depending on the substrate (yarn, fabric, garment) and textile fibres used. These values are obtained from theoretical consumption estimates for each production process, to which variables such as machine cleanliness, among others, are added.

In 2022, we also reviewed this programme with the aim of raising its standards and promoting further water savings. The new benchmarks have been piloted at various facilities in different countries.

³⁷ The consumption by own stores has been calculated based on the net expenditure per store. The specific average price of 20 markets has been used. For all other markets, we have used the average of m³/m² per concept.

³⁸ The water consumption in the supply chain is calculated from the consumption data obtained in the environmental audits, for the cases in which the information is not available, it has been estimated considering the consumption averages.

b) Care for Water Improvement Programme

Launched in 2021, this programme specifically aims to help those facilities that have already been assessed within the Care for Water programme as having 'good' water management to improve to our highest Care for Water rating of 'excellent'. This target must be achieved within a maximum of 12 months. For this purpose, facilities must draw up an action plan that includes the measures to be implemented, their implementation date and their associated reductions in water consumption. The measures fall into four different types of initiative:

- / Investment in new technology.
- / Optimisation of the manufacturing process.
- / Re-use or recycling of wastewater that can be repurposed in manufacturing processes or in ancillary tasks such as cleaning machinery.
- / Zero Liquid Discharge or the installation of closed water loops in which there is virtually no consumption of water from the outside.

Facilities have 30 days to devise this action plan, during which they have the support and advice of external partner companies.

The quarterly progress of the action plan is verified by a third party who will determine whether the facility has achieved the water consumption reduction target within the established time frame. This year we have worked together with more than 242 facilities within the framework of this programme, providing them support, guidance and advice.

c) Collaboration programme for environmental improvement

Over the course of 2022, an action plan was launched to reduce the environmental impact of the Group's key suppliers' facilities, with a focus on water (as a complement to those facilities that are not under the scope of the Care for Water improvement programme), discharges, management of chemicals and energy. This This Program has been launched as a pilot with a selected group of key suppliers.

The objectives to be achieved by the facilities with regard to the first three areas are:

- / Reduction of water consumption to the Care for Water programme's 'excellent' level.
- / Quality of wastewater discharges in line with the basic level of the discharge standard developed by ZDHC.
- / Use of 100% ZDHC level 3 certified chemicals.

The methodology of this action plan is similar to that of the Care for Water Improvement Programme in terms of quarterly monitoring and the development of an action plan by the facility and its quarterly monitoring. This plan is then verified by a third party and a baseline or starting point of the facility's water consumption and other parameters of interest is established and monitored.

d) Knowledge transfer platform

Developed during 2022, this platform focuses on providing information to wet process facilities involved in devising action

plans and, on their own initiative, to those interested in improving both their water consumption and wastewater treatment.

With regard to consumption, once the production process or processes of interest to the facility have been selected, the tool supplies different measures ranging from potential optimisations of the production process to the use of certain chemicals, as well as different options for re-using or recycling water. Each of these measures is accompanied by information of interest for the facility, such as the investment needed, the estimated impact on consumption, potential constraints or difficulties of implementation, among others. Similarly, the platform also provides information on the best available technologies to carry out the process more efficiently. In this case, the information provided by the platform includes the main benefits of the new technology compared to conventional technology, the savings associated with its use, potential limitations, as well as some of its manufacturers.

For wastewater treatment, the platform provides information on various remedial measures for the chosen discharge parameters, as well as the cost associated with the implementation of such measures and the technologies required.

e) Network of collaborating facilities in the implementation of own R&D

Over the course of 2022, the Group has actively collaborated with different facilities to introduce innovative water saving measures and technologies in the sector. The creation of this network responds to several key objectives:

- / To demonstrate that new measures or technologies work outside the lab and on an industrial scale.
- / To assist these facilities in reducing water consumption.
- / To develop case studies that show the performance and water savings associated with new measures or technologies in a way that facilitates their implementation at other facilities.

5.5.2.3. Collaborations with external initiatives

Inditex works with the Chinese Institute of Public and Environmental Affairs (IPE) on the continuous improvement of environmental management in our supply chain in this market. This entity provides information through its environmental platform, both from governmental sources and from the factories themselves and the brands that work with them. In addition to the environmental performance of the textile factories, IPE monitors upstream suppliers (raw materials and chemicals) as well as the wastewater treatment plants and the results of the wastewater analysis. The IPE has recognised Inditex's efforts to improve the environmental performance of its supply chain, which is why the Group is ranked second in the textile sector and globally in the index that it publishes annually.

Over the course of 2022, we began collaborating with the World Wide Fund for Nature (WWF) to update our water management strategy and to combine our efforts with those of other companies and organisations in order to continue generating positive impacts.

In line with our commitment to Changing Markets for the procurement of responsibly produced viscose and modal fibres, manufacturers of these fibres, among others, are required to implement chemical management systems as well as water treatment systems with the ultimate goal of having "Zero liquid discharge" facilities. Similarly, compliance with various best manufacturing practices is verified through audits.

Finally, over the course of 2022, we have adopted the ZDHC's Manufacturing Restricted Substances List (MRSL), which regulates the quality of discharges, thus taking a further step towards convergence in the sector, facilitating compliance with manufacturing requirements for chemical suppliers as well as the facilities that use them. We have also integrated our The List by Inditex programme into the ZDHC Foundation's chemical control strategy. Hence, the entire industry will be able to benefit from key information to determine whether a chemical product complies with both the ZDHC's MRSL discharge parameters and the legal requirements applicable to the textile or leather item marketed.

④ More information in the document *Innovation, collaboration and continuous improvement for chemical safety* available on Inditex's corporate website.

5.5.3. Our approach to biodiversity

GRI 2-23; 3-3; 304-2

The **protection of biodiversity** is a key element of Inditex's sustainability strategy, both because of its importance for a thriving and resilient society, and because of the impact of our activity and its reliance on the ecosystemic services³⁹ that biodiversity supports.

Thus, a significant portion of our raw materials (cotton, other cellulosic fibres and materials, leather, etc.) depend on a functional soil, the availability of water for irrigation or the services of pollinators, factors which in turn rely on a diversity of ecosystems, species and genetic resources that guarantee their continuity and resilience.

In response to these concerns, Inditex published its Biodiversity Strategy in 2013, based on the principles of the United Nations Convention on Biological Diversity and establishing the commitment to moving towards a responsible use of resources at every stage of our value chain. In 2022, we commenced a process to update and strengthen this strategy, referencing the commitments of the latest UN Convention on Biological Diversity (COP15) and the resulting Post-2020 Global Biodiversity Framework. This strategy also seeks to build on flagship initiatives such as the Science-based Targets for Nature (SBTN) or the Taskforce for Nature-related Financial Disclosure (TNFD), with the aim of continuing to inhabit a space of common understanding and collaboration around these matters.

In keeping with these initiatives, we have classified our actions below according to the AR³T framework proposed by the SBTN, which includes the following dimensions: Avoid, Reduce, Restore, Regenerate and Transform. This framework is especially significant due to this last dimension, as it focuses on the "transformation" of the systems in which companies are immersed, where coordinated and collective action between different agents is particularly important.

5.5.3.1. Avoid

The first step towards protecting biodiversity and ecosystems is to **prevent impacts from occurring**. This is especially important when impacts occur in ecosystems of high biodiversity value, such as primary forests and the habitats of endangered species.

In this way, and acknowledging the pivotal role of forests as a refuge for biodiversity, a key element in the water cycle and a sink for greenhouse gases, our **Forest Product Policy** establishes that all forest-based materials we use must come from sustainable forestry operations, with the aim of avoiding the use of wood or pulp from primary and endangered forests.

This policy outlines how our wooden furniture and paper products, the bags we deliver to our customers, the product labels and the office paper we consume must be certified under FSC or PEFC forest management standards. It also establishes that we only use suppliers of regenerated cellulosic fibres designated as 'green shirts' in the Hot Button Report by Canopy, an international organisation with which we have been cooperating since 2014 whose mission is to protect primary and endangered forests. This Policy is also currently under review with a view to expanding its scope to include other materials linked to deforestation risk, such as leather.

We also seek to avoid impacting species in their natural habitat, establishing in our Sustainability Policy that, in the case of using products of animal origin, these must always come from animals raised on farms for meat and under no circumstances from animals slaughtered exclusively to market their skins, shells, antlers, bones, feathers or down, among others.

³⁹ Ecosystemic services are the benefits that people derive from ecosystems, according to The Corporate Ecosystem Services Review: Guidelines for Identifying Business Risks and Opportunities Arising from Ecosystem Change (2012), World Resources Institute.

The Group's Animal Welfare Policy states that:

- / Animal products must come from animals that have been treated ethically and responsibly, based on the internationally accepted "Five Freedoms" for animal welfare.
- / Animal products from slaughtered animals must come from species reared in farms to obtain meat.
- / We will never use products from animals slaughtered exclusively for their skin, shell, horn, bone, feather or down.
- / We will never sell cosmetic products that have been tested on animals at any stage of production.

5.5.3.2. Reduce

The next step is to reduce the potential negative impacts from the development of our activity. Thus, Inditex prioritises materials and production processes that reduce the potential negative impacts traditionally associated with them. Some notable actions in this regard are:

- / We continue our journey towards decarbonising our activities and thus also responding to the negative effects of climate change on ecosystems and biodiversity.

① More information in section [5.5.1. Our approach to decarbonisation and energy management](#) of this Report

- / We are committed to reducing water consumption in our supply chain by 25% in 2025 and we continue to make progress in mitigating wastewater impacts through our commitment to the ZDHC initiative, thereby easing pressures on this vital life element.

① More information in section [5.5.2. Our approach to water management](#) of this Report

- / We aim to reduce land use and the consequent risk of ecosystem conversion through our commitment to recycled materials and circularity in the textile sector, which means that the inputs needed to make garments come from garment recovery or the use of by-products or waste from other industries, reducing the need for virgin fibres and the end-of-life impacts of our garments.

① More information in section [5.3. Our products](#) of this Report.

- / We aim to reduce pollution from pesticides and fertilisers in water and ecosystems by fostering the use of organic, or in conversion, raw materials in our products.

① More information in section [5.3.2. Design and selection of materials](#) of this Report

5.5.3.3. Restore and Regenerate

We want to contribute to the conservation and restoration of ecosystems, seeking to improve their current status. These actions focus on regeneration and restoration activities:

a) Regenerate

At Inditex we are working to promote regenerative practices that allow us to reconcile the productive operation of land with concerns about the loss of nutrients, the supply and quality of water due to its contamination, the loss of biodiversity or the need to address the climate emergency, improving the soil's capacity to absorb carbon.

We have started to develop measures of this kind through our investment in a project to promote regenerative practices in India in conjunction with Action Social Advancement (ASA), Laudes Foundation, IDH The Sustainable Trade Initiative and WWF India. This project aims to promote these practices in an area of 300,000 hectares in the states of Madhya Pradesh and Odisha (India).

b) Restore

Restoration actions are those aimed at returning a degraded natural area to its original state (or as close to it as possible). To help us in this connection, in 2022 we signed an agreement with WWF to carry out ecosystem restoration projects globally.

The first projects in the framework of this collaboration with WWF focus on the restoration of forests, such as those of Datça-Bozburun in Türkiye and the Holm oak forest of the Cratere degli Astroni Reserve in Italy, which were affected by forest fires; and the conservation of the Dadia forest in Greece, a key site for the continent's birds of prey.

Beyond forests, and in recognition of the key importance of other types of ecosystems, the proceeds will also be used to restore river basins and freshwater ecosystems. The projects identified so far are located in North Africa—the Sebu basin in Morocco or the Guerbes-Sanhadja plains in Tunisia and Algeria—and in the Mekong Delta in Vietnam, affected by intensive rice cultivation, the degradation of which causes a significant loss of biodiversity and endangers the well-being and livelihoods of local communities.

Restoration and protection actions will also be undertaken in ecosystems that provide habitat for endangered wildlife, such as the Gran Chaco tropical forest and Pantanal wetlands, which span territories between Argentina, Brazil, Bolivia and Paraguay, in Mexico, where WWF teams work with local organisations to conserve Monarch butterfly and jaguar habitats, and in the Taihang-Yan Mountains and the Amur-Heilong region of northern and north-eastern China, inhabited by the leopard and by the Amur tiger respectively.

Inditex also followed with profound concern the devastating wildfires in the summer of 2022 and is in the process of defining an intervention plan in Galicia, one of Spain's regions most blighted by fire. This work is in addition to its ongoing efforts to promote sustainable forestry models that increase incentives towards better forest management, a line of action that began in 2018 with the Pico Sacro demonstration forest project. This line was reinforced in 2022 with the extension to other demonstration forests in areas of Galicia, in collaboration with the Galician Forestry Association, and in Portugal with Forestis, and together with WWF in Castilla-La Mancha to promote sustainable forest management in a territory that accounts for 13% of the forest mass in Spain.

5.5.3.4. Transform

Our actions to help transform the sector include:

- / Inditex joined the call within the "Business for Nature" initiative to require countries to introduce regulations that make estimating and reporting large companies' and financial institutions' impacts on nature mandatory as part of the new Post-2020 Global Biodiversity Framework.
- / In 2022, we signed up to the Arctic Corporate Shipping Pledge, an Ocean Conservancy initiative that encourages major logistics operators and global brands to undertake to avoid shipping routes through the Arctic, encouraging the application of the precautionary principle because of the potential impact on this unique ecosystem.
- / In addition to our efforts to protect forests, in 2021 we joined the LEAF Coalition, a public-private initiative coordinated by Emergent that seeks to transfer economic incentives to tropical and subtropical countries to curb deforestation in their territories, and thereby to avoid the resulting GHG emissions and with them the loss of biodiversity. In 2022 we confirmed the beneficiary countries—Costa Rica, Ecuador and Nepal in our case—opting for a contribution aimed exclusively at recognising these countries' efforts to avoid deforestation in their territories, and their progress towards climate mitigation, as they have proven that the actions they have implemented have worked.

/ We remain committed to joint action in the textile sector through our involvement in The Fashion Pact, a sector-wide initiative in which the protection of biodiversity, is one of the main axes, along with climate action and the prevention of microplastic ocean pollution.

5.5.4. Our approach to waste

GRI 3-3; 304-2; 306-1; 306-2; 306-3; 306-4; 306-5

Day to day, we pay special attention to the materials we generate in carrying out our activity. Accordingly, we run a number of projects to facilitate the recovery, reuse and subsequent recycling of these materials, turning them into resources that can continue to be used and maximising their value.

Zero Waste Programme

Within the framework of our Zero Waste programme, we have a multidisciplinary team focused on addressing the proper management of the materials we use in our facilities: containers, packaging and other items. Our commitment is that, by 2023 the waste generated at our corporate headquarters, logistics centres, own factories and own stores is properly collected and managed so as to be available resources for a new use by means of reusing or recycling.

Not only does this challenge involve properly sorting the various materials for treatment and subsequent recycling, but also presents an opportunity to rethink our processes so that we avoid generating waste in the first place and instead maximise the use of those resources in our design, logistics, store and end-of-life operations.

① More information about our programmes on the removal of unnecessary materials, packaging and our Green to Pack programme in section [5.3.4. Use and end of life of products](#) of this Report.

Our stores have a waste management system in place and the vast majority already meet our internal Zero Waste criteria. We continue to work to achieve our 2023 target.

Generation of waste

Waste generation at our facilities (headquarters, logistics centres and factories) is presented below⁴⁰:

⁴⁰ This data does not include waste generated in our own stores as this information is not available at the required level of detail in the Company's systems. We have several projects underway to report this information in future years.

Type of waste	2022 (KG)	2022 (%)	2021 (KG)	2021 (%)	2020 (KG)	2020 (%)	2019 (KG)	2019 (%)
Cardboard and paper	13,713,321	66%	13,248,191	65%	10,974,962	59%	14,662,698	63%
Wood	2,773,840	13%	2,982,115	15%	3,438,309	19%	3,769,554	16%
Other non-hazardous waste	2,951,460	14%	2,891,811	14%	2,771,796	15%	3,182,099	14%
Plastic	680,725	3%	831,837	4%	863,627	5%	892,516	4%
Textile waste	245,018	1%	252,831	1%	302,785	2%	498,217	2%
Metal	232,293	1%	159,204	1%	67,747	0%	267,715	1%
Hazardous waste	35,623	0%	31,428	0%	58,813	0%	78,479	0%
Total	20,632,280	100%	20,397,417	100%	18,478,038	100%	23,351,279	100%

The destination of this waste was as follows, according to its treatment¹

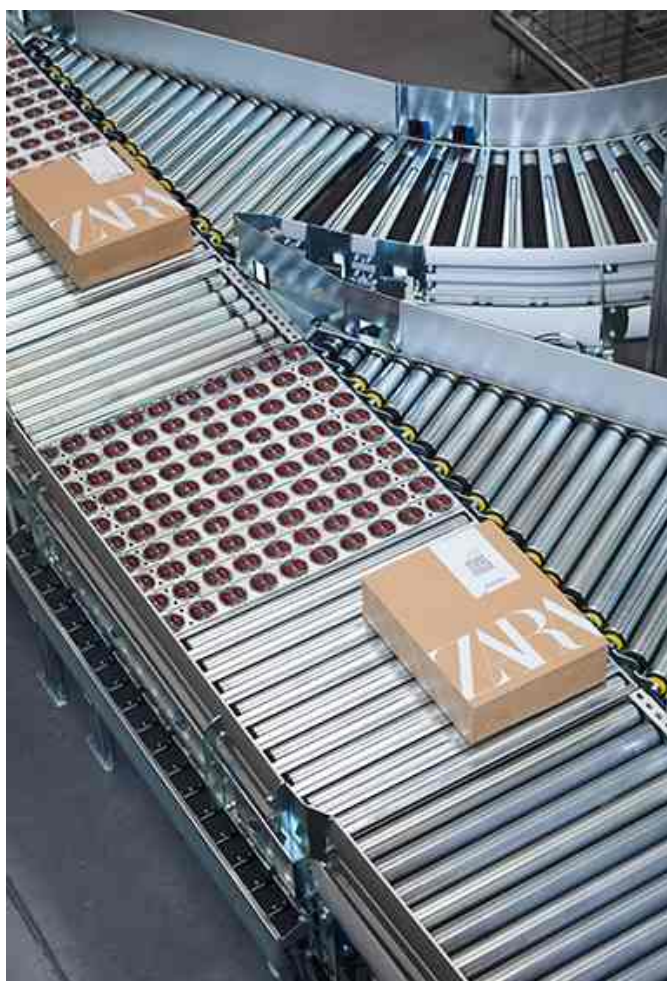
Non-hazardous waste destination	2022 (KG)	2022 (%)	2021 (KG)	2021 (%)
Diverted from disposal	18,811,731	91%	18,691,531	92%
Recycling	18,607,803	90%	18,256,653	90%
Preparation for reuse	203,928	1%	434,878	2%
Directed to disposal	1,784,926	9%	1,674,458	8%
Landfilling	1,600,519	8%	1,343,862	6%
Incineration (with energy recovery)	184,407	1%	330,596	2%
Total	20,596,657	100%	20,365,989	100%

1. With the update of GRI 306: Waste 2020 standard, the requirements on the detailed reporting of what happens to waste have changed with respect to the previous requirements set out in the 2016 edition of GRI 306. Due to the change, historical data are only available with the level of detail previously required.

Non-hazardous waste destination	2020 (KG)	2020 (%)	2019 (KG)	2019 (%)
Recycling	16,582,699	90%	20,903,595	90%
Energy recovery	238,426	1%	321,323	1%
Landfill	1,598,100	9%	2,047,882	9%
Total	18,419,226	100%	23,272,800	100%

Hazardous waste destination	2022 (KG)	2022 (%)	2021 (KG)	2021 (%)
Diverted from disposal	26,141	73%	25,229	80%
Recycling	24,531	69%	25,229	80%
Preparation for reuse	1,610	5%	0	0%
Directed to disposal	9,482	27%	6,199	20%
Landfilling	7,610	21%	4,864	16%
Other disposal operations	1,807	5%	400	1%
Incineration (with energy recovery)	0	0%	935	3%
Incineration (without energy recovery)	65	0%	0	0%
Total	35,623	100%	31,428	100%

Hazardous waste destination	2020 (KG)	2020 (%)	2019 (KG)	2019 (%)
Recycling	48,547	82%	71,613	91%
Energy recovery	976	2%	1,329	2%
Landfill	9,290	16%	5,538	7%
Total	58,813	100%	78,479	100%



Furthermore, the packing materials that accompany our products (bags, labels and protective items) are managed by the Integrated Packaging Management Systems available in the markets where we operate. Our brands collaborate with these managers in the collection and management of this packing. Our Green to Pack programme aims to optimise the use of these elements, to extend their useful life and enhance their recyclability.

① More information in section [5.3.4. Use and end of life](#) of this Report.

The waste reduction programmes also cover the canteen service at our headquarters. We promote the use of cups, glasses and glass bottles that avoid the use of single-use plastics, as well as various actions against wasting food and to encourage the proper separation of food waste.

5.6. Suppliers

GRI 2-6; 3-3

Related material topics: Stakeholder engagement; Value chain transparency and traceability; Responsible purchasing practices; Innovation; Human rights; Socially-sustainable production environments; Environmental footprint minimisation.



5.6.1. Supply chain management

GRI 2-4; 2-6; 2-24; 3-3; 303-2; 305-6; 308-1; 308-2; 407-1; 408-1; 409-1; 413-2; 414-1; 414-2; AF3; AF6; AF8; AF9; AF10; AF11; AF12; AF13; AF14; AF15; AF16; AF17; AF18; AF19; AF20; AF24

An agile and flexible supply chain, which allows us to respond to our customers' demands and meet the highest social and environmental standards, is one of the key aspects of our business model. In 2022, we worked with a total of 1,729 direct suppliers⁴¹ located in 50 markets who, in turn, used 8,271 factories⁴² to make our products, employing more than three million people (1,790 suppliers, 44 markets and 8,756 factories in 2021; 1,805 suppliers, 50 markets and 8,543 factories in 2020; and 1,985 suppliers, 51 markets and 8,155 factories in 2019)⁴³.

One of the hallmarks of our model is proximity manufacturing, which allows us to be more agile in our response to the market. In 2022, 49% of the factories that made our garments⁴⁴ were located in countries such as Spain, Portugal, Morocco or Türkiye.

The supply chain at Inditex in 2022

Suppliers with purchase in 2022

European Union

332 suppliers
1,591 factories

Europe outside the EU

210 suppliers
1,736 factories

Americas

11 suppliers
39 factories

Asia

255 suppliers
4,458 factories

Africa

201 suppliers
447 factories

Factories declared by suppliers in 2022

3,200

Spinning, weaving, and other raw material processes

106

Cutting

4,023

Sewing

165

Dyeing and washing

200

Printing

263

Finishing

314

Non-textile products

⁴¹ Suppliers of fashion articles with a production of over 20,000 units/year in the 2022 spring/summer and autumn/winter campaigns. Suppliers with lower productions account for 0.22% of total production.

⁴² Factories declared by the suppliers in the manufacturer's management system for 2022 orders.

⁴³ The data published in 2018 are not comparable with those in 2021, 2020 and 2019 due to the extended scope in the 2019 report on the number of suppliers and manufacturers.

⁴⁴ It includes cutting, sewing, dyeing and washing, printing and finishes factories.

The supply chain at Inditex in 2022

	Suppliers with purchase in 2022	New suppliers in 2022	Unused suppliers in 2022	Suppliers with purchase in 2021
Africa	201	30	23	194
Americas	11	0	1	12
Asia	955	156	179	978
Europe outside the EU	230	39	32	223
European Union	332	37	88	383
Total	1,729	262	323	1,790

We see the relationship with our suppliers as a process of continuous support and accompaniment. In this regard, our supplier clusters are a key tool for developing our sustainability strategy, as they act as spaces for dialogue and cooperation with the main industry players, such as trade unions, employers associations, administrations and NGOs, among others. We have twelve clusters in Spain, Portugal, Morocco, Türkiye, Brazil, Argentina, India, Pakistan, Bangladesh, China, Cambodia and Vietnam, manufacturing areas where 98% of our production was concentrated in 2022.

In keeping with this commitment to stakeholder engagement, we share the complete and updated list of our manufacturers and their compliance with our policies with the international trade union federation IndustriALL Global Union, as part of our Global Framework Agreement. In addition, we provide IndustriALL and its local affiliates with access to all the factories in our supply chain.

We also provide relevant information from our supply chain to organisations such as the International Labour Organization (ILO) in countries where we participate in the Better Work programme, ZDHC or IPE China with whom we share environmental information, as well as NGOs, investors and indices.

① More information in the document *Partnerships* available on Inditex's corporate website.

It is also important to underscore our commitment to maintaining a constant flow of communication with our customers on any issues related to our garments. In this regard, in 2022 we responded to 1,309 requests for information related to the manufacture of our products, our sustainability policies or the raw materials used.

5.6.1.1. Main standards, policies and principles on which our supply chain management is based

The main framework governing the relationship with all our suppliers is our **Code of Conduct for Manufacturers and Suppliers** (approved in 2001, updated most recently in 2014 and available on our corporate website). This document establishes the mandatory standards in matters of labour rights, product health and safety and environmental aspects.

To ensure that it is always fully aligned with best practices, Inditex has envisioned the Code of Conduct as a dynamic document subject to periodic review to ensure that its validity remains. Its conceptual framework is based on Organisation for Economic Cooperation and Development (OECD) principles, the Ethical Trading Initiative Base Code, the United Nations Global Compact principles and, among others, the following International Labour Organization (ILO) conventions: 1, 14, 26, 29, 79, 87, 98, 100, 105, 111, 131, 135, 138, 142, 155, 164 and 182.

Furthermore, in order to reduce the environmental impact of our supply chain, at Inditex we have our own Green to Wear standard, which is mainly applicable to factories that carry out wet processes. The application of this standard is also aimed at improving items' health and safety aspects, while promoting best practices. To achieve this, Green to Wear **includes aspects such as sustainable and efficient management of raw materials, water, technology and processes, chemicals, waste and wastewater.**

Any manufacturer or supplier wishing to form part of the Inditex supply chain must comply with the Code of Conduct for Manufacturers and Suppliers (hereinafter CCMS or Code of Conduct), with the Green to Wear standard, if applicable, and with our traceability requirements. Non-compliance, which is verified through frequent and periodic audits, may result in the termination of the business relationship.

For our part, we are committed to implementing responsible purchasing practices, which guide the way our buyers and product teams interact and negotiate with suppliers. These practices cover strategic planning, sourcing, development, purchasing and the underlying values and principles that affect workers, thus facilitating living wages and better working conditions as well as sustainable development in the garment, textile and footwear sector. In this regard, our participation in the ACT (Action, Collaboration, Transformation) initiative is crucial.

① More information in section [5.6.2. Workers at the Centre](#) of this Report.

5.6.1.2. Traceability of the supply chain

At Inditex, we see traceability as **our ability to identify and trace the history, application, location and distribution of products, parts and materials**, in keeping with Recommendation No. 46 of the **United Nations Economic Commission for Europe**⁴⁵.

Accordingly, we have traceability management and assessment programmes.

We are also working on deepening the traceability of raw materials, as achieving full traceability of our entire supply chain - including this phase - is one of the challenges facing our industry.

In 2022, we went a step further in the responsible management of our entire supply chain by introducing new traceability provisions, increasing the level of detail of the minimum requirements for our suppliers, already included in the Code of Conduct. Thus, these provisions state that our suppliers must:

- / Know their supply chain and work exclusively with manufacturers and intermediaries previously assessed and authorised by Inditex and which comply with all our Sustainability standards.
- / Notify of all the facilities and intermediaries involved in each of the productive processes, from fibre or yarn to the finished garment for each order, including both their own facilities and those contracted by themselves or by third parties. In 2022, we furthered our knowledge of their origin by working together with our suppliers.
- / Provide proof of the use of preferred raw materials⁴⁶ by means of documentation certifying their origin, including facility certification as required.

To ensure the understanding and proper application of these new requirements, over the past year we have conducted face-to-face training for more than 1,300 suppliers in 35 countries.

We strive to make it easier for suppliers to apply our requirements. For this reason, in 2022 we have continued to roll out our i-Trust management system, to help suppliers reflect the reality of their supply chain in a flexible, user-friendly and simple way.

Assessment systems

At Inditex we verify compliance with our traceability requirements by means of various control mechanisms.

Specifically, **designation control checks** are used to verify that suppliers have declared their supply chain by the established deadline, while the **raw materials certificates are reviewed** in order to verify them.

These control systems are accompanied by **traceability audits** which verify the information provided by our suppliers in the traceability management system, confirming on site that the Group's production does in fact take place in duly declared and authorised factories. Verification is performed by unannounced visits to the factory's facilities, to check the production

processes it can perform, the production in progress and the ones completed. The findings from the visit are compared with the information entered in the traceability tool, to prove both the processes and the units completed by the factory. Since September 2022, all audits are conducted through the In.Trace application, which gives auditors access to all the information linked to productions.

In 2022, **10,796 traceability audits** were conducted, revealing a total of 629 non-compliances.

	Traceability audits				
	2022	2021	2020	2019	2018
Africa	5,400	2,128	139	184	554
Americas	154	181	28	299	561
Asia	2,872	2,031	642	484	481
Europe outside the EU	1,283	1,111	385	258	733
European Union	1,087	668	148	171	217
Total	10,796	6,119	1,342	1,396	2,546

Based on the results obtained through this assessment system, we classify our suppliers into three categories on the basis of their non-compliance with traceability requirements and their recurrence of non-compliance:

		Suppliers in 2022
Approved	The supplier controls the traceability of its production and can therefore continue to form part of the Inditex supply chain.	975
Under monitoring	The level of compliance with traceability requirements is not adequate for Inditex and in order to continue working together the supplier must adhere to an improvement programme and successfully pass it.	403
Not approved	The supplier does not control the traceability of its productions and, therefore, is not suitable to work with Inditex, so it is blocked and cannot be used for our productions.	7

5.6.1.3. Monitoring, assessment and continuous improvement

Our long-standing relationship with our suppliers is based on a process of accompaniment, assessment and improvement that begins even before they work with us. In total, 12,152 supplier and manufacturer audits were carried out during the year, following which, where non-compliances were detected, Corrective Action Plans were developed. To carry out this verification, in addition to our own teams, we work with a total of 990 external auditors⁴⁷, of whom 679 were trained this year.

⁴⁵ Recommendation No. 46 of the United Nations Economic Commission for Europe: Enhancing traceability and transparency of sustainable value chains in the garment and footwear sector.

⁴⁶ It includes preferred raw materials according to the classification established by benchmark organisations such as Textile Exchange.

⁴⁷ Includes auditors that conducted social, environmental, pre-assessment, environmental pre-assessment, traceability, and special audits in 2022. The auditors are specialised in accordance with the scope of the audit.

Pre-Assessment

So as to ensure that only those that meet our social and environmental standards belong to our supply chain, we carry out an initial verification of compliance with our requirements by all new suppliers and manufacturers, through pre-assessment audits before they even commence their business relationship with us. In this pre-assessment process, we check that they adhere to our Code of Conduct and only those that are ranked as approved may receive orders from Inditex.

It should be noted that all suppliers, in order to be part of our supply chain, must first accept all the IMRs (Inditex Minimum Requirements) that apply to them. The IMRs are made up of a series of documents (such as the Code of Conduct for Manufacturers and Suppliers, the Policy on Human Rights or the Traceability Requirements for Suppliers and Manufacturers) where the social, environmental and product health and safety standards, among others, with which our suppliers and manufacturers must comply, are set out.

In 2022, 2,075 **pre-assessment audits** were carried out (2,397, 3,062, 2,789 and 2,177; in 2021, 2020, 2019 and 2018, respectively). Of these, 2,040 were performed by external auditors.

Pre-assessment audits in 2022		
	Pre-assessment audits	Approved %
Africa	97	86%
Americas	16	88%
Asia	1,438	73%
Europe outside the EU	245	66%
European Union	279	82%
Total	2,075	74%

Environmental pre-assessment

In October 2022, we launched an environmental pre-assessment. This is a remote assessment carried out by external auditors, which is performed on the new facilities in our supply chain that are subject to the Green to Wear standard once they have passed the pre-assessment and prior to the environmental audits, in order to ensure that they meet our requirements. Since its launch until the end of the reporting period, 56 such evaluations have been carried out.

As a result of the audit, the facilities are classified as being approved or not approved. Those classified as not approved are blocked, so they may not receive orders from Inditex.

Social audits

Once a factory passes the pre-assessment, **social audits are conducted periodically and regularly** at each supplier and factory in our supply chain to verify compliance with the Code of Conduct.

In 2022, a total of 5,955 social audits⁴⁸ were performed on factories in our supply chain in line with Inditex's own methodology. These audits can be carried out by internal or external auditors, but are always unannounced and include a site visit to assess aspects such as wage rates, working hours, health and safety conditions, among other requirements pertaining to the Code of Conduct.

Social audits	2022	2021	2020	2019	2018
Africa	390	244	197	406	380
Americas	35	63	14	19	55
Asia	3,058	3,139	3,259	3,020	2,473
Europe outside the EU	1,177	1,326	1,074	1,660	1,241
European Union	1,295	1,068	1,145	1,306	1,210
Total	5,955	5,840	5,689	6,411	5,359

In addition to our own methodology, verifications are also carried out following the methodology of the Social & Labour Convergence Program (SLCP) initiative, of which Inditex has been a member since its inception. This initiative aims to iron out audit fatigue in global supply chains by replacing the need for brand-specific audits, with the ultimate goal of improving conditions for workers. The process consists of a self-assessment performed by the factory itself, which is verified by a third party authorised by SLCP. This verification is then shared among the various stakeholders.

In 2022, 1,400 assessments to factories of our supply chain were performed in **China, Bangladesh, Türkiye, Pakistan, Vietnam and India** following SLCP methodology. Thanks to the efforts internally devoted on the technological sphere, which allow us an integration of our systems and the SLCP Gateway, 882 have been successfully integrated at Inditex systems and therefore substitute the audits performed with our own methodology. Therefore, in addition to those carried out using our own methodology, a total of 6,837 social audits were conducted at factories in our supply chain.

Furthermore, this year social audits were also performed, in accordance with our own methodology, at more than 70 external logistics centres with which we work.

Based on the social audits, suppliers and manufacturers are rated in accordance with their degree of compliance with the Code of Conduct. In 2022, the active suppliers were classified as follows:

⁴⁸ A company may receive more than one social audit during a fiscal year. Each audit carried out is considered when accounting for audits.

Classification	2022		2021		2020		2019		2018	
	Number of suppliers ¹	Percentage	Number of suppliers	Percentage	Number of suppliers	Percentage	Number of suppliers	Percentage	Number of suppliers	Percentage
A	650	38%	653	37%	575	32%	784	40%	661	35%
B	1,018	59%	1,077	60%	1,152	64%	1,051	53%	1,045	56%
C	10	1%	18	1%	27	2%	44	2%	80	4%
Subject to CAP	30	2%	23	1%	24	1%	38	2%	47	3%
PR	21	1%	19	1%	27	1%	68	3%	33	2%
Total	1,729	100%	1,790	100%	1,805	100%	1,985	100%	1,866	100%

1. It includes suppliers with more than 20,000 purchase units in the 2022 spring/summer and autumn/winter campaign. Suppliers with purchase of less than 20,000 units represent 0.22%.

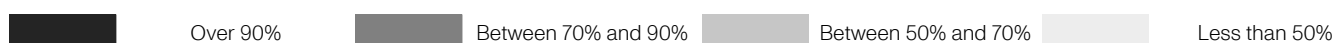
Social classification	Audit results
A	Complies with the CCMS
B	Does not comply with some non-relevant aspect of the CCMS
C	Does not comply with some sensitive, but inconclusive aspect of the CCMS
Subject to CAP	Breaches of the CCMS triggering the immediate implementation of a corrective action plan
PR	Undergoing an auditing process

Percentage of compliance with the Code of Conduct in the active factories⁴⁹ of suppliers with purchases in 2022:

	Africa	Americas	Asia	Europe outside the EU	European Union
No forced labour					
No work by youths or child labour ¹					
No discrimination					
Respect for freedom of association and collective bargaining					
No harsh or inhumane treatment					
Hygiene at work					
Wage compliance					
Working hours					
Environmental awareness					
Regular work					
Implementation of the Code ²					

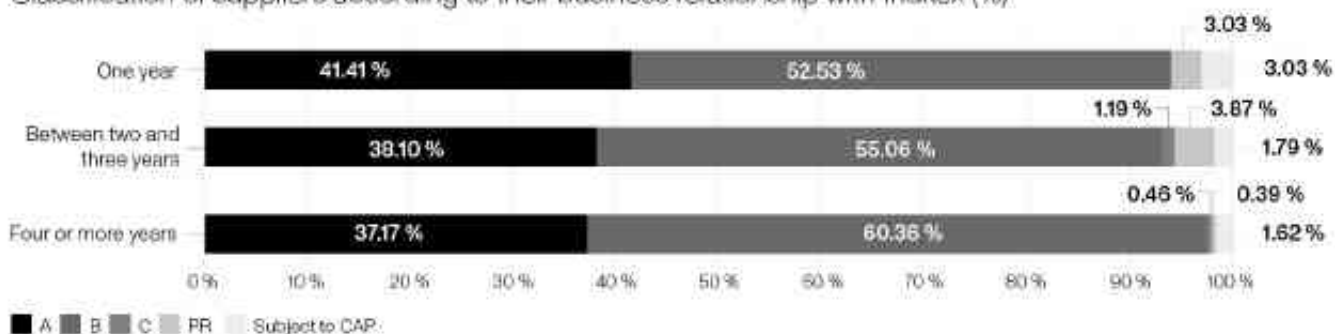
1. Includes the lack of suitable systems for verifying the age of workers.

2. Includes the lack of suitable systems for registering and communicating with workers.



Our ongoing work with suppliers is evidenced by the way their classification improves the longer their commercial relationship with Inditex.

Classification of suppliers according to their business relationship with Inditex (%)



⁴⁹ Factories blocked in 2022 not included.

Environmental audits

Compliance with our Green to Wear standard, which applies to facilities that mainly carry out wet processes, is regularly verified through environmental audits. This kind of audit is **performed by independent external auditors** during pre-announced visits which include a review of the documentation, and unannounced analyses of wastewater, where applicable. We share the results of these water analyses with the rest of our industry as part of our collaboration with ZDHC.

In 2022, 2,065 environmental audits were carried out⁵⁰.

	2022	2021	2020
Africa	75	67	26
Americas	6	4	1
Asia	1,225	936	670
Europe outside the EU	442	441	237
European Union	317	265	189
Total	2,065	1,713	1,123

In 2022, 78% of suppliers who are within the scope of the Green to Wear standard were classified as A or B, the highest scores as per Inditex's proprietary methodology.

Special audits

To assess compliance with specific aspects, we carry out special audits, which can be performed by external or internal auditors. 1,045 special audits were performed in 2022.

Special audits	2022	2021	2020	2019	2018
Africa	117	91	36	57	130
Americas	41	5	2	112	132
Asia	795	1,066	673	1,117	1,398
Europe outside the EU	51	233	43	236	201
European Union	41	13	27	97	121
Total	1,045	1,408	781	1,619	1,982

In this category, structural technical assessments are performed of the facilities, the workers' labour conditions are verified solely from a health and safety perspective, or follow-up visits are made to monitor Corrective Action Plans that are developed when a breach of our codes and/or standards is detected.

Specifically, in 2022, 424 of these visits were thematically focused on monitoring compliance with the Code of Conduct, 540 on the implementation of Workers at the Centre programmes and 81 on verification of the application of the Inditex audit methodology.

Continuous improvement

At Inditex, we believe in continuous improvement as a key to advancing towards our goals and strategies. Sustainable management of the supply chain is also consistent with this philosophy. One of Inditex's main tools for this purpose is the **Corrective Action Plan (CAP)**, in which our teams support and collaborate with suppliers to correct and prevent non-compliances. These plans can be devised by Inditex teams alone or in collaboration with other NGOs. In the most sensitive cases—classified as being 'subject to CAP'—the plan lasts approximately six months

/ Social CAPs: in 2022, 487 Corrective Action Plans were conducted. 292 of these plans were carried out in factories with a 'Subject to CAP' rating, and 195 in factories with other ratings (570 plans in 2021: 294 were carried out in factories with a 'Subject to CAP' rating, and 276 in factories with other ratings and 715 plans in 2020: 303 of these plans were carried out in factories with a 'Subject to CAP' rating, and 412 in factories with other ratings)⁵¹.

/ Environmental CAPs: in 2022, 547 Corrective Action Plans were conducted. 122 of these plans were carried out in factories with a 'Subject to CAP' rating, and 425 in factories with other ratings (583 plans in 2021: 171 were carried out in factories with a 'Subject to CAP' rating, and 412 in factories with other ratings and 490 plans in 2020: 132 of these plans were carried out in factories with a 'Subject to CAP' rating, and 358 in factories with other ratings)⁵².

At Inditex we believe that responsible purchasing management implies accompanying our suppliers in improving their social and environmental performance. However, our commitment to compliance with our standards entails a zero tolerance policy with those who do not show a willingness to improve, so that if, once the plan has been completed, the verification audit still reveals serious non-compliance, the factory or supplier will be blocked and will not be able to continue working for Inditex.

In 2022, 41 suppliers were ruled out for non-compliances linked to our Code of Conduct or other sustainability requirements, both social and environmental (16, 23, 25 and 26 in 2021, 2020, 2019 and 2018, respectively).

⁵⁰ The number of environmental audits conducted in 2019 and 2018 is not included, since due to the update of the Green to Wear 2.0 standard in 2020 and the consolidation of the previous Green to Wear and Ready to Manufacture standards therein, the number of audits reported in previous years is not comparable.

⁵¹ In 2019 and 2018, only Corrective Action Plans of a social nature implemented in factories or suppliers Subject to CAP were reported (400 and 417 in 2019 and 2018, respectively).

⁵² 136 and 135 total Corrective Action Plans in 2019 and 2018, respectively.

	Suppliers with purchase in 2022 ¹	Rejected due to a breach of the Code of Conduct	Rejected for commercial reasons	Active suppliers at 31/01/2023
Africa	201	2	4	195
Americas	11	0	0	11
Asia	955	13	2	940
Europe outside the EU	230	22	0	208
European Union	332	4	0	328
Total	1,729	41	6	1,682

1. Suppliers of fashion items with a production of over 20,000 units in the 2022 spring/summer and autumn/winter campaigns. Suppliers with lower productions account for 0.22% of total production.

The Corrective Action Plans are complemented by different plans and projects for improvement and support to suppliers and manufacturers, such as the programmes developed within the framework of our Worker in the Centre strategy. In addition, in 2022 we have launched a Collaboration Environmental Improvement and Supply Chain Transformation Programme, with a special focus on water, waste, chemical management and energy, involving 208 facilities.

① More information in sections [5.5.1 Our approach to energy management and emissions reduction](#) and [5.5.2 Our approach to water management](#) of this Report.

① More information in the document *Supply chain: management to transform the sector*, available on Inditex's corporate website.

Innovation in production processes

At Inditex we are committed to transforming our industry, including using production processes with a lower impact on water and energy consumption. In this regard, we work with different organisations and companies from various sectors to develop innovative solutions that reduce impacts.

One of the year's highlights has been the joint development with the CHT Group of PIGMENTURA by CHT, an innovative dyeing solution that reduces water consumption by up to 96%.

This novel development is the initial result of the research partnership with CHT initiated in 2020. It is based on a pigment dye, which does not require washing and drying processes, reducing the water and energy needed to heat these processes. This can save up to 60% of energy compared to other, continuous dyeing technologies.

This new dyeing method is easy to implement due to its high reliability, as it significantly reduces the time and complexity of the process. Moreover, it can be implemented in all existing continuous dyeing installations without the need for investment and can even be applied to complex fibre blends, including recycled fabrics whose dyeing process tends to be more complex.

At the same time, we also work with BASF to implement and optimise the first industrial cold washing system, SOKALAN HP 56 A, which can meaningfully reduce water and energy consumption in "exhaust" dyeing systems.

5.6.2. Workers at the Centre

GRI 3-3; 413-1; 407-1; 403-6; 403-7; 403-8; AF1; AF2; AF3; AF24; AF27

① More information in the report *Workers at the Centre*, available on Inditex's corporate website.

Inditex has sound policies, tools and practices for sustainable supply chain management. Their implementation over the years has allowed us to identify workers' needs in the various geographical areas where we make our products and to develop a strategy that puts the "Worker at the Centre". The strategy is based on the respect and promotion of human rights and on the creation of social value in the community and industry.

① More information in section [5.6.1. Management of the supply chain](#) of this Report.

We work closely with stakeholders to address the shared challenges throughout the supply chain and we stand close to workers to understand their needs and provide them with the necessary tools for their empowerment, participation and well-being.

The strategy emerged from the ongoing analysis and assessment of our supply chain, and following a human rights due diligence process developed in partnership with Shift, a leader in the implementation of the UN Guiding Principles on Business and Human Rights.

It comprises seven **Priority Impact Areas** identified through a due diligence process. These areas are: Worker Participation; Living Wages; Gender, Diversity and Inclusion; Occupational Health and Safety; Protection of Migrants and Refugees; Social Protection; and Protection of Labour Rights in the Production of

Raw Materials.

During the implementation of the strategy for each of the Priority Impact Areas, we have sought to deepen the impacts, understand the context and weave a network of partnerships, projects and interventions aimed at promoting systemic changes in the industry and across communities.

To achieve our purpose

We identify, assess and improve the working conditions of our entire supply chain

- / We cover 100% of the supply chain.
- / Suppliers subject to compliance with the Code of Conduct for Manufacturers and Suppliers and with our standards.
- / We have tools for assessment and continuous improvement.

We are a catalyst of change in the industry by promoting sustainability

- / Responding to workers' needs.
- / Tools for empowerment, engagement and well-being.
- / Partnerships with stakeholders.
- / More prosperous communities.
- / More sustainable industry in the long term.

Workers at the Centre

The Workers at the Centre 2019-2022 strategy is based on **respect for the Human Rights** of the workers in our supply chain.

Priority Impact Areas



Worker Participation

Developing and improving social dialogue to achieve mature industrial relations and to champion worker satisfaction.



Living wages

Facilitating that workers in the supply chain earn a living wage.



Gender, diversity and inclusion

Promoting that all the women in the supply chain benefit from the best conditions and opportunities, while fostering equality in a cross-cutting manner, and creating a diverse, safe and inclusive work environment.



Occupational health and safety

Guaranteeing that workers in the supply chain are protected against risks to their occupational health, safety, and well-being.



Protection of migrants and refugees

Ensuring that the rights of refugees and migrants are upheld and that a decent workplace is provided in factories, supporting cohesion.



Social protection

Enabling the well-being of happy and healthy workers in the supply chain.



Protection of labour rights in the production of raw materials

Promoting the human and labour rights of the workers in the supply chain of raw materials through proactive actions in terms of the workplace, the community, and industry.

Three elements



/ The worker

The workers in the supply chain are placed in the centre as the main beneficiaries of the strategies and programmes based on their empowerment and participation.



/ The dimensions

Workplace

We ensure that all the facilities in the supply chain meet the standards that guarantee respect for human and labour rights.

Well-being

Our goal is the development of the workers and their communities, in order to bring about a transformative social change.

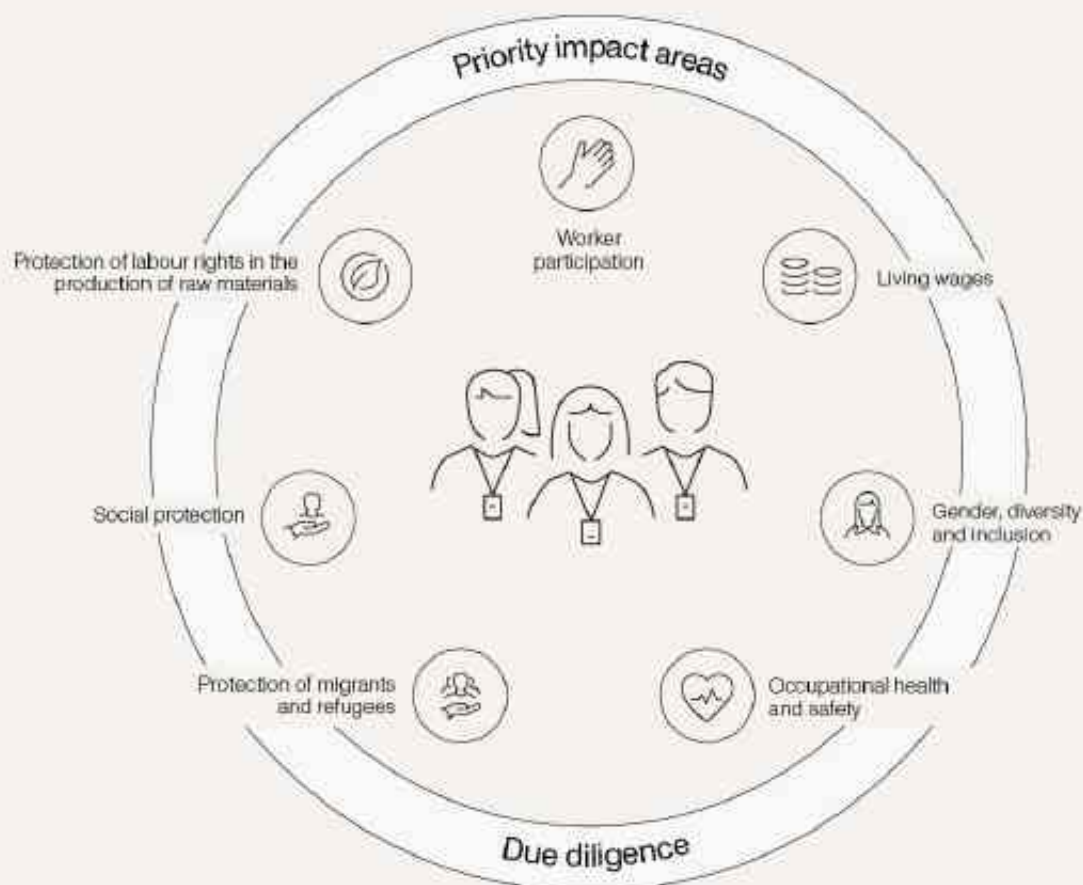
Industry

We firmly believe that the solution to many of the challenges in the sector lies in joint commitment and collaboration of all the players in the industry.



/ Due diligence

This is an ongoing process, based on the **United Nations Guiding Principles on Business and Human Rights**, which has enabled us to identify seven priority impact areas (PIAs) in which we have established strategic action lines.



1,576,549

Workers

benefited by the strategy
"Workers at the Centre" in 2022

1,770

Suppliers and factories

reached by the strategy
"Workers at the Centre" in 2022

47

Projects

developed by the "Workers at
the Centre" strategy in factories
and/or communities in 2022

100%

Suppliers

covered by the strategy

36

Organisations

we collaborate with

2022 was the year of completion of the current cycle of the *Workers at the Centre* strategy. Over the last four years, we have worked in the development of tools, projects and partnerships to promote decent work and sustainable productive environments.

Since its initial implementation in 2019, its programmes and projects reached a total of 3,298 suppliers and manufacturers, benefiting 2,515,491 workers. In particular, in 2022 47 projects were carried out at 1,770 suppliers and manufacturers.

In 2023 we will launch our new strategy *Workers at the Centre* 2023-2025 under which framework we will continue working on the respect and promotion of human rights, broadening the ambition with the final aim of transforming workers' lives and the industry as a whole.

Key characteristics of the *Workers at the Centre* strategy

From compliance to commitment

In the journey towards socially sustainable supply chain management, embedded in our human rights strategy, we have gradually incorporated new elements over the years to strengthen the protection of supply chain workers' rights, evolving from a compliance-based model to the current strategy, which folds in the vision of transformation and impact.

Culture of collaboration

The challenges posed by a global supply chain are shared, so collaboration is required to have a leveraging and lasting impact. In particular, our sustainability goals for the supply chain are shared by suppliers, manufacturers, companies and brands, and other stakeholders such as NGOs, trade unions and local and international organisations.



Accordingly, at Inditex, we are firmly committed to collaboration, weaving networks of trust with our partners. We have teams in the main production markets, in direct contact with suppliers, workers, trade unions, NGOs, local and national authorities, international organisations and academic institutions, among

others. This way of working at the local level is what we call '**clusters**'. In 2022, Inditex had 12 clusters in Spain, Portugal, Morocco, Türkiye, India, Bangladesh, Pakistan, Vietnam, China, Cambodia, Argentina and Brazil.

Furthermore, at Inditex we take an open and collaborative approach with a range of bodies and we actively participate in the industry's global initiatives as the driving force for transformation, always with the aim of that the sector adopts sustainable practices on a widespread manner.

One of our most significant relationships is with the international trade union federation IndustriALL, with which Inditex signed a Global Framework Agreement in 2007 that has been periodically renewed since then. This agreement, which has commemorated its 15th anniversary this year, is one of our most valuable tools for promoting worker participation, the respect for freedom of association and collective bargaining.

We also work with international organisations such as the International Labour Organization (ILO) through public-private partnerships, the Better Work initiative, the United Nations Global Compact and the Ethical Trading Initiative.

Lastly, we highlight the importance of our collaboration with **other brands** through various initiatives, such as ACT (Action, Collaboration, Transformation), which works to achieve living wages in the supply chain through responsible purchasing practices and collective bargaining.

Integration in the business model

At Inditex, we see sustainability as a **way of acting**, and as such it permeates the entire business model and each of the areas that develop it.

In particular, the involvement of the buying teams is essential. Among others, we have developed management systems that allow all our buying teams to know the performance of each supplier, encouraging **responsible purchasing practices** that allow them to make sustainability-focused business decisions.

Supporting our suppliers

Raising awareness and training of our suppliers enables us to address supply chain challenges as a shared responsibility. Our buying and sustainability teams have a very close relationship with suppliers. A prime example is the continuous and specialised training on issues such as gender equality, freedom of association, living wages or health and safety. In 2022, we provided training programmes to 1,042 suppliers.

Worker participation**Worker participation****Goal**

Developing and improving social dialogue to achieve mature industrial relations and champion worker satisfaction.

Strategy

- / Promoting the Global Framework Agreement with IndustriALL Global Union
- / Raising awareness on social dialogue and worker participation
- / Guaranteeing effective worker representation mechanisms

Related SDGs**Related human rights**

- / Freedom of association
- / Collective bargaining

Alliances and partnerships

- / ACT (Action, Collaboration, Transformation)
- / BetterWork
- / Ethical Trading Initiative
- / IndustriALL Global Union
- / University of Oxford
- / University of Toronto

2022 Key indicators

- / 334,884 benefited workers
- / 175 suppliers and factories involved
- / Bangladesh, Cambodia, Egypt, Indonesia, Morocco, Pakistan, Tunisia, Türkiye and Vietnam

Workers' satisfaction through their continuous empowerment, the encouragement of mature industrial relations and, therefore, the promotion of social dialogue, and the protection of the rights of freedom of association and collective bargaining throughout the Inditex manufacturing chain are the central axes on which our worker participation strategy hinges.

a) Promoting the Global Framework Agreement with IndustriALL Global Union

The Global Framework Agreement is the main tool for implementing our worker participation strategy. Since its signing in 2007, its development has revolved around respect for the rights of freedom of association and collective bargaining in our manufacturing chain, but also the empowerment of workers through various training activities and the transparent relationship between the two organisations, harnessing tools such as the Global Union Committee.

Projects implemented in 2022

- / Collaboration on the ground with IndustriALL and its local affiliates (in Bangladesh, Morocco, Tunisia and Türkiye)

b) Raising awareness on social dialogue and worker participation

Social dialogue is grounded on the ability of employers and workers to engage in a process of communication and interaction on any aspect that may be considered important. Thus, we encourage employee participation so as to understand their needs, preferences and expectations.

Projects implemented in 2022

- / Workers' preferences (Morocco)

c) Guaranteeing effective worker representation mechanisms

The effective promotion of social dialogue in our supply chain is based on the premise of ensuring effective representation mechanisms at both sector and work centre level. In this regard, we are actively engaged in initiatives such as ACT (Action, Collaboration, Transformation), the International Labour Organization (ILO) through its Better Work programme and the Ethical Trading Initiative (ETI).

Projects implemented in 2022

/ Better Work programme (Bangladesh, Cambodia, Egypt, Indonesia, Pakistan and Vietnam)

/ Social Dialogue and Gender Sensitive Workplace Programme (Bangladesh)

15th anniversary of the Global Framework Agreement with IndustriALL

The commemoration of the 15th anniversary of the Framework Agreement with IndustriALL Global Union marks an important milestone in the history of Inditex, with the commitment of both organisations to create a ground-breaking framework of collaboration that establishes respect for the rights of freedom of association and collective bargaining, and training of workers, their legitimate representatives and suppliers as the central core from which to develop an array of activities focused on the continuous improvement of working conditions in the Inditex production chain.

Since signing the Global Framework Agreement in 2007 and renewing it, first in 2014 and then 2019, we have been able to cement a set of principles based on transparency and worker empowerment, further strengthening the role played by IndustriALL Global Union affiliates in the various supplier markets. In this connection, a new protocol was signed on this 15th anniversary that fosters social dialogue by establishing new mechanisms that strengthen the role of local trade unions and advance towards a better understanding of supply chain workers' needs. A new procedure for access to work centres has also been devised, which aims to further the knowledge and monitoring of working conditions in the factories of the Inditex supply chain.



Living Wages

Living wages

Goal

Facilitating the workers in the Inditex supply chain earn a living wage.

Strategy

- / Promoting collective bargaining.
- / Responsible purchasing practices.
- / Improving the production organisation systems and methods.
- / Improving management systems and wage digitalisation.

Related SDGs**Related human rights**

- / Fair and favourable working conditions
- / Non-discrimination
- / Adequate standard of living
- / Education
- / Health
- / Life
- / Collective bargaining
- / Property

Alliances and partnerships

- / ACT (Action, Collaboration, Transformation)
- / Better than Cash Alliance
- / BSR (Business for Social Responsibility)
- / East China University of Political Science and Law (ECUPL)
- / IndustriALL Global Union
- / International Labour Organization
- / Universidade do Minho

2022 Key indicators

- / 18,903 benefited workers
- / 105 suppliers and factories involved
- / Bangladesh, China, Cambodia, Egypt, India, Pakistan, Portugal, Türkiye and Vietnam.

Our definition of living wages is fully aligned with that of the ACT initiative: 'A living wage is the minimum income necessary for a worker to meet the basic needs of himself/herself and his/her family, including some discretionary income. This should be earned during legal working hour limits (i.e. without overtime)'.

a) Promoting collective bargaining

Our strategy is based on the principle that living wages and, in general, decent working conditions are those that result from collective bargaining and collective agreements between employers and workers through their freely chosen representatives. This approach is also that of the ACT initiative, which provides a framework for all stakeholders to work towards securing collective bargaining agreements at industry level. This vision is further strengthened through our Global Framework Agreement with IndustriALL Global Union, which is one of the most effective instruments to implement our living wage strategy.

Projects implemented in 2022

- / Collaboration with ACT (Bangladesh, Cambodia and Türkiye)

b) Responsible purchasing practices

Responsible purchasing practices can help create an environment that is conducive to improving working conditions, wages and benefits for workers in the supply chain. Mindful of this, as ACT members since 2018 we have signed up to five commitments in relation to purchasing practices. To implement these commitments and help our buyer teams make responsible purchasing decisions, we train them to adopt best practices and we develop and provide them with management systems to measure the sustainability performance of each supplier and factory.

c) Enhancing the production organisation systems and methods

Honing skills and boosting productivity play a relevant role in improving workers' wages and benefits. Factories with better productivity are more flexible, not only to share the additional benefits with workers, but also to remain competitive in the industry and thus keep workers in their jobs, a crucial consideration from a living wage perspective.

Projects implemented in 2022

- / LEAN project (Bangladesh, China and Portugal)
- / SCORE programme (China)

d) Improving management systems and wage digitalisation

We conduct a process of monitoring and strengthening the wage management systems in the Inditex supply chain. This process includes promoting workers' access to digital payments and services and training them in the use of available technologies and services.

Projects implemented in 2022

- / Wage digitalisation capacity building (Vietnam)
- / HERfinance – digital payments (Cambodia, China, Egypt, India and Vietnam)
- / Wage analysis (Bangladesh, China, India and Pakistan)

Gender, diversity and inclusion**Gender, diversity and inclusion****Goal**

Promoting that all the women in the supply chain benefit from the best conditions and opportunities, while fostering equality in a cross-cutting manner, and creating a diverse, safe and inclusive work environment.

Strategy

- / Health: Facilitating healthcare services, chiefly in maternity and reproductive health.
- / Protection: Promoting zero tolerance policies and practices of prevention and management of workplace harassment.
- / Empowerment: Involving female workers in programmes related to finance, leadership, and empowerment.

Related SDGs**Related human rights**

- / Fair and favourable working conditions
- / Non-discrimination
- / Adequate standard of living
- / Education
- / Health
- / Life
- / Not being subject to degrading treatment
- / Not having to endure harassment
- / Equal pay
- / Freedom of movement
- / Freedom and security of the person
- / Engagement in public life
- / Rights of employees with disabilities
- / Reproductive rights

Alliances and partnerships

- / Anne Çocuk Eğitim Vakfı (ACEV)
- / Associação Plano i
- / BSR (Business for Social Responsibility)
- / Casal dels infants
- / International Center for Research on Women (ICRW)
- / Medicus Mundi Sur
- / St John's Medical College

2022 Key indicators

- / 189,958 benefited workers
- / 86 suppliers and factories involved
- / Bangladesh, India, Morocco, Pakistan, Portugal, Sri Lanka, Türkiye and Vietnam

By means of this strategy, we have developed a gender-sensitive framework which is embodied in partnerships, actions and projects to promote gender equality. We also develop work areas for the inclusion of other groups, such as the LGBT+ community.

a) Health: facilitating healthcare services, chiefly in maternity and reproductive health

At Inditex we advocate improved access to health care for women, as well as family planning and maternal health. By maintaining an active presence across our supply chain, we have successfully brought these measures to a large number of women who would otherwise have had difficulties accessing products and services.

Projects implemented in 2022

/ Medicus Mundi Health (Morocco)
/ Sakhi Health (India)
/ Sakhi Menstrual Rights (India and Sri Lanka)
/ HERhealth (Vietnam)

b) Protection: Promoting zero tolerance policies and practices for the prevention and management of workplace harassment

Preventing and managing harassment, abuse and violence when it does occur, and implementing zero tolerance policies towards these conducts, is a part of the human rights strategy we advocate at Inditex. In this regard, in addition to being alert to any such practices in our regular audits and visits to factories in the supply chain, we also use various activities, projects and training to foster the development and implementation of zero tolerance policies on workplace and sexual harassment, as well as prevention practices.

Projects implemented in 2022

/ Medicus Mundi Protection (Morocco)
/ HERrespect (Bangladesh)
/ LGBTI+ Awareness (Portugal)

c) Empowerment: involving female workers in programmes related to finance, leadership, and empowerment

Although women are a key part of supply chains, they are still under-represented in highly-skilled or supervisory posts. Hence, we aim to provide access to the necessary tools to enable women to actively engage in the workplace, involving them in financial, leadership and empowerment programmes.

Projects implemented in 2022

/ Together Strong (Türkiye)
/ HERessentials (Pakistan)
/ Self-Diagnosis Tool (Global)
/ Work-life balance for working mothers (Morocco)



Occupational Health and Safety

Occupational health and safety

Goal

Guaranteeing that workers in the supply chain are protected against risks to their occupational health, safety, and well-being.

Strategy

- / Monitoring compliance with the Code of Conduct and applicable legislation.
- / Emergency preparedness and response.
- / Effective worker participation in occupational health and safety issues.
- / Implementing occupational health and safety management systems.

Related SDGs



Related human rights

- / Fair and favourable working conditions
- / Education
- / Health
- / Life
- / Freedom of association

Alliances and partnerships

- / AKLT
- / International Accord For Health And Safety In The Textile And Garment Industry
- / RMG Sustainability Council (RSC)
- / Medicus Mundi Sur
- / St. Johns Medical College

2022 Key indicators

- / 683,532 benefited workers
- / 579 suppliers and factories involved
- / Bangladesh, China, India, Italy, Morocco, Pakistan, Türkiye and Vietnam

Protecting people through a firm commitment to safer and healthier working environments is essential to achieving decent and sustainable working conditions.

a) Monitoring compliance with the Code of Conduct and applicable legislation

Within this strategic line, we carry out projects and initiatives aimed at reinforcing the assessment, support and improvement of compliance with our Code of Conduct for Manufacturers and Suppliers and with applicable legislation. Furthermore, we refer to publications such as the ILO Code of Practice on Safety and Health in Textiles, Clothing, Leather and Footwear Industries, which serve as a guide to address the important issues and risks in this industry.

Projects implemented in 2022

- / Structural assessment, fire prevention and electrical safety (Bangladesh, Türkiye, India, Italy and China)
- / Monitoring compliance of Accord/RSC corrective action plans (Bangladesh)
- / Boiler safety (Morocco)
- / Occupational health and safety improvement plan (Global)

b) Emergency preparedness and response

We work with our suppliers to develop their emergency prevention, planning and response capabilities. Training for workers and, in particular, for those responsible for health and safety; assessment of manufacturers' and suppliers' facilities; and improvement plans to reduce the risk of accidents or emergencies are among the initiatives carried out in this regard.

Projects implemented in 2022

- / Structural, fire prevention and electrical safety using advanced diagnostics (India and Pakistan)
- / Training programme for emergency preparedness (Türkiye)
- / Training, assessment and improved response to emergency, electrical and fire risks (Pakistan)

c) Effective worker participation in occupational health and safety issues

Workers have a key role to play in improving health and safety in the workplace. Their effective involvement, through health and safety committees and other potential avenues, improves risk identification and assessment, risk monitoring and internal organisation, among other factors. This strategic line endeavours to ensure that both workers and their representatives are consulted, informed and trained in health and safety matters in all aspects relevant to their work.

Projects implemented in 2022

/ Support for Health and Safety Committees (Morocco)

/ Development and participation in the improvement of physical and mental health (Vietnam)

d) Implementing occupational health and safety management systems

In this strategic area, we carry out projects aimed at reinforcing the commitment of our suppliers and manufacturers to

occupational health and safety and at equipping their organisational structure to establish management systems targeting continuous improvement.

Projects implemented in 2022

/ WISH: Workplace Improvement for Safety and Health (China)

/ HOPE: Health – Opportunity to Protect and Engage (India)

Expansion of the International Accord to include Pakistan

One of the main new developments in the International Accord for Health and Safety in the Textile and Garment Industry, signed in 2021, was the commitment to expand to other markets the lessons learned and achievements from prior agreements in the Bangladeshi textile industry. Over the course of 2022, Inditex has worked with the International Accord Secretariat, other signatory brands and with IndustriALL Global Union and UNI Global Union on feasibility studies with a view to expanding this agreement to other countries.

The Pakistan Accord began in January 2023, with a three-year implementation period to be phased in, with the support of government agencies and close collaboration between industry associations, trade unions and brands. As part of the implementation, work will be carried out to set up a national governing body for the accord. The accord will cover more than 500 factories in the provinces of Sindh and Punjab, where most of Pakistan's annual garment and textile exports are manufactured.



Protection of migrants and refugees

Protection of migrants and refugees

Goal

Ensuring that the rights of refugees and migrants are upheld and that a decent workplace is provided in factories, supporting cohesion.

Strategy

- / Remediation plans for refugees and migrants.
- / Fair employment and recruitment practices for migrants and refugees.
- / Reinforcing social and workplace cohesion.

Related SDGs



Related human rights

- / Non-discrimination
- / Education
- / Life
- / Freedom of movement
- / Freedom of association
- / Ban on forced labour
- / Freedom of thought, conscience and religion
- / Privacy
- / Protection against violence
- / Medical Care
- / Freedom of opinion and expression
- / Property

Alliances and partnerships

- / Association for Solidarity with Asylum Seekers and Migrants (ASAM)
- / International Labour Organization (ILO)
- / Pratham
- / Refugee Support Centre (MUDEM)
- / Social Awareness and Voluntary Education (SAVE)
- / United Work

2022 Key indicators

- / 22,983 benefited workers
- / 81 suppliers and factories involved
- / India and Türkiye

Inditex provides special protection to all migrants, especially to refugees in Türkiye due to their extreme vulnerability as a result of the Syrian conflict, but also in countries such as India and China, where there is a high percentage of internal migration and workers face challenges such as lack of coverage by social protection systems or family disconnection. Against this backdrop, we aim to ensure that these people's rights are respected and that factories provide a decent workplace, supporting social cohesion.

a) Remediation plans for refugees and migrants

Wherever our assessments reveal the presence of migrant or refugee workers in any of the production facilities we work with, we examine the circumstances case by case to effectively evaluate their working and living conditions. With their needs in mind, we implement remediation plans in tandem with expert organisations, so as to support them and their families. These plans are especially important in Türkiye, where we have been working with the local organisation MUDEM to implement them since 2016.

Projects implemented in 2022

- / Remediation plans (Türkiye)
- / Sankalp (India)

b) Fair employment and recruitment practices for migrants and refugees

Establishing effective management systems to ensure that all workers, including migrants and refugees, are recruited fairly and benefit from decent working conditions is important to ensure the professional and personal well-being of migrants and refugees.

Projects implemented in 2022

- / Worker Support Centre (Türkiye)
- / Sowbhagyam (India)

c) Reinforcing social and workplace cohesion

We work on projects and partnerships that focus on building factory management's capacity to maintain harmonious relations; strengthen communication and interaction between refugees, migrants and host communities; and contribute positively to well-being. Thus, we aim to achieve greater social cohesion in the workplace and, as an indirect result, to extend this to local communities.

Projects implemented in 2022

- / Training project for migrant workers (Türkiye)
- / Workplace adaptation programme (Türkiye)
- / Towards an inclusive workplace for refugees (Türkiye)

Social Protection

Social Protection

Goal
Enabling the well-being of workers in the supply chain.

Strategy
 / Access to social protection and social benefits.
 / Alleviating poverty and preventing school drop-out.
 / Personal health and well-being.
 / Facilitating access to adequate nutrition and drinking water.

Related SDGs	Related human rights	Alliances and partnerships
	/ Adequate standard of living / Education / Health / Social protection	/ Alive & Thrive / Covid-19 Action in the Global Garment Industry / Network of Organizations Working for People with Disabilities Pakistan (NOWPDP) / International Labour Organization / Swasti

2022 Key indicators
 / 17,919 benefited workers
 / 15 suppliers and factories involved
 / Cambodia, China, India, Pakistan and Vietnam

Over the years, Inditex has actively advocated social protection as a means of improving the well-being of workers in our supply chain, taking part in initiatives and implementing projects in our main manufacturing markets in keeping with the local context.

a) Access to social protection and social benefits

We are engaged in ensuring access to adequate and sufficient social security coverage in the supply chain, regularly assessing the compliance levels of factories and suppliers and, where necessary, implementing and monitoring corrective action plans.

We also took part in the Covid-19: Action in the Global Garment Industry initiative, which emerged in 2020 as a joint response to the effects of Covid-19, and which calls "to work together to establish sustainable systems of social protection for a more just and resilient garment industry".

Projects implemented in 2022

- / Review of the compliance programme to improve management systems in the area of social protection (Global)
- / Involvement in Covid-19: Action in the Global Garment Industry (Global)
- / PARVAZ. Managing disability in the workplace (Pakistan)

b) Alleviating poverty and preventing school drop-out

The impact of this line of action extends to the families and communities of supply chain workers. For example, we have child labour remediation plans, but also important proactive endeavours to prevent school drop-out and raise awareness of children's rights. We also provide skills and tools to support communication between parents and children and, consequently, to improve families' well-being.

Projects implemented in 2022

- / Prevention of school dropout (Global)
- / Ending long-distance parenting for working parents (China)

c) Personal health and well-being

This specific, strategic line of work aims to promote well-being projects in which we team up with partners such as Swasti to create projects to benefit supply chain workers and the

community. Collaboration with the occupational health and safety priority impact area allows for a more thorough design and implementation through a comprehensive approach to health.

Projects implemented in 2022

- / Happiness for all (India)

d) Facilitating access to adequate nutrition and drinking water

Access to safe drinking water and adequate nutrition are basic needs for workers, and are even more salient for certain vulnerable groups. Through our collaboration with Alive & Thrive, we advocate for maternity protection and access to infant nutrition in countries such as Cambodia and Vietnam, following a set of approaches that include adopting policies to protect breastfeeding rights, creating a safe and hygienic space for breastfeeding, and nurturing a favourable environment based on knowledge and awareness among workers and management.

Projects implemented in 2022

- / Mothers at the workplace – Breastfeeding-friendly workplaces (Vietnam and Cambodia)



Protection of labour rights in the production of raw materials

Protection of labour rights in the production of raw materials

Goal

Strengthening human and labour rights of the workers in the supply chain of raw materials through proactive actions in terms of the workplace, the community, and industry.

Strategy

- / Promoting the well-being of workers in the supply chain of raw materials.
- / Increasing the responsibility on sustainability of all the players in the supply chain.
- / Establishing best practices and recommendations for the raw material supply chain.

Related SDGs



Related human rights

- / Fair and favourable working conditions
- / Adequate standard of living
- / Freedom of movement
- / Freedom of association
- / Healthy environment
- / Ban on forced labour
- / Collective rights of communities
- / Freedom of thought, conscience and religion
- / Privacy
- / Protection against violence
- / Health care
- / Freedom of opinion and expression
- / Property

Alliances and partnerships

- / Better Cotton
- / Organic Cotton Accelerator (OCA)
- / International Labour Organization
- / Responsible Sourcing Network (RSN)

2022 Key indicators

India, Mali and Pakistan

Raw materials play an important role as they are the basis of any product marketed by Inditex. Bearing in mind the complexities of this stage of the supply chain, we take a holistic approach so as to, not only identify the needs of workers associated with this part of our supply chain through the relevant due diligence, but also ensure that their fundamental rights are strengthened and respected through commitments and partnerships.

a) Promoting the well-being of workers in the supply chain of raw materials

Our work on developing the public-private partnership agreement signed in 2017 with the International Labour Organization (ILO) aims to promote fundamental principles and rights in the cotton supply chain in India, Pakistan and Mali. The project has created an ecosystem within the cotton producing industry, using unique social dialogue structures and processes to uphold fundamental labour rights.

Projects implemented in 2022

- / Public-private partnership with the ILO (India, Pakistan, Mali)

b) Raising the responsibility on sustainability of all the players in the supply chain

Awareness among all stakeholders is essential to strengthen the respect and protection of human rights in the cotton industry. This can be achieved through social dialogue, collective action for the defence and commitment to fundamental labour principles and rights at the industry level. One example of collaboration is with Responsible Sourcing Network on the YESS (Yarn Ethically & Sustainably Sourced) project, which harnesses the OECD's due diligence approach to risk identification.

Projects implemented in 2022

- / Yarn Ethically & Sustainably Sourced (Global)

c) Creating best practices and recommendations for the raw material supply chain

We collaborate in global initiatives to identify impacts and best practices in connection with raw materials, with a systemic vision, encompassing social and environmental aspects. In this sense, we collaborate with organizations such as Organic Cotton Accelerator (OCA) or Better Cotton.

In the past years, several reports have been published condemning social practices and breaches in some regions of Asia where Inditex does not operate. At Inditex, we seriously analyse any information related to abusive or inappropriate practices at any link in the textile sector supply chain, and we put the necessary mechanisms to prevent or remedy them into practice.

In 2022, based on our due diligence processes and in collaboration with various organisations, we continued to work to ensure the absence of forced labour – on which we have a zero-tolerance approach – as well as to ensure compliance with international standards and our Code of Conduct for Manufacturers and Suppliers also in the raw materials supply chain. Inditex has developed and applies strict policies and actions with the ultimate goal of fostering respect for the human rights of all workers in our supply chain.

Our audit programme, together with the projects and programmes of the Workers at the Centre 2019-2022 social strategy, and our close and permanent partnership with certain stakeholders, such as the Ethical Trading Initiative and the ILO, strengthen our commitment to the prevention of forced labour. In this regard, we remain committed to the process of involvement and dialogue with relevant stakeholders (both local and international) in order to identify opportunities to prevent negative impacts on workers' lives.

Projects implemented in 2022

/ *Organic Cotton Accelerator* (India, Pakistan)

/ *Better Cotton* (Global)



5.7. Communities

GRI 2-28; 3-3; 413-1; 413-2; AF33; AF34

Related material topics: Stakeholder engagement; Value creation



① More information in the *Community Investment Report*, available on Inditex's corporate website.

At Inditex we see community investment as an opportunity to contribute to develop society and care for the planet, placing a special focus on the geographical areas where we carry out our activity. With this in mind, we undertake these investments through partnerships in initiatives which prioritize long-term strategic projects, subject to an exhaustive monitoring and accountability process, as opposed to making sporadic contributions to social or environmental causes.

In 2022, we updated our Community Investment Policy, available on our website, to align it with best practices and recommendations on the topic. This new policy, which replaces the previous one from 2014, was approved on 13 December 2022 and develops the content on community investment set out in the Code of Conduct and Responsible Practices, the Sustainability Policy and the Policy on Human Rights.

One of the reasons for updating our Community Investment Policy is to align the initiatives we undertake with our corporate strategy, the Paris Agreement on climate change and the Sustainable Development Goals set out in the United Nations 2030 Agenda, which represent the driving force behind our community investment programme.

These commitments are embodied in specific projects in which we invest both monetary and in-kind resources, as well as our employees' time, and which, as specified in the policy itself, focus on:

- / Education:** initiatives that seek to ensure the right to quality education at every stage of life and generate decent work opportunities, from a standpoint of equality and inclusion.
- / Emergency relief:** humanitarian actions to protect the lives, health and well-being of forced migrants and refugees and other vulnerable groups facing emergency situations triggered, among others, by natural catastrophes, wars or similar situations.



/ Environment: activities that foster the preservation and resilience of natural ecosystems, as the cornerstone of community health and for other living beings, by means of conservation and restoration actions, encouragement of regenerative practices, circular economy commitments and the efficient use of resources, from a "climate justice" and "intergenerational justice" standpoint.

Gender equality, as well as being a fundamental human right, is a main building block for creating a peaceful, prosperous and sustainable world. Consequently, as well as being an objective, the **gender perspective** is a priority that cuts through every aspect of our community investment strategy. As part of this cross-cutting intervention, we take a comprehensive approach to the activities aimed at advancing respect for diversity and the struggle for equality between men and women in every aspect of their lives (economic, social, cultural, workplace, political, and so on), framed by a holistic approach that tackles the root issues and helps mitigate their current consequences.

Furthermore, the initiatives that we promote must be **voluntary; non-profit and focused on a social and/or environmental benefit**; and they must be open to all possible beneficiaries, without prior classification that discriminates against them or favours them because of their belonging to or having a relationship with Inditex.

We also believe it is essential to rigorously measure the outputs and impacts of the initiatives that make up our community investment programme. To do this, we use, among others, the Business for Societal Impact (B4SI) measurement methodology, based on carefully allocating contributions in the community, measuring outputs and evaluating the impact of the various components of the project, in order to assess both the benefit and the programme as a whole.



In total, this year we have launched 725 social and environmental initiatives that have directly benefited more than 3.3 million people. Our annual community investment exceeded 87 million euros⁵³ and has focused on those sustainable development goals most closely related to our activity. Among them, we highlight the following projects in 2022:

/ Launch of an emergency relief programme, as a consequence of the armed conflict in Ukraine, articulated through support for the United Nations' "Ukraine Flash Appeal" and "Regional Refugee Response Plan" initiatives, involving the supply of clothing and shelter through UNHCR and the job creation within the Inditex workforce in Europe.

/ Establishment of a strategic partnership with the World Wide Fund for Nature (WWF) to restore endangered ecosystems in Europe, Asia, Africa and Latin America. Under this new partnership, nine projects have been launched, focusing on forest conservation, the restoration of river catchment areas and the protection of endangered species and their ecosystems.

/ Support for Water.org's Water & Climate Fund for the development of projects to improve water and sanitation infrastructure with the aim of achieving greater efficiency and savings, while also improving local communities' access to water, in countries such as Bangladesh, India and the Philippines.

/ Collaboration with Action for Social Advancement (ASA), along with the Laudes Foundation, IDH - The Sustainable Trade Initiative and WWF India, to promote regenerative agriculture, ecosystem restoration and community well-being in a 300,000 hectare area in the Indian states of Madhya Pradesh and Odisha.

/ Strengthening collaboration in emergency relief, starting with support for the Emergency Unit of Médecins Sans Frontières and its programmes to assist refugees and migrants in Bangladesh and Mexico.

/ Promoting development cooperation, through the launch of the programme "Generating opportunities: education and inclusion for a sustainable world", in collaboration with Fundación Entreculturas. The projects under this new three-year programme, with activities spanning 12 countries, focus on bridging the educational and digital divide, nurturing decent and sustainable livelihoods and protecting victims of forced migration.

/ Strengthening social action in Spain, based on collaboration with Caritas to promote its clothing collection and reuse programme (Moda Re-) and to continue developing employability, training and inclusion projects for people in vulnerable situations.

/ Inauguration of the first Zara Home store belonging to the for&from programme, Inditex's social initiative for the integration of people with disabilities. The store, which offers items from Zara Home collections from previous seasons at reduced prices, is managed by Fundación Prodis, a non-profit organisation whose aim is to provide the support needed by people with disabilities to improve their quality of life.

/ Fostering research talent in the university environment, with the launch of the second edition of the InTalent Programme, allowing the University of A Coruña (UDC) to recruit excellent researchers.

/ Renewal of the three-year agreement with the Comillas Pontifical University for the Inditex Chair of Refugees and Forced Migrants, with the aim of promoting the study and academic research on the reality facing people who are forced to flee their homes.

/ Increasing contributions in kind of articles from our collections for social causes; especially through our partnership with UNHCR.

Our target 2022-2025

In 2021 we exceeded our target of helping 6 million people between 2019 and 2022. That is why, in 2022, we made a new pledge, raising our level of ambition. We undertake to help 10 million people through our community investment programme between 2022 and 2025.⁵⁴

⁵³ Inditex's community investment is recorded under [Operating expenses in the Consolidated Income Statement](#).

⁵⁴ Data calculated according to the B4SI methodology from the calculation of the direct beneficiaries of the different annual initiatives for the period 2022-2025

Corporate Community Investment 2022*

Impacts / What changes?

Impact on people (depth)***

12% connection

77% improvement

11% transformation

Impact on people (type)***

20% behaviour or attitude change

1% skills or personal effectiveness

87% quality-of-life or well-being

Impact on community organizations****

94% improved or new services

96% improved management processes

88% taken on more staff or volunteers

97% increased their profile

Impact on employee participants*****

99% improved personal skills

98% improved personal well-being

99% changed their behaviour towards the Company



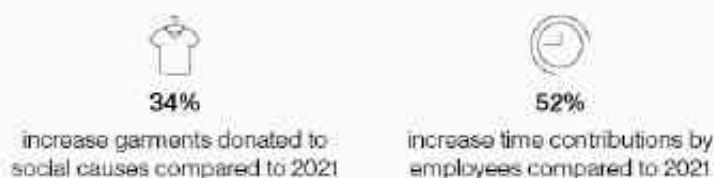
(*) Data calculated in accordance with B4SI methodology based on voluntary expenditure by Inditex on Corporate Community Investment projects during the FY2022. The average exchange rate of FY2022 was used to convert contributions into euros. (**) Additional resources contributed to a community organisation or activity that come from sources other than the Company -employees, suppliers and customers, among others-. (***) Impact assessment carried out on 3,283,404 direct beneficiaries. (****) Impact assessment carried out on 255 community organisations supported by Inditex, on 89 long-term strategic projects. (*****). Impact assessment carried out on 181 employees volunteering in 15 countries.



2022 Corporate Community Investment

Increase in investment

Collaboration beyond cash contributions



We have boosted in-kind contributions, exceeding 7.9 million items donated in 2022, as well as time contributions from employees during working hours, which have exceeded 300 thousand annual hours for the first time.

38%

Increase in Corporate Community Investment (CCI) compared to 2021

We have significantly ramped up our Corporate Community Investment (CCI), reaching 87.9 million euros.

Maximising the effectiveness of contributions

Focus on strategic community projects



For yet another year, we have focused investment in proactive strategic projects (community investment and commercial initiatives in the community), as opposed to charitable gifts in response to short-term or one-off events.

98%

contributions driven by strategic investment

By adopting a strategic approach, we maximise the effectiveness and impact of our social programmes

Aligned with SDGs and company's business drivers

We focus our investment to increase impact

SDGs

88% of CCI is focused in social initiatives with SDGs 3, 4, 5, 8, 10, 12 and 13 as their main objective.

Issue addressed

76% of CCI aimed at strengthening the priority issues defined in the Community Investment Policy - education, environment and emergency relief.

88%

of CCI focused in 7 SDGs

76%

of CCI focused in 3 priority issues

Increasing scope

Increase in the number of direct beneficiaries



51%
People



10%
Community organizations

In addition to the increase on people benefited, the number of impacted organizations supported through community investment projects has reached 469 entities, 10% more than past year.

51%

Increase in the number of people benefited

In 2022, our Community investment programme has benefited a 51% more than past year.

Increasing leverage

Maximising effectiveness in unlocking additional resources for community



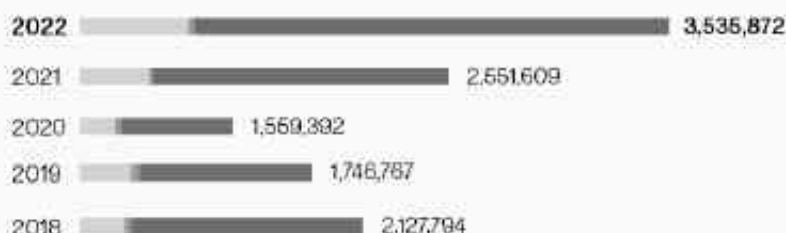
In 2022, the additional resources leveraged by our community activities as a result of the contributions made from sources other than the Company—employees, customers, suppliers, etc.—amounted to 75 million euros, which represents a 34% increase on the previous year.

34%

Increase in additional funds raised or contributions leveraged from other sources

Making greater impact

Maximizing impact on people



- Behaviour or attitude change
- Skills or personal effectiveness
- Quality-of-life or well-being

3,535,872 positive changes experienced by beneficiaries, who have gained in quality of life, skills development and improved attitude, compared to 2,551,609 in the previous year.

39%

Increase in the number of positive impacts on direct beneficiaries

5.7.1. Inputs

GRI 413-1; 413-2; AF33; AF34

In 2022, the Inditex Group invested 87.9 million euros in the community, in various categories:

/ Cash contributions: the aggregate monetary amount invested by Inditex in the development of social and environmental programmes.

/ Time contributions: the proportional cost of employees' paid time spent on activities of a social or environmental nature during working hours.

/ In-kind contributions: donations of products, mainly garments, to non-profit organizations.

/ Management costs: estimated expenses incurred for the general management of social programmes.

In 2022, in keeping with the strategy defined in our Community Investment Policy, we have significantly increased in-kind contributions. We have also notably strengthened the time contributions by employees during their working hours.

In total, **we have donated 7.9 million units and our employees have devoted 313,778 hours from their working schedule to social and environmental initiatives.** General management costs have increased in proportion to the total investment, compared to the previous year.

Likewise, we at Inditex report our voluntary contributions to the community, according to the following classification:

/ Charitable gifts, one-off institutional donations to the general goals of community organisations.

/ Community investment, meaning the Group's long-term commitment to collaborating with the community to support specific social and environmental activities.

/ Commercial initiatives in the community, with the support for programmes of social interest directly related to the Company's ordinary activity.

In 2022, contributions considered as strategic in accordance with our Community Investment Policy (community investment and commercial initiatives in the community) accounted for 98% of the overall investment. This enables us to maximise the efficacy and broaden the impact of the projects in which we take part.

In terms of the priority issues addressed as defined in the new Community Investment Policy, 76% of the investment has been allocated to projects related to education, emergency relief and the environment.

With regard to geographical scope, at Inditex we prioritise regular contributions in those geographical areas where we carry out our activity, especially in the so-called Inditex clusters (defined and listed in section 5.6. Suppliers, of this Report). Likewise, the scope of action of the Group's brands and subsidiaries on social and environmental issues is confined to their local and national territory, respectively, implementing proximity projects that maximise the positive impact within their sphere of influence.

Distribution of Corporate Community Investment in 2022

By issue addressed	
Emergency relief	37%
Environment	23%
Education	16%
Other (social welfare, health, economic development, art and culture)	24%
By geographic area	
Europe ex-Spain	26%
Spain	33%
Americas	16%
Asia and rest of the world	25%
By SDG	
SDG 3. Good health and well-being	9%
SDG 4. Quality education	8%
SDG 5. Gender equality	6%
SDG 8. Decent work and economic growth	9%
SDG 10. Reduced inequality	21%
SDG 12. Responsible consumption and production	26%
SDG 13 Climate action	8%
Others	12%

We have identified the primary SDG (and secondary, where applicable) related to the initiatives that Inditex has implemented in 2022. These data give us an overview of our contribution to the United Nations Sustainable Development Goals. As a result, and consistent with our activity, we have materially contributed to SDGs 5, 8, 12 and 13. Additionally, we have significantly contributed to SDGs 3, 4 and 10. Specifically, we have allocated 87% of our Corporate Community Investment to initiatives that had one of these SDGs as their main objectives.

Corporate Community Investment evolution for 2022-2018 (€M)					
	2022	2021	2020	2019	2018
Total investment in Corporate Community Investment	87.9	63.5	71.8	49.2	46.2
By form of contribution (management costs included)					
Cash	46.3	31.8	50.2	33.2	30.1
Time	9.4	6.2	5.3	3.7	3.5
In-kind	30.3	24.2	15.0	11.7	11.9
Management costs	1.9	1.3	1.2	0.6	0.6
By category (management costs excluded)					
Charitable gifts ¹	1.8	1.7	1.9	1.6	1.8
Community investment ²	58.7	45.7	55.2	36.7	36.2
Commercial initiatives in the community ³	25.5	14.8	13.5	10.3	7.6

1. One-off institutional donations to the general goals of charities

2. Long-term strategic commitment to support specific social activities.

3. Initiatives of social interest directly related to the Company's commercial activity.



5.7.2. Outputs

GRI 413-1; 413-2; AF33; AF34

In 2022, we launched 725 **social and environmental initiatives**. These initiatives have directly benefited more than **3.3 million people**. Based on their circumstances, these direct beneficiaries can be distributed as follows:

Distribution of the people benefited by community projects in 2022 on the basis of their situation	
96%	
Living in developing countries	15%
Low income	24%
Refugees	53%
In situation of vulnerability	3%
Immigrants	1%
4%	
Other profiles ¹	

¹ 'Other profiles' refers to people with a disability, the victims of a catastrophe or natural disaster, people who are unemployed or who belong to ethnic minorities, among others.

As for the **number of organisations** supported by Inditex in 2022, we have made contributions to a total of 469 such entities. The number of benefiting community organisations were 427, 439, 421 and 413 in 2021, 2020, 2019 and 2018, respectively.

① More information in section [5.7.4. Key programmes](#) of this Report.

In terms of **leverage**, the additional resources raised by our community investment programme in 2022, as a result of the inputs from third parties (employees, customers, etc.) amounted to 75.3 million euros. Most of the leverage generated is from initiatives run by Water.org—resulting from the additional capital released by microfinance institutions, Moda Re—through the collection of garments, and from the donations made by our employees through payroll giving schemes.



5.7.3. Impact

GRI 413-1; 413-2; AF33; AF34

a) Community

Impact on people

In order to gauge the effectiveness of the initiatives we support as part of our community investment strategy, we recurrently measure the impact of our Community Investment Program. In 2022 we assessed the impact generated on 3,283,404 direct beneficiaries of the programmes (2,184,117, 3,272,473, 2,406,380 and 2,401,131 direct beneficiaries in 2021, 2020, 2019 and 2018 respectively). We analysed the initiatives both from a perspective of both depth and type of impact.

In terms of **depth**, the effects on the beneficiaries of the initiatives in which we are involved may be broken down into three categories:

/ **Connection**, which represents the number of people reached by an activity who have reported some limited change as a result of a programme.

/ **Improvement**, meaning the number of people who have reported some substantial improvement in their lives as a result of the project.

/ **Transformation**, meaning the number of people who have reported a fundamental change in their circumstances as a result of the improvements made.

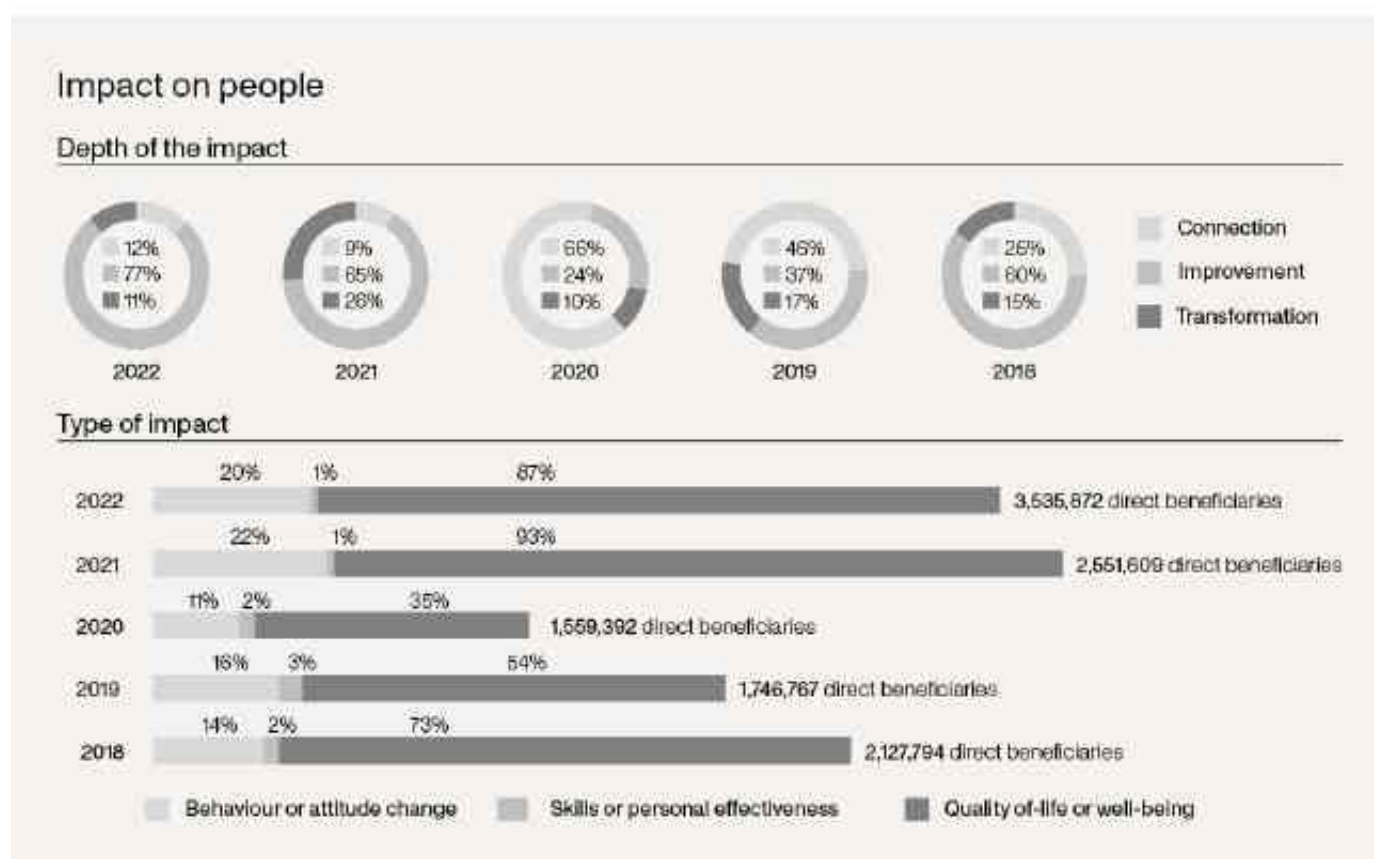
With regard to the **type of impact**, we classify the changes in beneficiaries in the following three categories.

/ **Behaviour or attitude change**, when the activity has helped generate behavioural changes that improve people's lives. It can also mean that the programme has changed negative attitudes or prejudices and enabled people to make better decisions.

/ **Skills or personal effectiveness**, meaning that the activity has helped to develop new abilities or improve existing abilities, enabling them to develop academically, socially or physically.

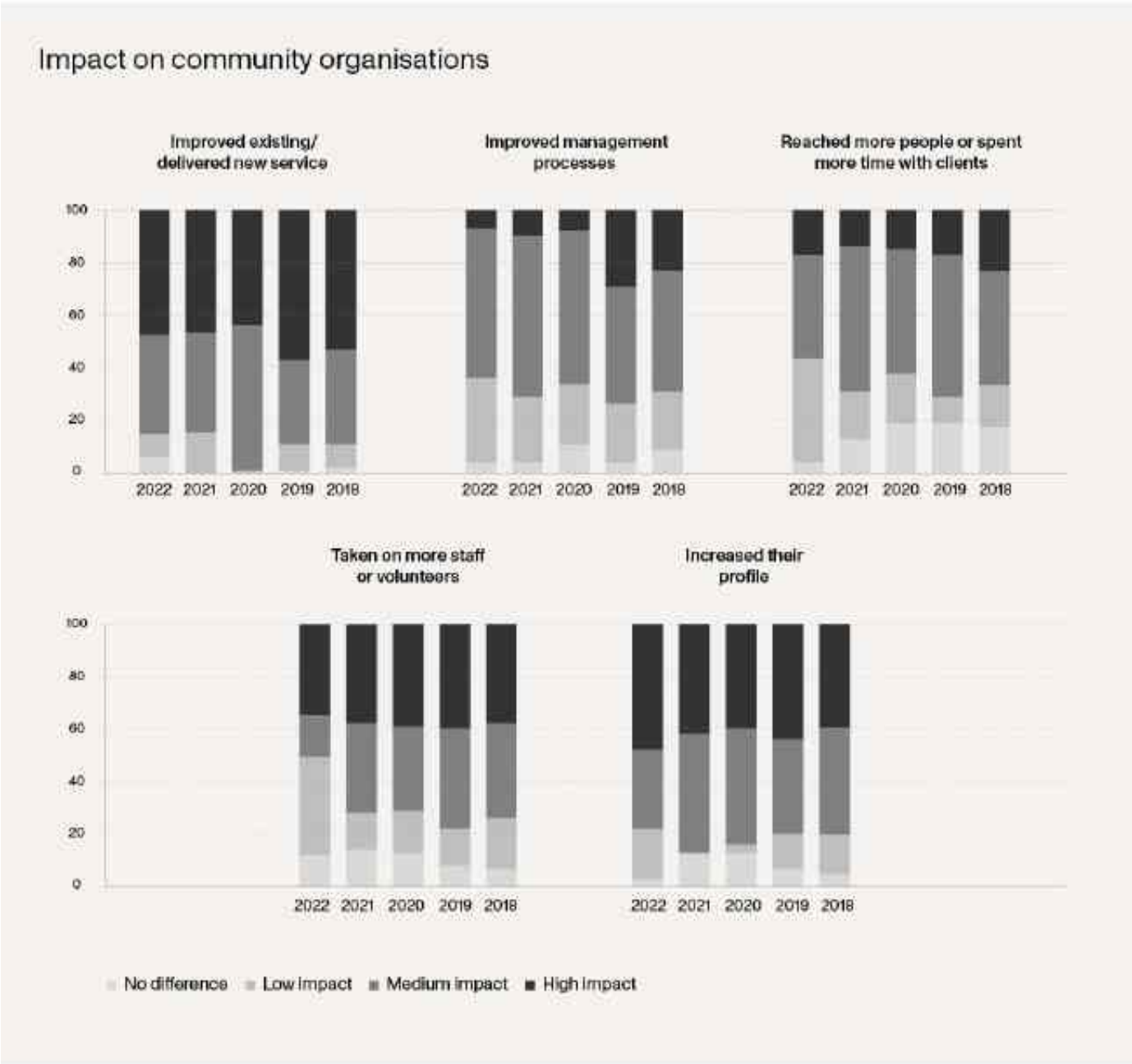
/ **Quality of life or well-being**, meaning that the activity has helped people to be healthier or happier, since they have improved their physical, emotional or social well-being.

In certain cases, the same beneficiary may have experienced several types of impact; however, in the case of the depth of impact, the figures counted at each level are mutually exclusive.



Impact on community organisations

In addition to the analysis of the impact on the beneficiaries of the community investment projects, we also assess the effects on the beneficiary organisations as a consequence of the projects developed. In 2022, the analysis focused on 255 non-profit organisations supported by Inditex in 69 long-term strategic projects (230, 241, 207 and 237 organisations and 71, 75, 72 and 81 projects in 2021, 2020, 2019 and 2018, respectively).

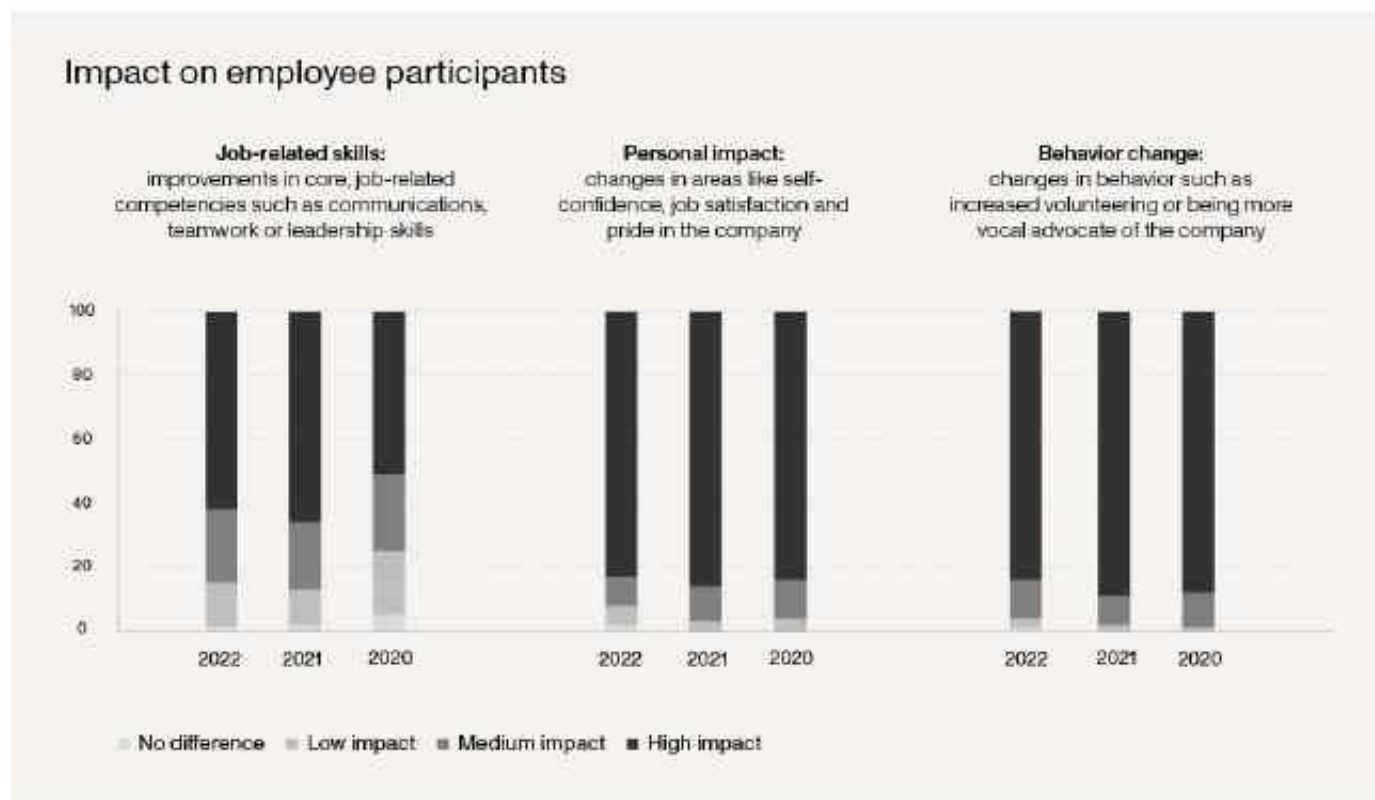


b) Business impacts

In addition to assessing the impact on the community, both on individuals and community organisations, we analyse the return on the investment in community programmes for our Company, both from the perspective of participating employees and the Company itself.

Impact on employee participants

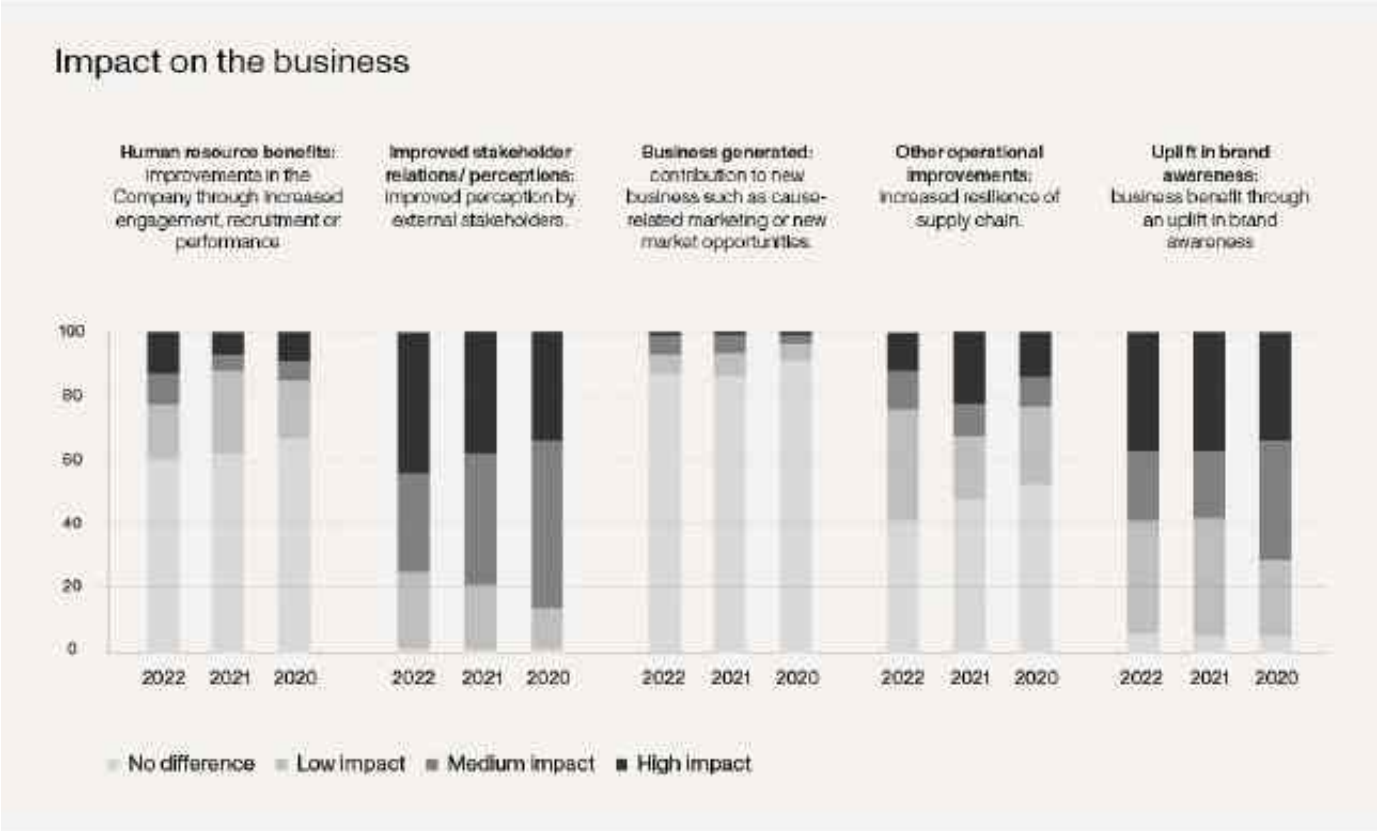
The impact on the employees who take part in the various projects in which we are involved relates to the change experienced once the initiative has been carried out. The assessment uses surveys to ask 15 questions grouped into three key indicators: skills development, personal well-being and positive change in the perception of the company. In 2022, 181 volunteers in 16 countries were surveyed (100 and 75 volunteers and 9 and 7 countries in 2021 and 2020, respectively).



Impact on the business

In addition to the impact on the participating employees, we evaluate the impact that Inditex's involvement in the projects has on the Company itself. In 2022, an assessment was carried out on 725 initiatives implemented in the year (725 and 703 in 2021 and 2020, respectively).

The impact on the Company is assessed in five areas: human resource benefits, improved stakeholder relations and perceptions, business generated, other operational improvements and increased brand recognition.



5.7.4. Key programmes

GRI 203-2; 413-2; AF33; AF34

Education

EPGO (Educating People, Generating Opportunities)

EPGO is a cooperation programme in collaboration with Entreculturas aimed at offering education and professional training to persons at risk of exclusion. In 2022, the programme has directly benefited more than 66,415 people, in particular vulnerable girls and women, in Argentina, Brazil, Bolivia, Ecuador, Spain, Lebanon, Mexico, Paraguay, Peru, South Africa, Uruguay and Venezuela.

In November, we renewed our partnership with Entreculturas, beginning with the launch of the three-year programme **“Generating opportunities: education and inclusion for a sustainable world”**, to which Inditex has contributed 10 million euros. The projects under the framework of this new programme, with activities spanning 12 countries, focus on bridging the education and digital divide, nurturing decent and sustainable livelihoods and protecting victims of forced migration. Since 2001, Inditex’s social investment in Entreculturas’ educational and community development projects has exceeded 60 million euros and has directly benefited 1.4 million people.

Inditex Chair of Refugees and Forced Migrants in the Comillas Pontifical University

This chair was created in 2016 to further academic research into migration, improve aid to migrants and refugees on the ground and raise social awareness. It also conducts projects for the integration of refugees in European cities.

In 2022, **we renewed our collaboration with the Comillas Pontifical University for the period 2023-2025**, with the aim of continuing to promote doctoral scholarships for researchers to study the reality of the processes of incorporation, welcoming and, in particular, social integration of refugees in Spain and Europe. The Chair also offers students of the official Cooperation and Migration programmes at Comillas Pontifical University professional internships at national and international organisations working directly with refugees.

TEMPE-APSA Chair of Disability and Employability at Miguel Hernández University in Elche

We helped to create this chair in 2015 to nurture multi-disciplinary research and training in the field of disabilities. Legal experts, economists and psychologists study the most suitable formulae for increasing the employability of people with disabilities. Furthermore, the Diploma in Auxiliary Shop Tasks strengthens the skills and competencies of people with disabilities to access the labour market.

Inditex Chair of Spanish Language and Culture at the University of Dhaka (Bangladesh)

With the collaboration of the universities of Santiago de Compostela and A Coruña, this Chair has been promoting Spanish language and culture and fostering academic exchange between Spain and Bangladesh since 2011. High-performing Bangladeshi students have the opportunity to take part in intensive Spanish courses in Spain. At the same time, cultural activities open to Bangladeshi University students are carried out to promote Spanish culture in Dhaka.

Collaboration programme with Tsinghua University

In 2019, Tsinghua University and Inditex set up the Sustainable Development Fund, aimed at supporting this Chinese institution in its efforts to promote research, dissemination and social support for Sustainable Development Practices.

The collaboration programme also involves research trips to A Coruña (Spain) for the university’s students to broaden their knowledge and experience in fashion, logistics, environmental protection and sustainable development through Inditex and other companies. The collaboration also envisages the professional development of academic staff and the promotion of cultural activities in the Tsinghua campus.

Collaboration programme with the Massachusetts Institute of Technology (MIT)

The collaboration with MIT in education and research is structured around various action areas: creating Inditex chairs in areas such as operational research and sustainability; research and enhancement of knowledge in matters such as artificial intelligence, machine learning or data science; an Inditex scholarship for MIT students; and the development of research lines in areas such as textile recycling or the creation of new fibres using sustainable technologies.

Collaboration programme with the University of A Coruña (UDC)

The following projects are executed under this programme: Inditex-UDC Sustainability Chair to promote a space for community reflection, academic training and applied research on sustainability and social innovation; InTalent Programme that enables scientists with extensive international experience to conduct their innovation programmes at UDC’s research centres; and grants to fund pre-doctoral research residencies in universities and research centres abroad, enabling them to complete their PhDs.

In 2022, we reinforced the activities for fostering research talent in the university environment, with the launch of the second edition of the InTalent Programme, allowing the University of A Coruña (UDC) to recruit excellent researchers, with a contribution of 1.5 million euros from Inditex.



Employment and Training Programme in Spain

Inditex has been supporting the Caritas Employment Programme since 2011, whose aim is to promote access to decent employment for persons in a situation of vulnerability. This initiative, to which we have contributed 16.5 million euros since the collaboration began, is structured around various lines of action: promotion of social economy enterprises; support for self-employment; and the improvement of professional training. Thanks to this programme, extended in January 2023 with a contribution of 5 million euros for the next three years, 8,570 people in or at risk of exclusion have improved their employability and 2,958 people have found a job.

for&from

for&from is a social/workplace integration programme for people with disabilities that is based on launching retail establishments under the image of the Inditex's different brands. These stores are managed by non-profit organisations and staffed by people with disabilities. Inditex makes an initial outlay to build the store and, from then on, the community organisations manage a self-sustaining model through the sale of products from previous seasons. The proceeds go entirely to the managing organisations to fund projects that help people with disabilities. The programme currently has 15 stores, including the opening in 2022 of the first Zara Home for&from store in Madrid, which have generated job opportunities for more than 700 people, and 7.5 million euros in profits for the managing organisations.

Salta

Salta is an Inditex programme aimed at incorporating people in situations or at risk of social exclusion into the labour market through training and job opportunities. The aim is to integrate vulnerable persons in the teams of our stores, factories or logistics centres. More than 1,600 people have been trained and joined Inditex through Salta. The programme currently operates in 16 markets: Germany, Brazil, South Korea, Spain, the United States, France, Greece, India, Italy, Kazakhstan, Mexico, Poland, Portugal, the United Kingdom, Romania and Türkiye.

Emergency relief

Ukraine Emergency Programme

In response to the war in Ukraine, Inditex launched an **emergency relief programme** to support the most vulnerable people in the conflict zone and those who have been forced to flee Ukraine. The following initiatives stem from this programme:

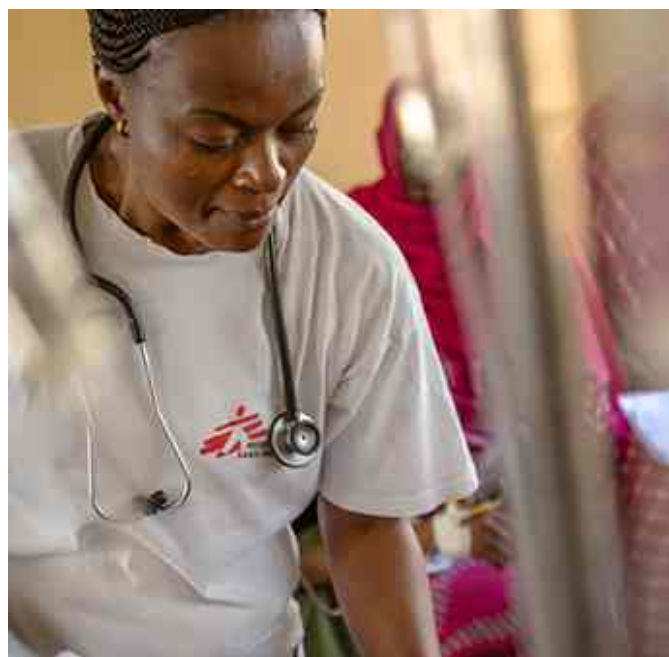
- / **Monetary contribution:** a donation of 3 million euros to UNHCR to help supply essential items to Ukraine and neighbouring countries.
- / **Medical aid:** deployment of the Emergency Unit of Médecins Sans Frontières, financed on a regular basis by Inditex, in Ukraine and Slovakia to assist the wounded.
- / **In-kind contribution:** donation of 313 thousand articles from our collections for their distribution among displaced persons inside Ukraine and refugees in neighbouring countries.
- / **Job creation:** more than 500 jobs created by Inditex for Ukrainian refugees across 22 European markets.

MSF Programme

MSF and Inditex have been working together since 2008 in developing numerous medical-humanitarian response projects in various parts of the world. As a result of this cooperation, to which Inditex has channelled 35 million euros over this period, six million people threatened by armed conflict, epidemics, diseases or natural disasters have received medical care.

Supporting the MSF Emergency Unit

In 2011 we began collaborating with Médecins Sans Frontières (MSF) with the aim of guaranteeing an immediate response to medical-humanitarian crises anywhere in the world. Since then we have helped provide assistance to more than four million vulnerable people without access to medical care in around 70 countries. In 2022, we funded the Barcelona-based Emergency Unit structure, which has been deployed in Ukraine and Mozambique, among other countries, as well as part of the regional emergency teams based in the Democratic Republic of Congo and the Central African Republic.



Access to healthcare for the Rohingya community in Bangladesh

In response to the medical and humanitarian needs of the Rohingya community in Bangladesh, Inditex has been supporting Médecins Sans Frontières' projects there since 2017. Hundreds of thousands of people have been helped through this cooperation, in particular women and children under five. In particular, thanks to the support in 2022, MSF teams have carried out, among other activities, outpatient clinics (paediatrics, gynaecology, obstetrics, sexual violence, mental health), paediatric emergencies, paediatric hospitalisation, nutrition and paediatric intensive care. In addition, basic medical care has been provided to pregnant women and children aged under 15 years.

Access to healthcare for the migrant population crossing Mexico

Inditex supports MSF in humanitarian relief projects to assist people from Central America attempting to cross Mexico to gain entry into the United States. Specifically, in 2022 and thanks to Inditex's support, Médecins Sans Frontières is present in several hostels and stopover points for migrants along the way, offering basic medical and psychological care. Furthermore, MSF has mobile clinics that go to the areas most frequented by migrants where, in addition to medical and psychological care, they also distribute hygiene products, water and blankets. The organisation also has a Comprehensive Care Centre in Mexico City where specialised medical care is offered to migrants and refugees.

UNHCR Programme

For the third year running, Inditex and UNHCR, the United Nations High Commissioner for Refugees, implemented their ambitious programme of gifts in kind to help clothe refugees and internally displaced people. Through this initiative, which is rolled out in conjunction with various suppliers, Inditex supports UNHCR in its task of sheltering refugees who have been forced to abandon their homes and all their possessions, and helping to restore their dignity. In 2022 more than 2 million articles from our collections were donated to UNHCR to help refugees in Uganda and South Sudan, among other countries. Humanitarian emergency assistance was also provided in response to the war in Ukraine.



Assistance to displaced people in South America

Since 2009 we have been working with Entreculturas on a programme to tackle the situation of people forced to flee in Colombia and on its borders (Panama, Ecuador and Venezuela), due to the armed conflict which over this period has caused the exodus of millions of Colombians from the region. For this purpose we established a partnership with the Jesuit Refugee Service Latin America and the Caribbean (JRS LAC), which has helped 100,000 refugees or displaced persons, especially children, adolescents and young people at risk of being linked to, used or forcibly recruited, as well as refugees and displaced persons with disabilities, ethnic minorities, black and indigenous communities and women-headed households with children. In 2021, in light of the humanitarian crisis stemming from the situation in Venezuela, Inditex decided to support another three-year programme to assist displaced persons that will be carried out in Venezuela, Colombia, Ecuador and Brazil.

A Flote

Fundación Emalcsa, A Coruña City Council and Inditex have been working together since 2017 in the A Flote social integration and social benefits programme in the catchment area of Inditex's main headquarters. In 2022, 344 emergency social benefits were handled, 315 requested by women and 29 by men. These emergency benefits were used mainly for help with housing, school meals and help sheltering Ukrainian refugees. In addition, a welcome service for Ukrainian refugees (translation, counselling, employment support, etc.) was set up, helping dozens of families.

Every Mother Counts Programme

This programme supplies prenatal and maternity care to pregnant women in Bangladesh and the United States. The support of Inditex has enabled Every Mother Counts to partner with the HOPE Foundation for Women and Children in the south-eastern Bangladeshi district of Cox's Bazar. In the United States, it has also provided access to prenatal and post-partum care for thousands of low-income women at risk of social exclusion and their babies.

Medicus Mundi Programme

Medicus Mundi and Inditex have been working together in Morocco since 2015 to improve the well-being of garment workers in the Tangier-Fes-Guercif-Taza and Casablanca-Settat regions. In 2022, our partnership with Medicus Mundi was strengthened when we signed a new three-year agreement, endowed by Inditex with 1.2 million euros. This intervention continues work in areas such as occupational risk prevention and adds the implementation of protocols against sexual and moral harassment at the workplace. It also focuses on improving the health and social context of the sector, through activities for the socio-occupational integration of vulnerable groups, support for the local public healthcare system and the promotion of sexual and reproductive health. The programme plans to expand its activities into neighbouring countries like Tunisia.

Environment

Moda Re-

Moda Re- is a programme run by Cáritas and promoted by Inditex dedicated to collecting used textiles in order to recover and reuse them through a sustainable business model based on the circular economy. Its purpose is to generate employment for vulnerable people through the collection, recycling, and reuse of used garments. Thanks to Inditex's support for this

initiative, some 2.3 million articles have been donated to vulnerable people; 2,628 sensor-equipped clothing collection containers of used garments have been installed and more than 93,000 tonnes of clothing collected; and 84 second-hand clothing stores have been opened or refurbished. The programme currently generates more than 1,200 jobs, 512 of them are insertion employments. Likewise, the initiative has become a benchmark in the process of dignifying the free delivery of clothes to those most in need, based on donations made through the 129 solidarity stores that currently make up the Moda Re- network. In January 2023, Inditex renewed its support for this programme on the basis of a contribution of 3.5 million euros in the 2023-2025 period.

Water.org programme

We have been working with Water.org since 2015 to improve access to drinking water and sanitation for vulnerable families through microloans in countries such as Bangladesh, Cambodia and India. The idea is to provide people on low incomes with access to affordable loans to cover their water and sanitation requirements. In 2022, starting with Inditex's philanthropic contribution, local financial institutions released an additional 62 million euros, enabling 197 thousand loans to be granted. Consequently, more than 750 thousand people have improved their access to water and sanitation in 2022.



#BRINGYOUROWN BAG (#TRAETUBOLSA)

Using reusable bags reduces waste and minimises the consumption of raw materials, water and energy. To encourage their reuse, Inditex brands began charging for paper bags and envelopes in their stores in 2021, reaching 59 markets with this initiative in 2022. Inditex does not obtain any profit from this measure. The equivalent full amount are invested in environmental and social initiatives.

By teaming up with various non-profit organisations, we promote projects that foster the protection and restoration of ecosystems, help to prevent their degradation, enhance knowledge and understanding about them and advance the use of regenerative production techniques. These are the first projects under this initiative, to which new programmes will be added going forward.

WWF Programme

In December, Inditex and WWF signed a collaboration agreement for the next three years focused on nature restoration, as well as working together on transformative projects. This partnership began with a total of nine WWF projects in North Africa, Europe, Asia and Latin America focusing on the restoration and conservation of forests and river catchment areas and the protection of endangered species and their ecosystems.

The Group will allocate part of the proceeds from charging for paper bags and envelopes, a practice it began in 2021 to encourage people to use reusable alternatives, to these projects. Inditex will make a minimum annual contribution of 3 million euros to WWF, with 4.2 million euros allocated for 2022, bringing its total input through 2025 to over 10 million euros.

ASA Programme

We collaborate with Action for Social Advancement (ASA), along with the Laudes Foundation, IDH The Sustainable Trade Initiative and WWF India, to promote regenerative agriculture, ecosystem restoration and community well-being in a 300,000 hectare area in the Indian states of Madhya Pradesh and Odisha. The initiative, endowed by Inditex with 3.5 million euros, aims to improve soil quality and biodiversity, optimise water management and reduce greenhouse gas emissions.

Water & Climate Fund by Water.org

In Bangladesh, India and the Philippines, it is estimated that more than 30% of the water supplied through the public sanitation network is wasted because of the condition of the pipes. Not only is this a drain on resources, but it also constrains local communities' access to water. Consequently, in March we signed a new agreement with Water.org to support its Water & Climate Fund, a global fund that aims to develop projects to improve water and sanitation infrastructure. Through this fund, endowed by Inditex with 5 million euros, Water.org seeks to achieve greater efficiency and savings, while also improving local communities' access to water.

Sustainable Forestry and Demonstration Forests

Forestis, the Galician Forestry Association, and Inditex launched this project in 2022 to develop forestry interventions in Galicia (Spain) and Portugal, which will apply forestry management practices that increase resilience and improve the sustainability of ecosystems. This approach seeks to make forest's biological greenhouse gas sink function compatible with the use of quality forestry products and people's enjoyment of forests. The programme, endowed by Inditex with 2 million euros, also covers research activities aimed at exploring the feasibility of outreach initiatives in the field of forest and environmental resource sustainability.

Other issues addressed

In addition to the programmes described above, in 2022 we allocated 24% of our corporate community investment to initiatives linked to social welfare, economic development, health, art and culture. Likewise, in 2022 we have continued to support research institutions such as Fundación Pro CNIC, Real Instituto Elcano and Fundación Carolina, among others. Inditex's links to art and culture are embodied by collaborations with institutions such as the Royal Spanish Academy, Reina Sofía National Museum of Art and the Royal Theatre opera house, among others.

Likewise, Inditex makes one-off contributions at corporate level and from the Group brands and subsidiaries to help further the general aims of non-profit organisations. We earmarked 1.75 million euros in 2022 for charitable gifts in connection with requests from non-profit organisations, which were distributed among more than 150 entities.



6. How we do things

6.1. Good governance, corporate ethical culture and solid Compliance architecture / 6.2. Tax responsibility and transparency / 6.3. Responsible risk management

The way we conduct ourselves is based on a corporate ethical culture, which we convey to our internal and external stakeholders alike, and which is based on an internal regulatory and responsible risk management system that fosters the development of an ethical, efficient and competitive business model.

6.1. Good governance, corporate ethical culture and solid Compliance architecture

Related material topics: Ethical behaviour and governance; Stakeholder engagement.



6.1.1. Good corporate governance

GRI 2-9; 2-10; 2-11; 2-12; 2-13; 2-16; 2-17; 2-18; 2-19; 2-20; 2-21; 2-23; 2-24; 3-3; 201-3; 405-1; 405-2

Inditex relies on a Corporate Governance System comprising a series of rules, procedures and mechanisms to guarantee that the directors and the management team, who are responsible for the governance of the Company, carry out their duties in a **diligent, ethical and transparent** manner, are accountable for their activity—which is subject to verification and control, both internal and external—at the same time that the balance of powers and the respect for and equality of all our shareholders, especially minority ones, is ensured.

The Board of Directors of Inditex ensures **that the Company fulfils its social and ethical duties**, and its duty to act in good faith in dealings with employees and third parties, that no person or small group of persons holds decision-making power within the Company that is not subject to checks and balances, and that no shareholder receives privileged treatment over the others.

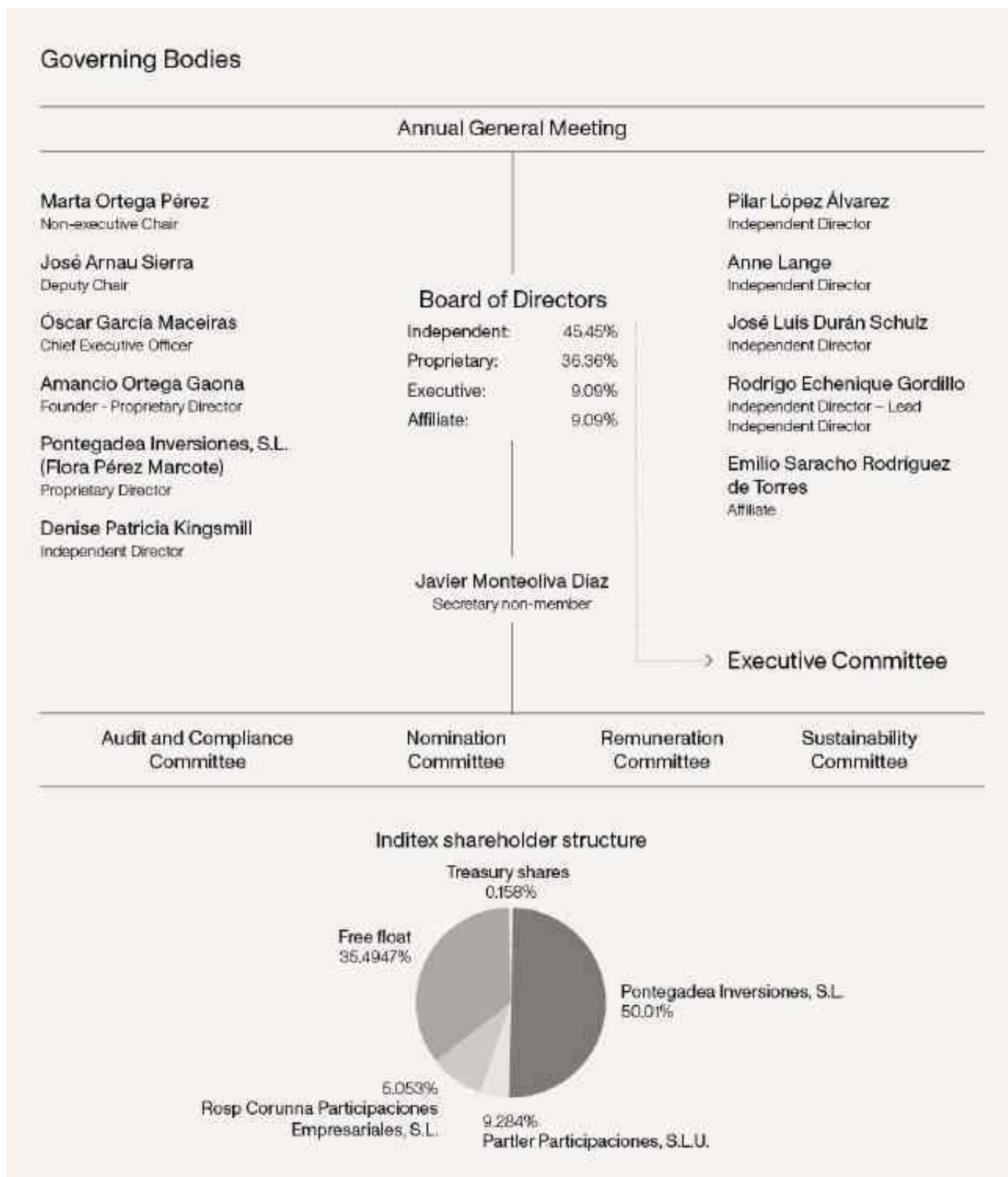
The Board performs its duties in accordance with the corporate interest, understood as the **viability and long-term maximisation of the value of the Company in the common interest of all our shareholders**, without overlooking other legitimate interests, public or private, that converge in the course of our business activity, especially those of our stakeholders: our employees, customers, and suppliers, and the civil society at large.

Consequently, the goal of maximising the Company's value may only be seen as the continuous creation of value for each of our main stakeholders.

To achieve these objectives, applicable legislative developments and recommendations are implemented and good corporate governance practices are systematically strengthened within the main body tasked with overseeing corporate governance: the Board of Directors and its committees. Upon approving and/or amending any internal regulation, priority is given to establishing rules that improve governance and, ultimately, the confidence of investors, shareholders and other stakeholders.

Inditex's Corporate Governance System is fully compliant with the regulatory requirements set forth in the applicable legislation, and the recommendations outlined in the Good Governance Code ('GGC') of the Spanish National Securities Market Commission ('CNMV').

6.1.1.1. Organisation and operation of governing bodies



Inditex's 2022 Annual General Meeting (AGM) was held in hybrid format, with in person and remote attendance and participation. The appointments of Marta Ortega Pérez as Chair and Óscar

García Maceiras as CEO were ratified at the AGM. In addition, E&Y was appointed as the new statutory auditor. The new corporate governance structure with the roles of Chair and CEO

being separate, and with a single executive director, is thus implemented, in line with the recommendations of institutional investors and proxy advisers in Europe.

Detailed information on the Annual General Meeting and on the regulation, organisational and operational rules, composition, mission and competences and the main activities or action lines of the Board of Directors and the Audit and Compliance, Nomination, Remuneration and Sustainability Committees for 2022, is provided in the 2022 Annual Corporate Governance Report (ACGR). This report was approved by the Board of Directors at its meeting of 14 March 2023 and is available on our corporate website (in the *Investors* section, under *Corporate Governance > Reports & Regulations* sub-section) and on CNMV's website.

① More information in the [Annual Corporate Governance Report](#) included in this Report.

Management Committee

Inditex's Management Committee is responsible for coordinating the Company's management and supporting the CEO in discharging his duties. Said Committee is conducive to collegiate decision-making in accordance with international best practices on corporate governance.

The members of the Management Committee as of 31 January 2023 were as follows:

Member	Position
Pablo del Bado Rivas	Pull&Bear Director
Miguel Díaz Miranda	Chief Financial Officer & Chief Operating Officer, Zara
Ignacio Fernández Fernández	Chief Financial Officer, Inditex
Javier García Torralbo	Chief Digital Officer, Inditex
Begoña López-Cano Ibarreche	Chief People Officer, Inditex
Javier Losada Montero	Chief Sustainability Officer, Inditex
Beatriz Padín Santos	Zara Woman Director
Jorge Pérez Marcote	Massimo Dutti Director
Óscar Pérez Marcote	Zara Director

6.1.1.2. Main lines of action by Inditex governing bodies in 2022:

/ The agenda of business to be transacted by Inditex governing bodies continues to be shaped by sustainability:

- Monitoring of the sustainability objectives for the 2020-2025 period.
- Review by the Board of Directors of the Sustainability Strategy.
- Approval of the new 'Workers at the Centre' strategy'.
- Review of investment projects in innovation and sustainability.
- Analysis of the financial impact and risk of climate change.

/ The Board's agenda was also marked by:

- The business situation, given the economic and social circumstances resulting from the Russia-Ukraine conflict.
- Implementation, at the various levels of the Organisation, of the changes to the corporate structure, which has resulted in:
 - (i) The formalisation of the relevant changes to the governing bodies and the Management Committee.
 - (ii) The amendment to internal regulations and to a number of corporate policies to bring them into line with the new organisational structure.

In this regard, mention should be made of the amendment to the Directors' Remuneration Policy for financial years 2021, 2022 and 2023, with a view to:

- Establishing **fixed remuneration** for the position of (non-executive) **Chair** of the Board of Directors, to this date a non-paid position.
- Adjustment of **the maximum amount of remuneration** that the Company may pay annually to **all the directors in their status as such**.
- Establishing the **total remuneration package for the new CEO** for the performance of his duties and responsibilities as chief executive in the new corporate governance structure, including the terms of his contract.

/ In addition, the Board Skills Matrix was approved.

6.1.1.3. Diversity on our governing bodies

Inditex has a Diversity and Inclusion (D&I) Policy, approved by the Board of Directors in December 2017, and partially amended in December 2020. This policy establishes the framework that promotes the values of diversity, multiculturalism, acceptance and integration in all the Group's entities and is driven by the most senior levels of the Company.

① More information in section [5.1.1. Diversity, inclusion, equality and work-life balance](#) of this Report.

Inditex also has a Diversity of Board of Directors Membership and Director Selection Policy, approved by the Board of Directors on 9 December 2015 and last amended on 8 June 2021.

This policy sets forth the criteria for the selection of directors to guide the activities of the relevant governing bodies.

The Nomination Committee is the board specialised committee involved in the process of selection, nomination, ratification and re-election of our directors. The Nomination Committee's guiding principle is to guarantee a diverse membership in the various collegiate governing bodies of our Company, including among the criteria for consideration, diversity of knowledge, skills, age, international experience or geographic origin and, in particular, gender.

In 2022, this Committee compiled a **Board Skills Matrix**, as a tool with which to review the criteria needed to ensure an appropriate and diverse Board membership and selection of prospective candidates.

With regard to gender diversity, the Committee has consistently strived to achieve the highest levels of female representation. In 2019 the 30% target established in the Diversity of Board of Directors Membership and Director Selection Policy in force at the time and recommended by the Good Governance Code for Listed Companies had already been exceeded. In 2022, with five women on the Board, the **new target set in 2020 of 40% female directors out of the total board seats has been exceeded**.

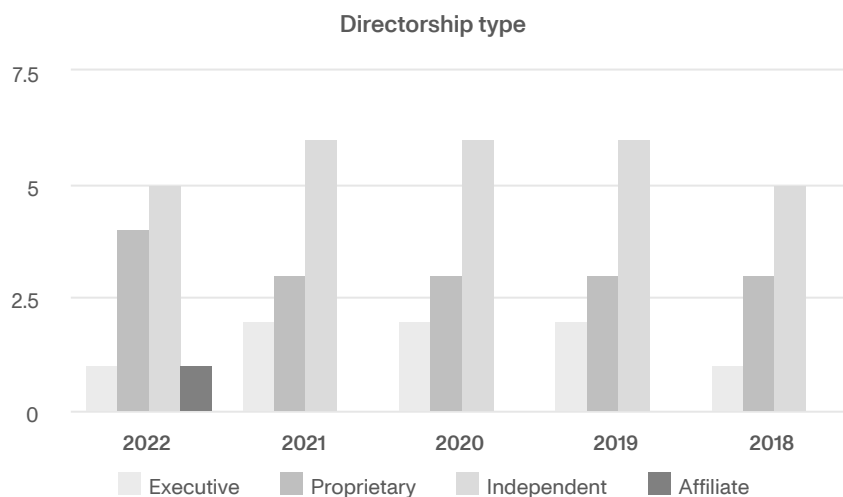
This also exceeds the target, to be achieved by June 2026, that 33% of non-executive directors or 40% of all directors, irrespective of whether or not they are executive directors, should be of the under-represented gender, as stipulated in the

Directive (EU) 2022/2381 of the European Parliament and of the Council of 23 November 2022 on improving the gender balance among directors of listed companies and related measures.

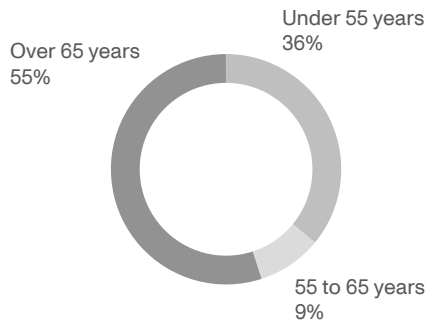
Governing Bodies	% women				
	2022	2021	2020	2019	2018
Board of Directors	45.45%	36.36%	36.36%	36.36%	33.33%
Audit and Compliance Committee	42.86%	42.86%	42.86%	36.36%	33.33%
Nomination Committee	40.00%	40.00%	40.00%	40.00%	33.33%
Remuneration Committee	20.00%	20.00%	20.00%	20.00%	33.33%
Sustainability Committee	60.00%	60.00%	60.00%	60.00%	NA

Moreover, the Committee is also responsible for the appointment and removal of Senior Managers, and must also ensure gender diversity and the promotion of female leadership, **encouraging the existence of a significant number of female senior managers**.

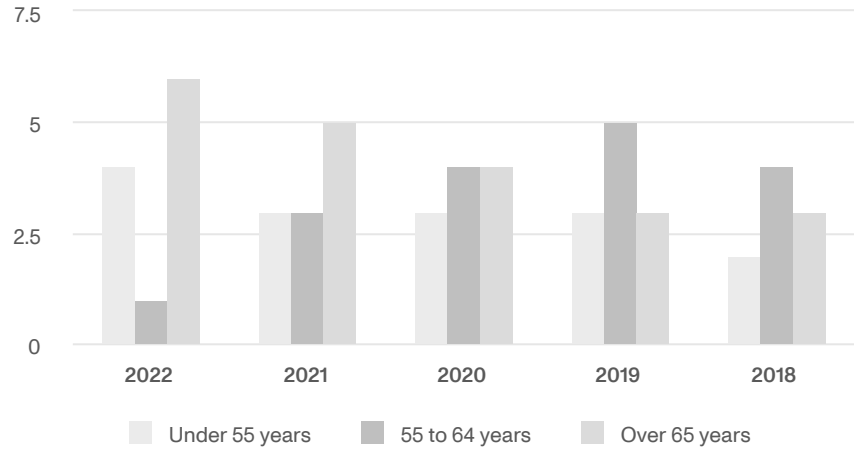
Main indicators of diversity within Inditex's Board of Directors for the last five years (2018, 2019, 2020, 2021 y 2022)



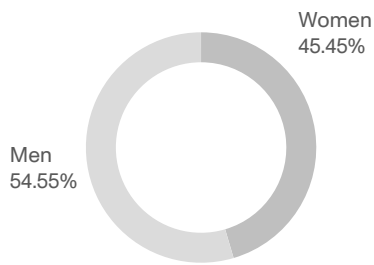
Age 2022



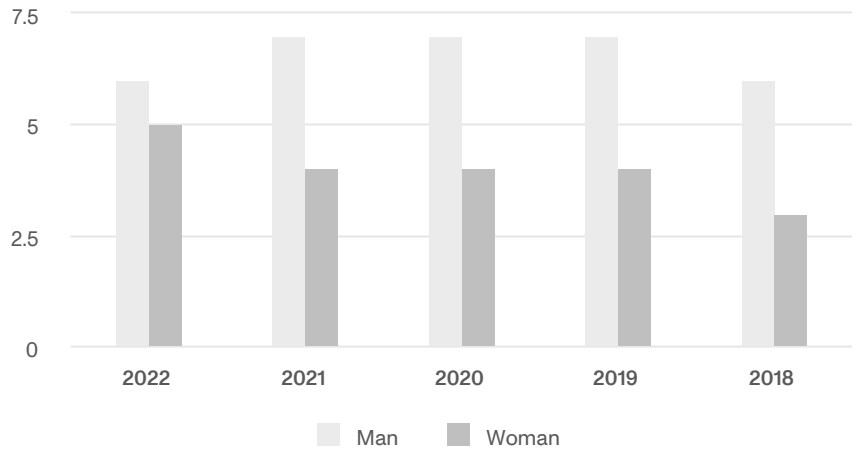
Age



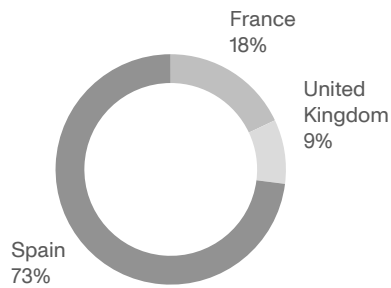
Gender 2022



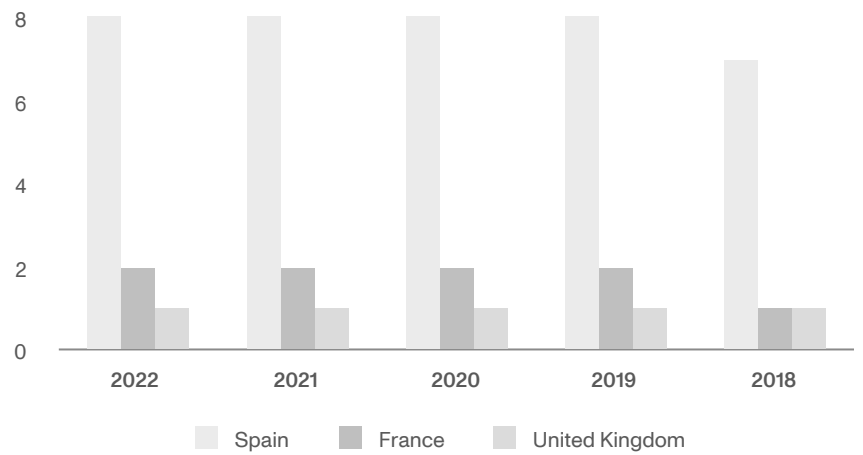
Gender

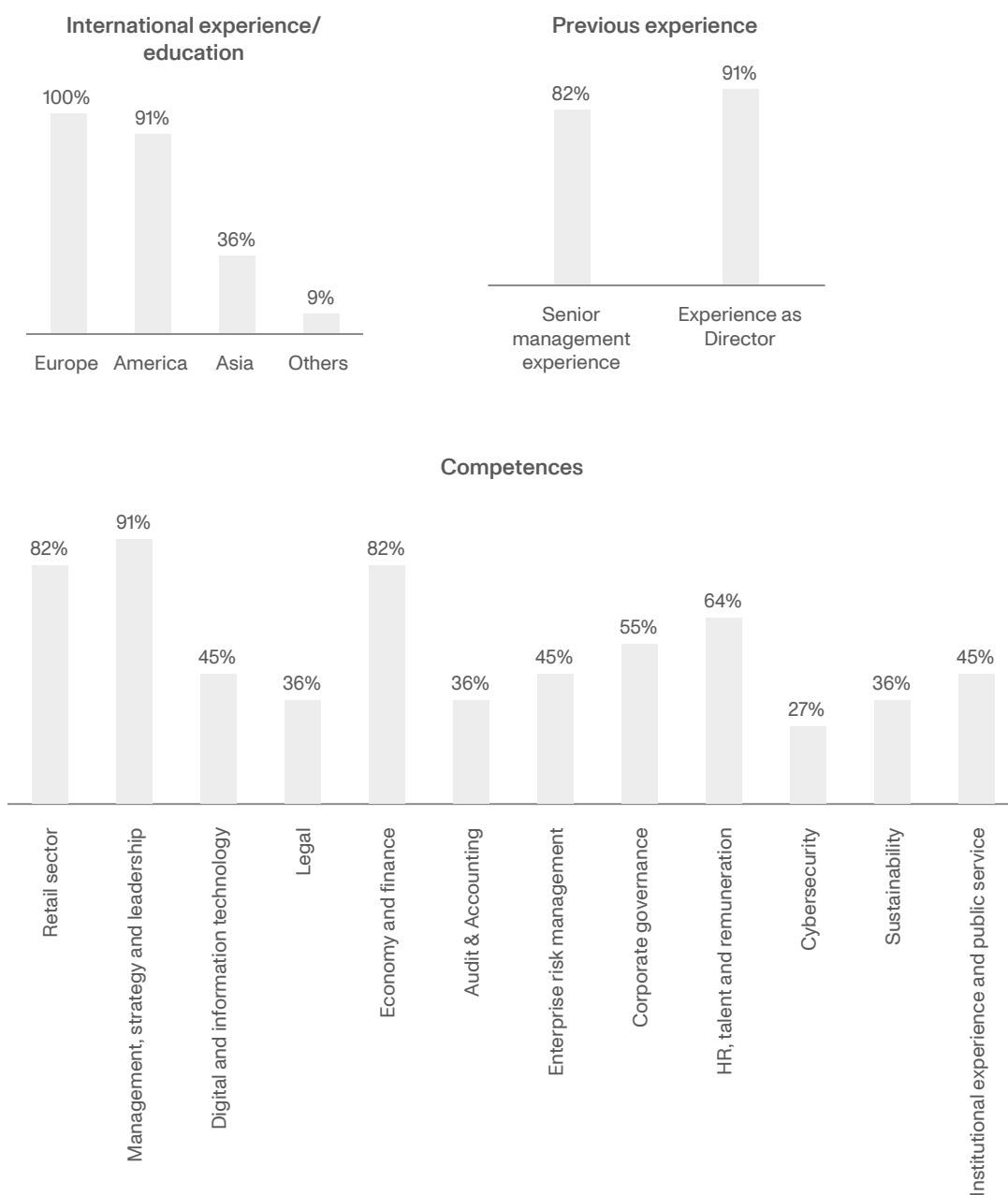


Geographical Area 2022



Geographical Area





Diversity on the governing bodies ensures there are multiple perspectives, helping risks and opportunities identification and, consequently, the achievement of corporate objectives.

In addition, the diversity driven by the governing bodies and Senior Management encourages the promotion of equal opportunities across the Organisation, nurturing a diverse and inclusive workplace, which contributes primarily to the achievement of Inditex's corporate objectives and a better business performance.

6.1.1.4. Other indicators of Inditex Corporate Governance System

Item	2022	2021	2020	2019	2018
AGM attendance	88%	89%	89% ¹	88% ²	88% ³
Number of directors	11	11	11	11	9
Executive Directors	1	2	2	2	1
Independent Directors	5	6	6	6	5
Proprietary Directors	4	3	3	3	3
Affiliated Directors	1	-	-	-	-
Lead Independent Director	YES	YES	YES	YES	YES
Board meetings	10	7	7	5	5
Attendance %	98%	100%	100%	100%	100%
Meetings of the Audit and Compliance Committee	6	5	5	5	5
Attendance %	100%	100%	100%	100%	100%
Meetings of the Nomination Committee	5	4	4	5	5
Attendance %	100%	100%	100%	100%	100%
Meetings of the Remuneration Committee	5	3	4	5	3
Attendance %	100%	67%	100%	100%	100%
Meetings of the Sustainability Committee	6	4	3	0	0
Attendance %	100%	100%	100%	0%	0%

1. Of which 24.37% is free float.

2. Of which 23.28% is free float.

3. Of which 28.95% is free float.

6.1.1.5. Remuneration of Directors and Senior Managers

Detailed information on **the Directors' Remuneration Policy** in force for 2021, 2022 and 2023, its principles, foundations and elements, as well as its application in 2022, are set out in the 2022 Annual Report on Remuneration of Directors, approved by the Board of Directors at its meeting of 14 March 2023. This report is available on our corporate website (in the Investors section, under Corporate Governance > Reports & Regulations sub-section) and on CNMV's website.

① More information in the More information in the [Annual Report on Remuneration \(ARR\)](#) included herein.

Total remuneration of the Board of Directors in 2022 (in thousands of euros)

	2022	2021	2020	2019	2018
Total Remuneration of the Board of Directors	38,698	21,232	10,935	9,458	11,419

① More information in section [C.1.13 Annual Corporate Governance Report](#) and in the [Annual Remuneration Report](#) included herein.

No gender-specific information is included regarding directors' average remuneration as there is no gender pay gap in Inditex's governing bodies. The remuneration of directors in their capacity as such consists of a fixed annual remuneration for each of them for their membership on the Board and its various committees and an additional remuneration for discharging the offices of Chair and Deputy Chair of the Board and for chairing the different committees. At present, both the Board of Directors

and two of Inditex's committees are chaired by women. Only the CEO receives a remuneration package (including fixed and variable components) for the performance of his executive duties, and the items and amounts of the CEO's remuneration are therefore not comparable to that of the other directors.

Average remuneration of Senior Management in 2022 (in thousands of euros)

The annual average remuneration earned by the 22 Senior Managers as of 31 January 2023 is as follows:

	2022	2021	2020	2019	2018
Average remuneration of Senior Management	4,044	3,294	1,324	1,434	1,944

① More information in section [C.1.13 Annual Corporate Governance Report](#) of this Report.

	2022	2021	2020	2019	2018
Men	4,149	3,455	1,427	1,556	2,008
Women	3,753	2,801	993	1,033	1,726

6.1.1.6. Vision and challenges: towards sustainable governance

Sustainability is one of the essential elements of Inditex's Corporate Governance System. This system has been in a **continuous process of review and improvement**, evolving in line with international guidelines and best practices in this area and, in particular, with ESG (Environmental, Social and Governance) criteria, towards a system of sustainable governance.

The Group's commitment to sustainability is reflected at the highest level of the Company, starting with the most senior governing bodies, with sustainability as a factor integrated in the decision-making process.

Accordingly, Inditex's Corporate Governance System provides a comprehensive vision that promotes responsible governance, in order to safeguard the interests of our shareholders, while at the same time reflecting and taking responsibility for the environmental, social and reputational impact of our activity, with the aim of maximising the long-term corporate interest through the continuous creation of value for each and every one of our stakeholders.

The result is a socially responsible and sustainable business model, in continuous participatory dialogue and aimed at the common benefit of all related strata.

Sustainability Governance



Our Corporate Governance System integrates sustainability by means of the following elements:

Integration of sustainability into the Company's management and corporate strategy

The **Sustainability Committee**, as an informative and advisory Board committee, is responsible for monitoring our social and environmental sustainability strategy and practices, as well as fostering a commitment to the Sustainable Development Goals.

Hence, it liaises directly with the Sustainability Department, which is responsible for defining the Group's sustainability strategy and which reports, at least quarterly, on the degree of achievement of the strategic objectives and the proposals in the areas of human rights, social, environment, and health and safety of our products.

Moreover, the Chief Sustainability Officer is a member of Inditex's Management Committee. This body reviews the strategy and business and investment plans also in this field and, at the same time, liaises directly with the various corporate and business areas responsible for executing the sustainability strategy and proposals.

Meanwhile, one of the main duties of the **Audit and Compliance Committee** is to oversee and assess financial and non-financial risks, such as those arising from the Group's actions in relation to its social, environmental and other sustainability practices.

The members of the Sustainability Committee, including its Chair, also serve on the Audit and Compliance Committee. The overlapping presence of directors on both committees and the report that the Chair of the Sustainability Committee submits to the Board of Directors regarding the main issues discussed at their respective meetings ensure that the most relevant social and environmental sustainability issues are taken into consideration in the deliberations of the Audit and Compliance Committee, allowing for a better identification of the risks and opportunities associated with these matters.

This system of dialogue at different levels within the Organisation, right up to the highest level, helps to better identify the sustainability risks, opportunities and impacts of our commercial operations.

In 2022 the Board of Directors assessed the Group's new Sustainability Strategy, presented by the Sustainability Department. This sustainability vision and strategy was already defined in the Group's **Sustainability Policy**, initially approved by the Board of Directors at its meeting on 14 December 2020. In addition, as part of the process of defining the climate change strategy in 2022, the Audit and Compliance Committee has analysed the scenarios and risks arising from climate change.

Establishing appropriate mechanisms to reflect the expectations of our stakeholders

The **Sustainability Committee** is also the body responsible for relations with the various stakeholders in the area of sustainability.

In particular, it is tasked with overseeing and evaluating, both the strategy of communication and relations with the various stakeholders, as well as the procedures and channels of communication in place at Inditex to guarantee proper and seamless communication with them.

Furthermore, Inditex has a **Social Advisory Board**. It is the Company's permanent external body which acts in an advisory and consultative capacity in matters of social and environmental sustainability. It is made up of persons external and independent of the Group. It arranges and institutionalises dialogue with those spokespersons considered key in the civil society in which we carry out our business model and plays, in addition, an important role in determining the materiality matrix, in which it participates in collaboration with our stakeholders.

The existence of robust sustainability monitoring mechanisms

In addition, the **Sustainability Committee** is further tasked with overseeing and verifying the process of preparing regulated and non-regulated non-financial information. This procedure is carried out in coordination with the **Audit and Compliance Committee**, which is responsible for the ultimate supervision and evaluation of the preparation process and the integrity of the non-financial information included in the directors' report, ensuring compliance with all legal requirements, and also dealing with the process of independent verification of this information. Such coordinated action ensures a global view of the effective implementation of policies relative to their respective areas of competence, as well as enhancing the quality of non-financial information made available to the market.

The link between sustainability performance and the remuneration system for our Executive Directors and Senior Managers

The Chief Executive Officer's variable remuneration, both annual and multi-year, is linked to the fulfilment of certain sustainability goals (environmental, social and corporate governance), consistent with the Group's sustainability strategy, which is a further incentive for the development of that strategy.

The annual variable remuneration of the Chief Executive Officer for 2022 is linked to, among other criteria, progress in the implementation of Inditex's global sustainability strategy. This progress will be measured according to the indicators updated at the 2022 Annual General Meeting, with a maximum weight of up to 15% of the total annual variable remuneration. The goals are as follows:

Weight	Goal	Measurement criteria
15%	Progress in the implementation of Inditex's global sustainability strategy, measured according to the following indicators:	(i) Increase in the number of sustainable items, measured by the following parameters: (a) More sustainable raw materials: cotton, linen, polyester and cellulosic fibres. (b) Garments under the Join Life sustainability label. (ii) Number of audits and control of discharges from dyeing facilities (wet processes) within the framework of the Zero Discharge of Hazardous Chemicals Commitment; (iii) Percentage reduction of waste generated internally at Inditex facilities (headquarters, logistics centres and own stores) (Zero Waste); (iv) Percentage of all packaging materials collected for recycling or reuse in the supply chain (Green to Pack); (v) Percentage of renewable energy consumption in Inditex's main facilities (headquarters, logistics centres and own stores); (vi) Degree of progress in rolling out the new Reusable shopping bag project; (vii) Degree of progress in the elimination of single use plastic for customers; and (viii) Innovation projects related to textile recyclability.

On the other hand, pursuant to the Remuneration Policy, the weight of sustainability metrics to which multi-year remuneration is tied may reach up to 25%. The metrics to which current long-term incentive plans are tied are shown below:

Weight	Goal	Measurement criteria
Between 10 % and 25 % ¹	Sustainability index (composed of 4 indicators)	(i) Sustainable product, measured as the percentage of sustainable garments. (ii) Waste management, measured as the percentage of Inditex facilities (headquarters, factories, logistics centres and stores) that have a waste management system to properly collect and manage such waste so as to be available resources for a new use by means of reusing or recycling. (iii) Decarbonisation, measured as the reduction in the volume of Greenhouse Gas emissions in own operations (scope 1 and 2). (iv) Social, measured as the percentage of suppliers of Inditex products ranked A or B in the social score index.

1. Bearing in mind that two different long-term incentive plans were in force throughout 2022, in which the weight of the sustainability index varied from 10% to 25%.

As a result, in 2022, the weight of sustainability objectives on aggregate variable remuneration has been approximately 20%.

Details of the objectives, the measurement criteria and the performance scales for each of the sustainability objectives tied to the Chief Executive Officer's variable remuneration are provided in the 2022 Annual Report on Remuneration of Directors. It was approved by the Board of Directors on 14 March 2023 and is available on the corporate website (in the Investors section, under Corporate Governance > Reports & Regulations sub-section) and on CNMV's website.

① More information in the [Annual Remuneration Report](#) included herein.

The link between sustainability objectives and the remuneration system also applies to the Group's Senior Managers.

6.1.2. Internal corporate ethical culture

GRI 2-9; 2-24; 205-1; 407-1; 3-3; AF1; AF7

Inditex's Compliance System is based on the implementation of our corporate ethical culture as an objective shared by all those who make up the Company, because it is not only a matter of what we want to achieve, but of *how* we want to achieve it.



One of the goals of such System is to establish a regulatory compliance framework in keeping with the applicable legislation and regulations, so as to prevent and, where appropriate, limit any kind of legal liability for the Company. As for the *how*, Inditex's Compliance System is aimed at evidencing our **unwavering commitment** to conveying our corporate ethical culture to all our stakeholders, promoting respect for fundamental human and labour rights. Compliance is a consequence of this commitment, enshrined in the Compliance System explained in this chapter.

Evidence of this is the existence of an approved and published internal regulatory system reflecting our ethical culture. The **Code of Conduct and Responsible Practices** is the top-level regulation for Group employees, and the **Code of Conduct for Manufacturers and Suppliers** provides the benchmark regulation for Inditex suppliers and the entire supply chain.

Code of Conduct and Responsible Practices

The Code of Conduct and Responsible Practices (the '**Code of Conduct**') establishes Inditex's ethical commitments and sets out the behaviour expected of its employees. Its goal is to secure a professional, ethical and responsible commitment from Inditex and all its employees, in the course of their activities anywhere in the world, as a core element of its business culture underpinning the training and personal and professional well-being of its employees.

To this end, it defines the principles and values that must govern the relationships between the Group and our main stakeholders: employees, customers, shareholders, business partners, suppliers and those communities in which we implement our business model.

The United States, Puerto Rico and Canada have their own code of conduct, adapted to the applicable regulations and best practices in those countries, and inspired by and fully aligned with the Code of Conduct.

- ☑ All Inditex operations will be carried out in an ethical and responsible way.
- ☑ Compliance with the legislation in force in each country is a necessary prerequisite for the Code of Conduct.
- ☑ The behaviour of the employees of Inditex must conform to the spirit and the letter of the Code of Conduct.
- ☑ All persons, natural and legal, with any direct or indirect labour, economic, social and/or industrial relations with Inditex, will receive fair and dignified treatment.
- ☑ All activities of the Inditex Group will be conducted in the most environmentally-friendly way possible, fostering the conservation of biodiversity and the sustainable management of natural resources.

In 2022, a process of review and update of the Code of Conduct has been launched, that seeks to bring its contents, structure and approach into line with the new regulatory realities and challenges, the commitments undertaken by the Company—especially in the area of sustainability—and the Company's digital transformation.

In keeping with best practices, the process involves the collaboration of various areas of the Company, as well as external advisers and Inditex's Social Advisory Board, as the main liaison with the Group's various stakeholders.

Code of Conduct for Manufacturers and Suppliers

This Code defines **minimum standards of ethical and responsible behaviour** that must be observed by all the **manufacturers and suppliers** of the Group across the supply chain, in accordance with Inditex Group's corporate culture, firmly grounded on respect for human rights and sustainability.

It applies to all manufacturers and suppliers involved in the raw material procurement, purchasing, manufacturing and finishing processes of products that are marketed by the Group, and it promotes and is based on the general principles that define the ethical behaviour of Inditex described above. Compliance with all the standards provided in the Code of Conduct for Manufacturers and Suppliers is a pre-requisite for a supplier or manufacturer to form part of Inditex's supply chain.

① More information in section [5.6. Suppliers](#) of this Report.